

**UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK**

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In re:	:	Chapter 11
	:	
ENRON CORP., <i>et al.</i> ,	:	Case No. 01-16034 (AJG)
	:	
Debtors.	:	Jointly Administered
	:	
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APPENDIX E

(Role of RBS and its Affiliates)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

Reference is made to the preceding Final Report of Neal Batson, Court-Appointed Examiner (the "Report"). This Appendix constitutes an integral part of the Report. All capitalized terms not otherwise defined herein shall have the meanings set forth in the Report.

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I. INTRODUCTION

A. Introduction and Overview

In Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that there is sufficient evidence for a fact-finder to determine that certain of the Debtors' officers breached their fiduciary duties under applicable law by engaging in self-dealing in violation of their duty of loyalty and by causing the Debtors to enter into certain SPE transactions that were designed to manipulate the Debtors' financial statements and that resulted in the dissemination of financial information known to be materially misleading. These wrongful acts caused direct and foreseeable harm to Enron itself and resulting harm to innocent parties that dealt with Enron, including certain creditors in the Bankruptcy Case.

This Appendix considers the role of The Royal Bank of Scotland plc ("RBS") in certain of the Debtors' SPE transactions. RBS acquired National Westminster Plc ("NatWest") by hostile takeover in March 2000.¹ RBS, as that entity existed both before and after the NatWest takeover, and NatWest prior to that takeover, each participated in multiple Enron SPE transactions. Among those transactions were the following, each of which is discussed in this Appendix: LJM1,² a Related Party Transaction which NatWest helped fund, participated in as a limited partner, and profited from substantially; Nixon,³

¹ RBS Corporate Profile, available at http://www.rbs.co.uk/Group_Information/Corporate_Profile/About_the_Group/default.htm (the "RBS Profile") (last visited Oct. 23, 2003); Erik Portanger, *Deals & Deal Makers: Royal Bank of Scotland Advisers Use Novel 'Club' to Beat Rival in Fight to National Westminster*, Wall St. J., Feb. 15, 2000 (describing the means used to accomplish the takeover); Sworn Statement of RBS, to John E. Stephenson, Jr., A&B, July 30, 2003 (the "RBS Sworn Statement"), at 111, lines 20-21.

² Second Interim Report, Annex 2 and Annex 3 to Appendix L (Related Party Transactions).

³ Third Interim Report, Appendix D (Roles of Citigroup and its Affiliates), *Citigroup's Role in Enron's SPE Transactions, Prepay Transactions*.

a multi-bank Prepay Transaction closed in December 1999 (the “Nixon Prepay”), in which RBS participated (along with Citigroup and Barclays, and with Toronto Dominion acting in a conduit capacity between each of the three other banks and Enron); and four FAS 140⁴ Transactions – Sutton Bridge, a NatWest deal closed in June 1999, and three additional transactions that closed between November 2000 and June 2001, known as ETOL I, ETOL II and ETOL III (all of the identified transactions are sometimes referred to cumulatively as the “RBS Transactions”).⁵ In Appendix C (Role of Enron’s Officers) to the Third Interim Report, the Examiner concluded that there is sufficient evidence for a fact-finder to determine that certain of the Debtors’ officers breached their fiduciary duties by causing Enron to enter into certain of these transactions.⁶

In this Appendix, the Examiner discusses evidence indicating that: (i) RBS had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by the Debtors’ officers; (ii) RBS gave substantial assistance to the Debtors’ officers by participating in the transactions; and (iii) injury to the Debtors was the direct or reasonably foreseeable result of this conduct. The evidence reviewed by the Examiner, and the reasonable inferences that may be drawn from that evidence, are sufficient for a

⁴ All but one of these transactions, ETOL III, were considered FAS 125 transactions at the times of their closings. FAS 125 was modified, and became known as FAS 140, effective April 1, 2001. Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities, Statement of Financial Accounting Standards No. 140 (Financial Accounting Standards Bd. 2000). For ease of reference, and for consistency with previous Reports by the Examiner, this Appendix will refer to all such transactions as FAS 140 Transactions. *See also* First Interim Report; Second Interim Report, Appendix M (FAS 140 Transactions).

⁵ RBS acquired all assets and liabilities of NatWest as part of the corporate takeover. Because RBS is the successor in interest to NatWest, the Examiner regards the acts of NatWest prior to its takeover by RBS as acts of RBS.

⁶ Third Interim Report, Appendix C (Role of Enron’s Officers) (discussing, *inter alia*, the officers’ roles in Related Party Transactions, Prepay Transactions, FAS 140 Transactions and “Transactions Lacking Any Business Purpose”).

fact-finder to conclude⁷ that RBS aided and abetted certain Enron officers in breaching their fiduciary duties. In addition, there is sufficient evidence of inequitable conduct by RBS in connection with the Enron SPE transactions discussed in this Appendix for a court to conclude that RBS's claims should be equitably subordinated to the claims of other creditors.

As set forth more fully below, RBS's conduct in the LJM1 Related Party Transaction enabled Enron to complete the LJM1/Rhythms Hedging Transaction, through which Enron recognized \$95 million of income in 1999, representing 10.6% of its originally reported net income for that year.⁸ RBS's conduct in the LJM1 Related Party Transaction also enabled Fastow improperly to enrich himself and other Enron officers in violation of their fiduciary duties to Enron. As a result of the LJM1 Related Party Transaction, Fastow and his colleagues, several of whom were Enron officers, received over \$40 million.⁹

RBS's conduct in the FAS 140 Transactions and in the Nixon Prepay enabled Enron to:

- record approximately \$191 million of income from gain on sales of assets that should not have been recorded;

⁷ See Report, *Introduction, Standard Adopted by the Examiner*.

⁸ Enron Form 8-K filed with the SEC on Nov. 8, 2001 (the "Enron 8-K filed Nov. 8, 2001"), Table 1.

⁹ See Second Interim Report, Appendix L (Related Party Transactions), *Provision of Cash to Participating Enron Insiders*. This amount includes: (i) \$18 million in distributions and \$2.6 million in management fees received by Fastow from LJM1; (ii) at least \$7.3 million in distributions and \$178,000 in management fees received by Kopper from LJM1; (iii) \$4.5 million received by each of Kopper and The Fastow Family Foundation in connection with the sale of Swap Sub to Southampton, L.P. in March 2000; and (iv) an aggregate of \$3.3 million received by Michael Hinds (an LJM2 employee), Kristina Mordaunt, Ben Glisan, Anne Yaeger Patel and Kathy Lynn in connection with the sale of Swap Sub to Southampton, L.P. in March 2000. In addition, Fastow received \$15.5 million in cash and a house valued at \$850,000 from Kopper in connection with Fastow's sale of his LJM1 and LJM2 interests to Kopper. *Id.*

- receive approximately \$444 million of proceeds, most of which Enron erroneously recorded as cash flow from operating activities and the remainder of which Enron erroneously recorded as cash flow from investing activities; and
- understate debt by \$177 million and \$273 million in its December 31, 1999 and 2000 balance sheets, respectively.

The evidence would allow a fact-finder to conclude that RBS:

- participated with Fastow and CSFB in the formation and funding of LJM1, knowing that Enron would use LJM1 to enter into a non-economic hedging transaction;
- structured and implemented a subsequent transaction through which LJM1 received funding that was improperly used by LJM1 to enrich Fastow;¹⁰
- obtained verbal assurances from Enron in connection with the FAS 140 Transactions wherein Enron assured repayment of RBS's equity interests in SPEs, knowing that such assurances precluded the accounting treatment Enron sought for such transactions, and that Enron nonetheless intended to account for these transactions as if no assurances of repayment had been provided; and
- funded and assisted Enron in completing the Nixon Prepay even though RBS knew that Enron's accounting for the transaction, with no other meaningful related disclosure, would result in misleading financial presentation.

The Examiner has reviewed a substantial amount of evidence, including documentary and testimonial evidence, and has noted reasonable inferences that could be drawn from the evidence. A fact-finder may draw alternative or contrary inferences from

¹⁰ As discussed below, Fastow's profit, if any, from LJM1 was to come only from investments made with the \$16 million in capital contributed by RBS, CSFB, and Fastow, not from the Enron stock transferred to LJM1. Through Total Return Swaps that it entered with American International Group ("AIG"), RBS effectively hedged its interest in the Enron shares held by LJM1, thereby recording a \$22.7 million gain on its investment, and then contributed \$45 million, through its wholly owned affiliate, Campsie Ltd. ("Campsie"), in cash to LJM1. The parties treated the proceeds that resulted from the transaction as an additional capital contribution to LJM1 from which Fastow could profit, rather than proceeds resulting from the Enron stock, from which he could not. As discussed in Appendix F (Role of CSFB and its Affiliates) to the Report, LJM1's other limited partner made a similar contribution. As a result of these transactions, an additional \$25 million was contributed to LJM1 and recharacterized so that Fastow could profit directly from these funds.

the same evidence. Moreover, there are certain defenses to aiding and abetting liability and equitable subordination available to RBS. Whether RBS will succeed on one or more of these defenses will depend upon the fact-finder's resolution of the facts.

The elements most likely to present issues of material fact for consideration by the fact-finder are:

- The degree of RBS's *knowledge* of the acts giving rise to the breaches of fiduciary duty. In connection with the formation and funding of LJM1 and the execution of the LJM1/Rhythms Hedging Transaction, a fact-finder may consider whether RBS's belief that the Enron Board had approved the LJM1 Related Party Transaction might lead to the conclusion that RBS lacked knowledge that Fastow and other Enron officers had breached any fiduciary duty to Enron in connection with that transaction. As part of this determination, the fact-finder may consider, among other things: (i) RBS's knowledge of the existence and terms of any approval of the LJM1 Related Party Transaction by the Enron Board and senior officers; and (ii) whether RBS relied on representations from Enron, LJM1 or their officers, and if so, whether this reliance was reasonable.
- In connection with the Total Return Swaps with AIG,¹¹ a fact-finder may consider, among other things: (i) RBS's knowledge of the existence and terms of any approval of subsequent modifications of the LJM1 Related Party Transaction (including those necessitated by the Total Return Swaps) by the Enron Board and senior officers; and (ii) whether RBS relied on representations from Enron, LJM1 or their officers, and if so, whether this reliance was reasonable.

¹¹ The Total Return Swaps actually consisted of several interrelated transactions: (i) Campsie and RBS entered into a Total Return Swap on the 1.775 million Enron shares transferred into escrow by LJM1 for Campsie. RBS loaned Campsie \$44.5 million to cover Campsie's "Additional Capital Contribution" to LJM1 (discussed more fully below). Campsie paid to RBS the dividends on the Enron shares and a specified interest rate (held back for two years) on the \$44.5 million loan; (ii) AIG and RBS entered into a separate Total Return Swap through which RBS paid to AIG the dividends received from Campsie on the Enron shares. AIG agreed (i) at settlement, to take physical delivery of the Enron shares from RBS and pay RBS approximately \$67 million, and (ii) throughout the term prior to settlement, to pay RBS a specified interest rate on the \$67 million settlement price. See Email from Adam Pettifer, RBS, to Kevin Howard, RBS, Aug. 15, 2000 (the "Pettifer/Howard Email, Aug. 15, 2000") (attaching a memorandum regarding the "Background of LJM Structure") [RBS 1080193, RBS 4003280-RBS 4003284, RBS 3123636-RBS 3123643]; Email from David Bermingham, RBS, to Andrew Galloway, Campsie, *et al.*, Nov. 12, 1999 (the "Bermingham/Galloway Email, Nov. 12, 1999"), at RBS 4016222 (attaching "Investment Proposal Presentation to the Board of Campsie Limited") [RBS 4016218-RBS 4016222]; Chart of RBS LJM1 Contributions and Distributions, Author unknown, undated (the "Chart of RBS/LJM1 Distributions") (noting "\$67,011,270.75" as "Distribution into escrow of 1,775,133 of ENE stock") [RBS 4007194].

- In connection with the FAS 140 Transactions and Nixon Prepay, a fact-finder may consider the degree of RBS's *knowledge* that Enron's reporting of these transactions would result in materially misleading presentations of Enron's financial condition because: (i) the transactions were disclosed in a manner that disguised the economic substance of these transactions so as to mislead rating agencies, creditors and investors; and/or (ii) the accounting for the transactions was incorrect. As part of this determination, the fact-finder may consider, among other things: (i) RBS's knowledge that the economic substance of these transactions was inconsistent with the disclosure; (ii) its knowledge that Enron's accounting for these transactions was likely incorrect; (iii) the impact, if any, of verbal assurances received on its equity investment made in these transactions; and (iv) whether there was any reliance on accounting representations from Enron or from Andersen and, if so, whether this reliance was reasonable.
- The degree of *assistance* provided by RBS to Enron's officers. As part of this determination, the fact-finder may consider whether RBS designed the transaction, structured the transaction, assisted in the disclosure process, consummated the transaction or took any action that would invalidate the desired accounting.
- Whether it would have been reasonably *foreseeable* to RBS that these transactions would cause injury to Enron and/or its creditors. As part of this analysis, a fact-finder may consider whether the transaction had a material impact on Enron's financial statements.

RBS's claims in the Bankruptcy Case, totaling approximately \$537 million, are susceptible to being equitably subordinated to the claims of other creditors. This subordination would be in addition to any affirmative recovery that may be available to the Debtors against RBS for aiding and abetting the officers' breaches of fiduciary duties, assuming the Debtors have standing to pursue such a claim.

B. Summary of RBS's Role in Enron's SPE Transactions

RBS was involved in a variety of Enron's SPE transactions, including the LJM1 Related Party Transaction, four FAS 140 Transactions, and the Nixon Prepay. RBS was

one of two limited partners in LJM1.¹² In this capacity, RBS purchased its partnership interest for \$7.5 million and received payments in excess of \$22 million over slightly more than two years. LJM1 entered into the LJM1/Rhythms Hedging Transaction with Enron, as a result of which Enron recognized \$95 million of income in 1999, representing 10.6% of its originally reported net income for that year.¹³ In addition, RBS structured and implemented Total Return Swaps with AIG through which LJM1 received funding that was used by LJM1 improperly to enrich Fastow. During this same period, Fastow and his colleagues, several of whom were Enron officers, received over \$40 million¹⁴ in return for a \$1 million initial investment by Fastow and minimal investments by the others.

The Examiner has concluded that the limited partnership existed principally to enter into a hedging transaction with Enron that it could not expect unaffiliated third parties to enter into on terms acceptable to Enron.¹⁵ The Enron Board approved the hedging transaction, in part, based on a to-be-delivered PWC fairness opinion (the "Fairness Opinion"), which relied on certain restrictions (through a "Lock-Up

¹² One of the two limited partners of LJM1 was Campsie. ERNB Ltd. ("ERNB"), a wholly owned affiliate of CSFB was the other limited partner. In this Appendix, the Examiner generally refers to CSFB and RBS as the limited partners of LJM1. The role of CSFB in LJM1 is discussed in Appendix F (Role of CSFB and its Affiliates) to this Report.

¹³ Enron 8-K filed Nov. 8, 2001, Table 1.

¹⁴ This number includes the amounts received by Fastow and by certain of his colleagues in connection with Enron's termination of the LJM1/Rhythms Hedging Transaction.

¹⁵ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), *Introduction and Overview of Rhythms Transactions*.

Agreement”)¹⁶ on the transfer and use of the Enron shares transferred to LJM1.¹⁷ Moreover, Fastow also informed the Enron Board of another significant restriction – namely, that he would not profit from the Enron shares transferred to LJM1.¹⁸ Despite knowledge of these restrictions, RBS acted to circumvent them and thereby generated substantial profits from the property subject to these restrictions.¹⁹

In the FAS 140 Transactions, RBS held the 3% outside equity that was required for Enron to record a gain on sale from the transfer to SPEs of Enron’s interests in certain assets. In order to comply with the 3% Equity Test,²⁰ the transferee SPE must be capitalized with at least 3% independent equity at risk. Under FAS 140 (and previously

¹⁶ See Confirmation Letter from Enron to LJM1 and Swap Sub, June 30, 1999 (the “Lock-Up Agreement”) [RBS 4010115-RBS 4010117].

¹⁷ Enron Board Special Meeting Minutes, June 28, 1999 (the “Enron Board Minutes for Special Meeting, June 28, 1999”), at 6-7 [AB000172836-AB000172848]; Presentation to the Enron Board “Project LJM,” June 28, 1999 (the “LJM1 Presentation to the Enron Board”), at AB000001732 (noting one of several “benefits to Enron” of the transaction was that it “keeps [a] large block of stock closely held and restricted”) [AB000001727-AB000001738]; Letter from Steven J. Stampf, PWC, to Ben Glisan, former Vice President, Enron, Aug. 17, 1999 (the “Fairness Opinion”), at 3 (noting PWC “determined a range of appropriate restricted stock discounts to apply to the 3.378 million Enron shares transferred from Enron to LJM.”) [AB000468680-AB000468684]; Project Martin Fairness Analysis Draft Presentation by PWC, Aug. 13, 1999 (the “PWC Fairness Analysis”) [AB000154939-AB000154981]; see also Report, Appendix D (Roles of Lay, Skilling and Outside Directors).

¹⁸ Enron Board Minutes for Special Meeting, June 28, 1999, at 6; LJM1 Presentation to the Enron Board, at AB000001730; Facsimile from Anne Yaeger, Enron Capital Management, to James Esposito, RBS, June 25, 1999 (the “Yaeger Facsimile”), at RBS 4005100, RBS 4005103 (“**[Fastow] will not receive any current or future (appreciated) value of [Enron] stock.**”) (emphasis in original) (attaching draft Enron Board resolutions approving the assignment of Enron shares to LJM1 and draft Project LJM Board Presentation) [RBS 4005094-RBS 4005106].

¹⁹ Email from David Bermingham, RBS, to Kevin Howard, *et al.*, RBS, Aug. 6, 1999 (the “Bermingham/Howard Email, Aug. 6, 1999”) [RBS 4016350-RBS 4016351]; Email from David Bermingham, RBS, to Ben Glisan, Treasurer, Enron, *et al.*, Nov. 9, 1999 (the “Bermingham/Glisan Email, Nov. 9, 1999”) [RBS 4016225-RBS 4016227, RBS 4005808].

²⁰ The Examiner discussed the 3% Equity Test in the Second Interim Report. The relevance of the 3% Equity Test to Enron’s FAS 140 Transactions is that in transactions where the borrower-SPE is not a QSPE, the 3% Equity Test must be met or the borrower-SPE will be required to be consolidated with Enron, thereby bringing the debt incurred by that SPE onto Enron’s balance sheet. See Second Interim Report, Appendix M (FAS 140 Transactions), *Was the Accounting Treatment Proper?, Accounting Consolidation Analysis*. That section also includes a discussion of the difference between a QSPE and an SPE that is not a QSPE.

under FAS 125), this equity must remain at risk for the term of the entire transaction and there can be no assurance or guaranty as to its repayment. Were the 3% Equity Test not met, Enron would be required to reflect on its balance sheet the debt of the SPE that borrowed funds in the transaction and to reflect the proceeds of the transaction as cash flow from financing activities as opposed to cash flow from operating activities. Moreover, Enron could not record a gain from the transfer of the asset in the transaction in its consolidated financial statements. Enron accounted for each of the FAS 140 Transactions in which RBS participated as if it had complied with the relevant requirements, but in fact provided RBS with verbal assurances that the bank's equity investment and promised return in each of the FAS 140 Transactions would be repaid in full at maturity.²¹ The evidence indicates that RBS understood the structure by which Enron booked such gains to be “21st Century Alchemy,”²² and understood that Enron's verbal assurances in connection with these transactions could neither be documented nor publicly disclosed.²³

²¹ Credit Application, Sept. 18, 2000 (the “ETOL I Credit Application”), at RBS 3141124, RBS 3141129-RBS 3141130 [RBS 3141118-RBS 3141165]; Credit Recommendation by Chris Clarke, Senior Manager, RBS, Sept. 19, 2000 (the “ETOL I Credit Recommendation”), at RBS 3141116 [RBS 3141115-RBS 3141117]; Memorandum from Konrad Kruger, Chief Executive, *et al.*, Greenwich NatWest, regarding Enron Sutton Bridge Ltd., undated (the “Kruger Memorandum”), at RBS 3038535 (referencing the handwritten comments) [RBS 3038532-RBS 3038535]; RBS CBFM Credit Committee Minutes, Sept. 20, 2000 (the “CBFM Credit Committee Minutes, Sept. 2000”), at RBS 3121434 [RBS 3121434-RBS 3121436]; RBS Group Credit Committee Minutes, Sept. 22, 2000 (the “Group Credit Committee Minutes, Sept. 2000”), at RBS 3121150 [RBS 3121150-RBS 3121151]; Credit Application, Mar. 15, 2001 (the “ETOL II and III Credit Application”), at RBS 3124939 [RBS 3124926-RBS 3124949]; Credit Recommendation by Chris Clarke, Senior Manager, RBS, Mar. 16, 2001 (the “ETOL II and III Credit Recommendation”), at RBS 3124953 [RBS 3124952-RBS 3124953]; RBS Group Credit Committee Minutes, Mar. 20, 2001 (the “Group Credit Committee Minutes, Mar. 2001”), at RBS 3120874 [RBS 3120874-RBS 3120875].

²² Group Credit Committee Minutes, Sept. 2000, at RBS 3121150.

²³ ETOL I Credit Application, at RBS 3141124 (“[Enron's] desired accounting treatment does not permit any formal arrangements to be made. . . . Senior management . . . [has] made verbal assurances at a high level within [RBS] on this basis.”); ETOL I Credit Recommendation, at RBS 3141116 (“We are therefore looking to verbal undertakings (they cannot be formally documented for accounting reasons) from Enron

In the Nixon Prepay, RBS loaned Enron \$110 million.²⁴ In this transaction, RBS provided Enron with what the bank internally recognized was simply a loan,²⁵ knowing that Enron nonetheless deemed it urgent to close the Nixon Prepay by quarter-end.²⁶ Despite privately assessing the Nixon Prepay as “effectively a window dressing request” that Enron would employ “to reduce [its] reported year-end net debt position,”²⁷ and questioning “whether the rating agencies understood Enron’s balance sheet,”²⁸ RBS participated in this commodity prepay transaction²⁹ that lacked any commodity risk. It

that they will ensure that RBS is kept whole through the exit strategy.”); The Royal Bank of Scotland: Proposed Transaction with Enron, author unknown, undated (the “RBS ETOL Memorandum”), at 1 (“[I]n order to achieve the desired US accounting treatment . . . there must be no arrangements to ensure the repayment of, or the return on, the 3% equity that RBS will be providing . . .”) [RBS 3104222-RBS 3104226]; *see also* Sworn Statement of Susan Milton, Director, RBS, to John E. Stephenson, Jr., A&B, Sept. 9, 2003 (the “Milton Sworn Statement”), at 73, lines 7-13, and at 163, lines 22-25.

²⁴ Credit Application, Dec. 6, 1999 (the “Nixon Credit Application”), at RBS 3118965 (stating that the transaction “creates a synthetic loan . . . to Enron for three months”) [RBS 3118960-RBS 3118984]; *see* Swap Transaction Confirmation between ENA and RBS, Dec. 14, 1999 (the “Dec. 14, 1999 Enron Swap”), at 2 [RBS 4016646-RBS 4016649].

²⁵ Nixon Credit Application, at RBS 3118965 (stating that the transaction “creates a synthetic loan . . . to Enron for three months”); Sworn Statement of Brian McInnes, Relationship Manager, RBS, to Philip R. Stein, A&B, Sept. 10, 2003 (the “McInnes Sworn Statement”), at 66.

²⁶ Nixon Credit Application, at RBS 3118964, RBS 3118966 (citing as part of the rationale for recommending this year-end, three-month bridging facility that RBS could thereby “[o]nce again uptier the Enron Corp. relationship by assisting them over their crucial de-leveraging periods of quarter and year ends.”); *see also* Credit Recommendation by Andrew Close, Credit Manager, RBS, and Alex Sinclair, Senior Credit Manager, RBS, March 30, 2000 (the “Nixon Extension Recommendation”) [RBS 3121283]. Andrew Close and Alex Sinclair summarized Enron’s request for a subsequent extension of the facility as follows:

On 10th March an urgent request was received to roll the facility for a further one-month period pending completion of Yosemite III in mid-April. Credit concern again centered on the extent of Enron’s manipulation and the danger given such heavy reliance on short-term transactions of bad news cutting Enron’s ability to refinance and keep these sizeable numbers off balance sheet.

Id.

²⁷ ARD Memorandum from A.W. McAlister, Senior Analyst, RBS, Dec. 6, 1999 (the “ARD Memorandum, Dec. 6, 1999”), at RBS 3118972 [RBS 3118972-RBS 3118973].

²⁸ RBS UK Bank Credit Committee Minutes – Special Meeting, Dec. 8, 1999 (the “UK Bank Credit Committee Minutes, Dec. 1999”), at RBS 1007764 [RBS 1007764-RBS 1007765].

²⁹ Second Interim Report, Appendix E (Prepay Transactions); Third Interim Report, Appendix D (Roles of Citigroup and its Affiliates), *Citigroup’s Role in Enron’s SPE Transactions, Prepay Transactions*.

did so with the knowledge that the proceeds of loan transactions such as the Nixon Prepay were booked by Enron as cash flow from operating activities.³⁰

C. RBS Background Information

RBS was founded in 1727.³¹ By market capitalization, it is the second largest bank in Europe and ranks fifth in the world.³² In March 2000, RBS completed the acquisition of NatWest in a \$33 billion³³ deal that was the largest takeover in British banking history.³⁴ As of August 2003, RBS had a market capitalization of \$82.2 billion and total assets at year-end 2002 of \$661 billion.³⁵ In 2002, RBS had total income of \$27 billion.³⁶

³⁰ Email from Wilson McAlister, RBS, to Derek Weir, *et al.*, RBS, Feb. 1, 2000 (the "McAlister/Weir Email, Feb. 1, 2000") ("Other income includes unrealised gains and losses from price risk management activities These activities are reported as part of operational cash flow, boosting the reported position by \$550M over the last two years . . . and representing 30% of reported operating cash flow in that period.") [RBS 3112211].

³¹ RBS Profile.

³² *Id.*

³³ Throughout this Appendix, British Pound figures have been converted to U.S. Dollar amounts using the daily average interbank exchange rate on the relevant date.

³⁴ RBS Profile.

³⁵ *Id.*

³⁶ RBS Annual Review and Summary Financial Statement 2002, at 40 (as converted to U.S. Dollars), available at http://www.rbs.co.uk/Group_Information/Investor_Relations/default.asp (last visited Oct. 23, 2003).

II. HISTORY AND DEVELOPMENT OF RBS'S INVOLVEMENT WITH ENRON

A. Relationship Between RBS and Enron

For several years prior to the Petition Date, RBS periodically evaluated the overall financial performance and business outlook for large clients such as Enron, often in conjunction with consideration of credit applications ("Credit Applications") for proposed new transactions.³⁷ In addition to being presented as part of Credit Applications, these periodic evaluations appeared both in documents referred to as "Annual Revisals," essentially annual reports on Enron's financial position and the bank's credit exposure to Enron, and memoranda prepared by the bank's Analysis & Research Department (individually the "ARD Memorandum").³⁸ Credit Applications for particular proposed transactions above certain monetary thresholds were submitted for two levels of review. First, a division-specific credit committee would typically review a Credit Application. In the bank's dealings with Enron, this was most often the Corporate Banking and Financial Markets ("CBFM") Credit Committee.³⁹ If the divisional credit committee approved the transaction, it then typically proceeded to what the bank called its Group Credit Committee for a higher level of review.⁴⁰

³⁷ RBS Sworn Statement, at 86-87.

³⁸ See, e.g., Credit Application, Nov. 2000 (the "2000 Annual Revisal") [RBS 3088311-RBS 3088330, RBS 3088340-RBS 3088372]; ARD Memorandum, Dec. 6, 1999.

³⁹ See, e.g., CBFM Credit Committee Minutes, Sept. 2000.

⁴⁰ See, e.g., Group Credit Committee Minutes, Sept. 2000.

As early as 1995, the extent of NatWest's⁴¹ dealings with Enron was such that the bank could report in its Annual Revisal that

[w]e are one of Enron's prime relationship banks worldwide The strong relationship between our two organizations, which extends to the highest executive levels, has resulted in business opportunities being presented to us on a regular basis. Our willingness to support the company is recognized and appreciated by management and has now placed us in an enviable position of receiving invitations to continue to bid for lead/co-lead roles in all future financings and at the same time obtain remunerative spin-off business across the full spectrum of NatWest This premier bank status is a position we believe we have deserved and aim to jealously protect. It is not surprising therefore, that we wish to maintain the momentum we have built up over several years of concerted and focused marketing which has resulted in relationships being established at every level of the company, including the Group Chief Executives of both organizations [appending a list of 15 meetings over the previous four years between top executives of RBS and Enron].⁴²

The same Annual Revisal noted NatWest's success in "cross-selling" structured/specialized finance, treasury, advisory and capital markets products" to Enron between 1990-1995, during which time the Enron relationship had **"produced income of \$22.6m utilizing no [fewer] than 10 NatWest Markets products/services."**⁴³ By 1995, as a result, NatWest characterized its relationship with Enron as "excellent We are considered Enron's lead international bank and one of their top five banks overall. Our strong ties extend to the Chairman of the company."⁴⁴

Over the next four years, the magnitude of NatWest's transactions with Enron was such that an "Exposure Analysis" in a 1999 Annual Revisal approval concluded that

⁴¹ As noted previously herein, RBS acquired all assets and liabilities of NatWest as part of a corporate takeover in March 2000. Because RBS is the successor in interest to NatWest, the Examiner regards the acts of NatWest prior to its takeover by RBS as acts of RBS.

⁴² NatWest 1995 Enron Annual Revisal, Oct. 5, 1995 (the "1995 Annual Revisal"), at RBS 1115546 [RBS 1115542-RBS 1115570].

⁴³ *Id.* at RBS 1115548 (emphasis in original).

⁴⁴ *Id.* at RBS 1115551.

the bank's "Prudential Limit of [\$971 million] has recently been breached."⁴⁵ While noting that it had become "one of the leading banks to Enron, particularly in relation to structured credit products and derivatives," NatWest in 1999 recognized that "successes achieved to date in winning highly remunerative business suggests [sic] that significant business opportunities will continue to flow and thereby place increasing pressure on our finite credit capacity. Enron management are aware of these capacity constraints, however[,] and are actively involved [in] assisting us in the management thereof through sell-down."⁴⁶ In June 1999, NatWest completed two transactions that Enron management had informed the bank it considered particularly important: Sutton Bridge, a FAS 140 Transaction, and LJM1. As its exposure to Enron fluctuated, the bank actively pursued and completed sales in secondary markets and purchased credit derivatives so that it could take on more exposure.⁴⁷

Prior to its takeover of NatWest, RBS was not among a select group of Enron's leading banks (as NatWest was), but it nevertheless had maintained a steady working relationship with Enron, participating in fourteen transactions between 1997 and March 2000. Among these was the Nixon Prepay, which closed in December 1999. In March 2000, RBS completed its acquisition of NatWest.⁴⁸

⁴⁵ Greenwich NatWest 1999 Enron Annual Revisal Approval, Aug. 5, 1999 (the "1999 Annual Revisal Approval"), at RBS 3088395 [RBS 3088394-RBS 3088400]. "Prudential limit was an indication of the maximum amount of exposure that the bank wanted to have for a particular customer in a particular grade." Sworn Statement of RBS, to Christopher A. Riley, A&B, Sept. 4, 2003, at 341, lines 2-4.

⁴⁶ *Id.* at RBS 3088395-RBS 3088396.

⁴⁷ See, e.g., Email from Peter Commons, RBS, to Chris Mackenzie, *et al.*, RBS, Nov. 27, 1998 (the "Commons/Mackenzie Email, Nov. 27, 1998") [RBS 1117824-RBS 1117826].

⁴⁸ All subsequent references, other than citations to names of documents, in this Appendix to either NatWest or RBS will use the designation "RBS," even if the matter referred to involved NatWest prior to the takeover.

In November 2000, RBS acted as lead bank and holder of the 3% equity in the ETOL I FAS 140 Transaction.⁴⁹ In conjunction with its application for credit approval of ETOL I, RBS employees prepared an updated Annual Revisal detailing and analyzing the Enron relationship and credit. The analysis determined that the merged bank's lifetime average return on investment on Enron transactions as of November 2000 was 110%.⁵⁰ RBS assessed the state of its relationship as

extremely strong[,] and there are no doubts that [Enron is] one of Structured Finance's and the Banks [sic] most remunerative clients. As one of [Enron's] nine tier one banks, out of a banking group of 120, we are placed in a very coveted position in that we have the opportunity to look at all Enron deals before the remainder of their Banking Group.⁵¹

In sum, to RBS in late 2000, "[t]he future opportunities with Enron appear[ed] endless with a number of transactions in the pipeline."⁵² The year 1999 had brought the bank "record income levels of US\$31m [sic] (primarily due to LJM1/Campsie)[,] and [income levels thus far in] 2000 exceeding those of previous years"⁵³

⁴⁹ £138,548,241 Term Facility Agreement for RBSF by RBS and NatWest, Nov. 1, 2000 (the "RBSF Term Facility Agreement, Nov. 2000") [AB000131149-AB000131223]; Subscription Agreement between RBSF and RBS, Nov. 1, 2000 (the "RBSF Subscription Agreement, Nov. 2000") [AB000131574-AB000131578]; Memorandum from Andrew Jameson, Project Finance, *et al.*, RBS, regarding Enron's Teesside deals, Nov. 28, 2001 (the "Jameson Memorandum, Nov. 28, 2001"), at RBS 3141906 [RBS 3141903-RBS 3141907]; ETOL I Credit Application, at RBS 3141124.

⁵⁰ 2000 Annual Revisal, at RBS 3088311.

⁵¹ *Id.* at RBS 3088328.

⁵² *Id.*

⁵³ *Id.* at RBS 3088330.

RBS's pipeline of Enron deals flowed into 2001, and included closing ETOL II in March 2001, followed by ETOL III near the end of the subsequent quarter, in June 2001.⁵⁴

During the period from 1997 through the Petition Date in 2001, RBS (including both predecessor banks prior to the March 2000 takeover) completed approximately fifty-three transactions with Enron, including extensions of and modifications to existing financings and credit facilities.⁵⁵ The following timeline illustrates when each of several representative RBS transactions with Enron between 1997 and the Petition Date was completed:⁵⁶

January 1997		2 lending transactions
February 1997		
March 1997		1 lending transaction
April 1997		
May 1997		
June 1997		4 lending transactions
July 1997		1 lending transaction

⁵⁴ See, e.g., ETOL II and III Credit Application, at RBS 3124934; ETOL II and III Credit Recommendation; Credit Recommendation by Chris Clarke, Senior Credit Manager, RBS, June 15, 2001 [RBS 3141171].

⁵⁵ See Final Report, Appendix E (Role of RBS and its Affiliates), RBS Transaction Summary Chart.

⁵⁶ The timeline also illustrates Enron's tendency, noted by RBS, to concentrate deal activity near the end of quarterly reporting periods. ETOL I Credit Application, at RBS 3141124 ("[ETOL I] is required to close by 30th September 2000 . . ."); Memorandum from Nicola Goss, Associate Director, Project and Export Finance, RBS, to Iain S. Robertson, *et al.*, RBS, regarding additional ETOL funding, Mar. 1, 2001 (the "Goss ETOL Funding Memorandum"), at RBS 3141241 [RBS 3141241-RBS 3141243]; GNW Commitments Committee Briefing Paper, June 24, 1999, at RBS 1123621 ("Enron [is] very keen to get [Kachina] completed before the half year end and as a 'reward' for speedy assistance on this facility Enron will afford us an exclusive mandate to arrange [a future financing].") [RBS 1123620-RBS 1123621]; Transaction Summary: Sutton Bridge Funding Limited, July 8, 1999 (the "Sutton Bridge Transaction Summary"), at RBS 3126617 ("Facilitated [Enron's] ability . . . to boost half year earnings.") [RBS 3126609-RBS 3126623]; Nixon Credit Application, at RBS 3118966 (citing as part of the rationale for recommending this year-end, three month bridging facility that RBS could thereby "[o]nce again uptier the Enron Corp. relationship by assisting them over their crucial de-leveraging periods of quarter and year ends."); Email from Patricia Dundee, Senior Vice President, North American Oil & Gas, Houston, RBS, to Andrew Hews, *et al.*, RBS, July 2, 1999 [RBS 3018561]; Credit Application, June 25, 1999, at RBS 3018566, RBS 3018570 (the Credit Application for the Kachina transaction) [RBS 3018566-RBS 3018576]; Memorandum from Andrew Hews, Director, RBS, to Kevin Howard, RBS, regarding Enron Compression – Gallup, Mar. 8, 2000, at RBS 3088647 (attaching the draft Gallup Credit Application) [RBS 3088646-RBS 3088654].

August 1997		
September 1997		
October 1997		
November 1997		
December 1997		
January 1998		1 lending transaction
February 1998		1 lending transaction
March 1998		2 lending transactions
April 1998		
May 1998		3 lending transactions
June 1998		
July 1998		
August 1998		3 lending transactions
September 1998		
October 1998		1 lending transaction
November 1998		1 lending transaction
December 1998		4 lending transactions
January 1999		1 lending transaction
February 1999		
March 1999		
April 1999		
May 1999		
		SUTTON BRIDGE: Sutton Bridge closed
		LJM1: LJM1 formed
June 1999		LJM1: LJM1/Rhythms Hedging Transaction closed
		Kachina: Closing of monetization
		Rawhide \$727.5 million Commercial Paper Facility: NatWest participated at \$49.3 million
July 1999		
August 1999		
September 1999		
October 1999		
November 1999		LJM1: distributed into escrow 1.775 million Enron shares for SAILS and same for RBS Total Return Swaps with AIG
		RBS Total Return Swaps: Total Return Swaps with AIG closed – RBS made in excess of \$22 million profit
December 1999		NIXON: Nixon Prepay closed
January 2000		1 lending transaction
February 2000		Yosemite: RBS participated in \$338.1 million 8.75% Enron Linked Obligations due 2007
March 2000		RBS acquired NatWest
		Gallup: Closing of monetization
		LJM1: Southampton acquired Swap Sub from RBS and CSFB
April 2000		LJM1: LJM1/Rhythms Hedging Transaction terminated
May 2000		2 lending transactions
June 2000		
July 2000		LJM1: made distributions to Fastow, RBS and CSFB
August 2000		Hawaii \$485 million Credit Facility: RBS participated at \$20 million

September 2000		
October 2000		
		ETOL I: ETOL I closed
		Hawaii \$165 million Facility: RBS participated at \$6 million
		Hawaii II \$385 million Facility: RBS participated at \$14 million
		LJM2 \$120 million Credit Facility: RBS committed \$30 million
November 2000		
December 2000		
January 2001		
February 2001		
March 2001		ETOL II: ETOL II closed
April 2001		FAS 140 replaces FAS 125
May 2001		3 lending transactions
June 2001		ETOL III: ETOL III closed
July 2001		
August 2001		LJM1: Enron repurchases portion of its partial interest in Cuiaba
September 2001		
October 2001		
November 2001		
December 2001		Petition Date

A bold line indicates the end of a quarterly or yearly reporting period.

From 1994-1997, RBS earned approximately \$22.8 million in income from Enron.⁵⁷ The magnitude of Enron-related income substantially increased beginning in 1998. From 1998 through 2001, RBS received over \$60 million in income from Enron-related transactions.⁵⁸

B. RBS's Knowledge of Enron's Accounting Objectives and Financial Condition

Over the course of nearly a decade prior to the Petition Date, RBS had significant access to Enron financial information and Enron senior management. At least as early as November 17, 1992, two top bank executives met with Lay to discuss, among other things, further development of RBS's Enron relationship, as well as Enron's "financial

⁵⁷ 2000 Annual Revisal, at RBS 3088328.

⁵⁸ *Id.*; Enron Debt Investor Relationship Review, Aug. 2001, at AB0252 01323 [AB0252 01291-AB0252 01348].

profile going forward.”⁵⁹ On March 7, 1995, Kevin Howard (“Howard”) and two other RBS representatives met with Skilling in London to discuss Enron’s “Rate Risk Management/Internal Controls.”⁶⁰ One aspect of the knowledge that RBS was able to obtain from these and numerous other contacts with Enron officials was an understanding of Enron’s specific motivations for the types of transactions for which it sought to engage the bank’s services. For example, RBS understood from a July 20, 1995 meeting with Kopper and other Enron officials concerning the proposed monetization of certain natural gas contracts through a master securitization vehicle (known as the “Cash II transaction”) that “[a] key rationale for the monetizations is to counter criticisms by the rating agencies that Enron has low earnings quality due to its use of mark-to-market accounting.”⁶¹

In particular, Enron communicated to RBS as early as 1995 that it “*envision[ed] that approximately \$2 billion of such contracts could ultimately be monetized within the next 2-3 years.*”⁶² Enron told RBS that it wanted each of these contract monetizations to be:

- viewed as a “sale” for accounting purposes enabling a reduction in assets, a higher return on assets and in general, off-balance sheet treatment;
- viewed as “debt” for tax purposes so the taxes can be deferred in line with receipt of cash flows from the contracts and the payment of interest expense; [and]
- viewed as “off-credit” so that the rating agencies would exclude it from their definition of debt when calculating credit ratios.⁶³

⁵⁹ 1995 Annual Revisal, at RBS 1115568.

⁶⁰ *Id.* at RBS 1115565.

⁶¹ NatWest Meeting Report, July 20, 1995, at 1 [RBS 1059304-RBS 1059309].

⁶² *Id.* (emphasis in original).

⁶³ *Id.* at 2.

In a July 1997 credit rating report regarding Enron, RBS detailed Enron's "extensive use of off-balance sheet liabilities in both international projects and minority owned subsidiaries," which the bank deemed "an attempt to preserve [Enron's] balance sheet whilst implementing an aggressive growth strategy."⁶⁴ RBS determined that certain identified unconsolidated subsidiaries of Enron held \$5.2 billion of long-term debt at year-end 1996.⁶⁵ Factoring in an "element of [Enron] support" for unconsolidated subsidiaries and Enron's "rel[iance] on the extensive use of off-balance sheet liabilities," RBS's view in July 1997 was that "Enron's apparently strong financial position looks considerably weaker."⁶⁶

RBS considered anew its Enron credit capacity in a November 1998 internal email, spurred in part by the observation that "there are numerous other Enron-related business opportunities kicking around and none of them seem to lie down long enough for us to see the 'bottom line.'"⁶⁷ The author of the email, Peter Commons ("Commons"), Head of Credit Risk for RBS, stated that the bank's corporate risk rating of Enron

is not going to improve its current level of BBB+ and there is always a chance of it declining to BBB/BBB- if things do not go according to plan; a possibility which has come into sharp focus over the last few weeks and Enron are [sic] currently working very, very hard indeed to avoid.⁶⁸

⁶⁴ Section 3.2.1, Enron Rating Report, July 11, 1997 [RBS 3147023-RBS 3147035].

⁶⁵ *Id.* at Section 3.2.1(a).

⁶⁶ *Id.* at Section 5. RBS at this time maintained an internal rating for Enron equivalent to an S&P rating of BBB+. NatWest Credit Profile of Enron, July 11, 1997 [RBS 3147019-RBS 3147022].

⁶⁷ Commons/Mackenzie Email, Nov. 27, 1998, at 1.

⁶⁸ *Id.*

He further recognized that Enron “will remain very heavily leveraged if one takes into account all their off-balance sheet liabilities Moreover, one suspects that, if problems emerged, Enron would support many of these off-balance sheet entities/projects/structures in any event, rather than put their wider interests/strategies at risk.”⁶⁹

Commons observed that “there is little genuine value in having recourse to [Enron]. As such, we much prefer to see exposure concentrated with subsidiaries/affiliates that are – to one degree or another – ring fenced and have reasonably secure revenue streams we can attach.”⁷⁰ He further noted that Enron “continue[s] to make huge demands on the bank market, will not provide ‘clear market’ language and, as such, bank appetite could be significantly hit by any number of adverse factors very quickly.”⁷¹ Commons concluded that, “[a]gainst this background, our appetite for Enron exposure is very far from a bottomless pit and I would certainly not wish to see risk (net of underwritings) come anywhere near the Prudential Limit . . . (Mr. [Kevin] Howard please note!!).”⁷²

As part of the declared Risk Exposure Strategy set forth in its 1998 Annual Revisal and then reiterated in 1999, RBS undertook

[t]o limit direct financial reliance on Enron Corp[.] and, absent acceptable risk mitigants, ensure that the term of such risk is consistent with the parental rating. **This restraint becomes more important in the light of**

⁶⁹ *Id.*

⁷⁰ *Id.* The bank nonetheless sought, and received, assurances of repayment from Enron, not its affiliates, of the bank’s equity investments in the FAS 140 Transactions.

⁷¹ *Id.*

⁷² *Id.* Howard, referred to in the Commons/Mackenzie Email, was the bank’s Enron Relationship Manager, and thus its principal contact with Enron. The bank indeed exceeded its Prudential Limit in the following year. *See* 1999 Annual Revisal Approval, at RBS 3088394.

continuing moves by Enron to, not only transfer assets off-balance sheet[,] but also to leave Enron itself as little more than a provider of intellectual, hedging and other operational support.⁷³

RBS nevertheless took solace in the facts that “executive contact between our respective institutions extends to the highest levels and, over the years, considerable comfort has been obtained as to the quality and integrity of the senior management team, as well as the strict risk controls operated in support of Enron’s highly complex marketing/hedging activities.”⁷⁴ RBS had at least \$734 million in Enron-related exposure at this time.⁷⁵

As RBS began in 1999 to undertake new types of transactions for Enron, the bank continued to demonstrate (i) its grasp of Enron’s specific accounting objectives and (ii) its knowledge of Enron’s actual accounting for these transactions. A “Transaction Summary” prepared by the bank in connection with the Sutton Bridge FAS 140 Transaction discussed the accounting requirement that, in order to qualify as a “true sale,” “substantially all of the future economic benefits of the asset” in the transaction needed to be sold to a third party.⁷⁶ The same document stated that the investor contributing the equity required in a FAS 140 Transaction must have “‘significant’ equity risk,” and noted that there could be “no contractual commitment of the vendor to repurchase the shares.”⁷⁷ RBS completed Sutton Bridge in June 1999 and then completed the three ETOL FAS 140 Transactions in 2000 and 2001. In each of these transactions,

⁷³ 1999 Annual Revisal Approval, at RBS 3088396 (emphasis in original).

⁷⁴ *Id.*

⁷⁵ *Id.* at RBS 3088399-RBS 3088400 (representing dollar figures for pre-takeover NatWest exposure only).

⁷⁶ Sutton Bridge Transaction Summary, at RBS 3126617.

⁷⁷ *Id.*

RBS relied on undocumented assurances by Enron to repurchase the bank's equity interest in the SPE plus yield at maturity.⁷⁸

When considering participation in the Nixon Prepay in December 1999, RBS likewise had a detailed understanding of its structure and accounting purpose. The Nixon Credit Application described in great detail the form of the transaction and concluded that "the whole structure is set up to remove the commodity risk for all parties."⁷⁹ The ARD Memorandum regarding Nixon stated that the "revenue [from the proposed prepay] is likely to be included as deferred income in the current liabilities section of the balance sheet, with cash balances increasing by a corresponding amount. This transaction is consequently anticipated to reduce the reported year-end net debt position of Enron and is effectively a window dressing request."⁸⁰ RBS was also cognizant of the fact that Enron "engaged in price risk management activities for trading and non-trading purposes," and that "[t]hese assets / liabilities are disclosed separately in the balance sheet, with unrealised gains and losses recognized as 'other revenues.'"⁸¹ The RBS senior analyst who authored this ARD Memorandum concluded, however, that Enron's financial

⁷⁸ See, e.g., Kruger Memorandum, at RBS 3038535 (referencing the handwritten comments); Sworn Statement of Peter Commons, RBS, to John E. Stephenson, Jr., A&B, Sept. 24-25, 2003 ("Commons Sworn Statement"), at 197, lines 15-22; Email from Peter Commons, RBS, to Thomas Hardy, *et al.*, RBS, Aug. 11, 2000 (the "Commons/Hardy Email, Aug. 11, 2000") [RBS 6074362]; ETOL I Credit Application, at RBS 3141124; ETOL I Credit Recommendation, at RBS 3141116; CBFM Credit Committee Minutes, Sept. 2000, at RBS 3121434; ETOL II and III Credit Application, at RBS 3124937, RBS 3124939; ETOL II and III Credit Recommendation, at RBS 3124953; RBS CBFM Credit Committee Minutes, Mar. 20, 2001 (the "CBFM Credit Committee Minutes, Mar. 2001"), at RBS 1113345 [RBS 1113344-RBS 1113346].

⁷⁹ Nixon Credit Application, at RBS 3118966. RBS had previously submitted an unsuccessful bid to participate in another Prepay Transaction, Roosevelt, in 1998. Email from Kevin Howard, RBS, to Peter Commons, *et al.*, RBS, Dec. 15, 1998 [RBS 1127685-RBS 1127686]; Email from Michael Keating, RBS, to Gary Mulgrew, *et al.*, RBS, Dec. 23, 1998 [RBS 1127624-RBS 1127625].

⁸⁰ ARD Memorandum, Dec. 6, 1999, at RBS 3118972.

⁸¹ *Id.* at RBS 3118973. The ARD Memorandum further notes that "[t]he market price used to determine these valuations reflects management's best estimates. As at 31 December 1998, Enron had total assets from price risk management activities of \$3.8 Bn (13% of total assets) and liabilities of \$3.9 Bn." *Id.*

disclosures of its price risk management activities were “insufficient to determine the actual payment / receipt profile associated with these activities.”⁸² The analyst suggested that the proposed Nixon transaction represented an acceptable level of financial risk for RBS given its short term, but noted that “Enron has an aggressive stance to balance sheet funding with this transaction appearing little more than a ‘window dressing’ request. While in isolation the transaction is low risk, it raises issues over the absolute level of manipulation undertaken by Enron in its financial statements.”⁸³

In late January and early February 2000, RBS considered participation (and ultimately agreed to participate) as a syndicate bank in the Ghost transaction.⁸⁴ Internal email communications among RBS bankers considering the proposed transaction reveal continuing concerns about the kind of “manipulation” of which the RBS senior analyst had written previously. A top official in the bank’s Corporate Banking division informed colleagues that “[m]y concern is the things that [Enron is] doing to massage their Balance Sheet. Provided we keep things short-term I am not too worried but we need to understand ever better.”⁸⁵ One of those colleagues noted, in support of RBS’s participation in the transaction, that “[b]ecause this is balance sheet management, it pays better than straight Enron corporate risk,”⁸⁶ and the subsequent Ghost Credit Application

⁸² *Id.*

⁸³ *Id.*

⁸⁴ The Examiner detailed Ghost in, *inter alia*, Appendix H (Role of CIBC and its Affiliates) to the Third Interim Report.

⁸⁵ Email from Alan Dickinson, RBS, to Derek Weir, RBS, and copy to Brian McInnes, Relationship Manager, RBS, Feb. 1, 2000 [RBS 3112212].

⁸⁶ Email from Derek Weir, RBS, to Alan Dickinson, RBS, and copy to Brian McInnes, Relationship Manager, *et al.*, RBS, Jan. 31, 2000 (the “Weir/Dickinson Email, Jan. 31, 2000”), at RBS 3112212 [RBS 3112212-RBS 3112213].

likewise refers to the “higher return” that the bank would receive for its participation in this transaction, “due to its balance sheet management function.”⁸⁷

The Ghost Credit Application also reflects RBS’s understanding that Enron had entered into a Total Return Swap as part of the Ghost transaction that was “equivalent to an Enron guaranty, but will be reported under the derivatives rather than guaranties section in Enron’s accounts.”⁸⁸ An ARD Memorandum prepared in conjunction with the Ghost Credit Application identified Enron’s off-balance sheet debt as \$7.6 billion as of December 1998.⁸⁹ As he had two months previously in the ARD Memorandum submitted with the Nixon Credit Application, the author of the Ghost ARD Memorandum concluded that, “[w]hile in isolation this transaction is low risk, it again raises issues over the absolute level of manipulation undertaken by Enron in its operations and the preparation of its financial statements.”⁹⁰

On March 10, 2000, in considering whether to agree to extend the maturity date for the Nixon Prepay by one month (thereby making it, in total, a four-month facility), an RBS credit manager concluded that no new developments since the time that the bank had originally approved the transaction precluded the extension, but commented that

[t]he scale of financial period manipulation [by Enron] is exceedingly worrying and I don’t yet understand it, nor am I sure that anyone in the bank does Such concern has been a theme of all our discussions for a while. . . . We have twice increased exposure since doing this deal, [including] another manipulation when we joined in the JM Trust [i.e., Ghost] 18 month bridge

⁸⁷ Credit Application, Feb. 7, 2000, at RBS 3118875 (the Credit Application for the Ghost transaction) [RBS 3118869-RBS 3118891].

⁸⁸ *Id.* at RBS 3118874.

⁸⁹ ARD Memorandum from A.W. McAlister, Senior Analyst, RBS, Feb. 7, 2000, at RBS 3118880 [RBS 3118879-RBS 3118880].

⁹⁰ *Id.*

I can see from a relationship/business perspective that there is a temptation to write another income generating transaction on the basis of the comfort we are drawing from it being very short term, but the concern must obviously be that if lots of counterparties are doing this then any bad news (or shortage for whatever reason of counterparty capacity) will cut refinance ability dramatically and/or end Enron's ability to manipulate thus leading to a horrendous on-balance sheet position which would further exacerbate the position. The question is when do we stop[?]⁹¹

RBS renewed its participation in FAS 140 Transactions with Enron several months later. The bank's ETOL I Credit Application in September 2000 made plain that the proposed transaction was "aimed at effecting a 'true sale,'" and that the deal was structured as it was for "U.S. accounting purposes."⁹² Though Enron provided its verbal assurance that RBS would receive its "required return" on its equity investment in the structure, the Credit Application disclosed that, "their desired accounting treatment does not permit any formal arrangements to be made."⁹³ When the CBFM Credit Committee met to consider the proposed ETOL I transaction on September 20, 2000, one of the documented "key points" of the discussion was "[t]he impact on Enron risk of structures such as this (i.e., the existence of significant off-balance sheet contingent liabilities)."⁹⁴ Commons characterized Enron as "very open on this issue," and stated that he would be attending a meeting with other RBS and Enron representatives the following week to discuss that issue further.⁹⁵

⁹¹ Email from Alex Sinclair, RBS, to Brian McInnes, *et al.*, RBS, Mar. 10, 2000 (the "Sinclair/McInnes Email, Mar. 10, 2000") [RBS 3118862].

⁹² ETOL I Credit Application, at RBS 3141124.

⁹³ *Id.*

⁹⁴ CBFM Credit Committee Minutes, Sept. 2000, at RBS 3121435.

⁹⁵ *Id.*

Howard, Commons, and their RBS colleague Philip Carraro (“Carraro”) met with several members of Enron management, including Vice President and Treasurer Ben Glisan, over a period of two days in late September 2000. In Carraro’s words, the RBS contingent learned from Glisan that he “did not believe [Enron’s] recognition of income through monetization[s] represented more than 15 [to] 20% of reported earnings, at the most.”⁹⁶ At another point in this series of meetings, RBS learned that

In terms of internal RBS treatment of these structures, while Enron may achieve off-balance sheet treatment, we should consider these direct Enron exposure as their operation and off-take is so closely related to Enron. Additionally, whatever the tax and accounting treatment, Enron’s senior management are consistent in strongly representing verbally that Enron will do everything in their power to protect the investors and lenders involved.⁹⁷

Following these meetings, in its Enron Annual Revisal for 2000, RBS again privately manifested its insight into non-public aspects of Enron’s accounting practices and financial performance. In its “Rating Profile” of Enron, RBS stated that Enron’s “aggressive financial policy . . . results in massive off-balance sheet liabilities,” of various forms.⁹⁸ A listing of “potential follow-up matters” from the September 2000 meetings included undertaking an analysis of the “off-balance sheet activities/valuation issues in the Enron business portfolio,” as well as “a careful perusal of the footnotes to

⁹⁶ Email from Philip Carraro, RBS, to Iain Robertson, *et al.*, RBS, Oct. 4, 2000 (the “Carraro/Robertson Email, Oct. 4, 2000”), at RBS 3120717 (attaching the RBS call report summary of the meeting at Enron) [RBS 3120713-RBS 3120725]. Carraro also noted that “Ben promised to provide me with specific figures (Kevin Howard needs to follow-up on this point).” *Id.*

⁹⁷ *Id.* at RBS 3120723 (attaching the RBS call report summary of the meeting at Enron) (emphasis in original).

⁹⁸ 2000 Annual Revisal, at RBS 3088345 (citing the June 2000 Rating Profile of Enron included as part of the 2000 Annual Revisal materials).

Enron's accounts [that] might identify other accounting practices that we should more fully appreciate."⁹⁹

In early September 2001, in connection with the bank's consideration of a proposed FAS 140 Transaction, ETOL I, a member of the bank's Enron Relationship Management team reported to some of his colleagues within the bank that

[RBS's Iain Robertson] wanted to know what percentage of Enron's earnings were booked as a result of such FAS 125 and FAS 140 structures. 15% to 20% was the answer given by Andy Fastow and Ben Glisan (on separate occasions) and our analysis of the 2000 accounts shows 17% of earnings before interest and tax was derived this way.¹⁰⁰

Additional details concerning RBS's knowledge of Enron's financial condition and accounting objectives are provided below in the context of the specific RBS Transactions discussed herein.

⁹⁹ Email from Philip Carraro, RBS, to Iain Robertson, *et al.*, RBS, Sept. 28, 2000 (the "Carraro/Robertson Email, Sept. 28, 2000"), at RBS 3120714 [RBS 3120713-RBS 3120715]. Regarding Enron's perceived willingness to discuss its finances with RBS, the email states, "[t]hey are open, if we don't ask, we won't know what they know/are doing." *Id.*

¹⁰⁰ Email from Adam Pettifer, RBS, to Paul Fairbairn, *et al.*, RBS, Sept. 6, 2001 (the "Pettifer/Fairbairn Email, Sept. 6, 2001") [RBS 6024063].

III. RBS'S ROLE IN ENRON'S SPE TRANSACTIONS

A. Participating as a Limited Partner in LJM1

Background of LJM1 and its Transactions

As described in the Second Interim Report,¹⁰¹ beginning in 1997 and ending in mid-2001, Enron engaged in a number of transactions with entities in which Fastow and other Enron officers, including Kopper and Glisan, participated.¹⁰² One of these entities, LJM1, engaged in a number of transactions with Enron and its affiliates (collectively the "LJM1 Related Party Transaction"). LJM1 enriched Fastow and his colleagues by approximately \$40 million on an aggregate investment of slightly more than \$1 million.¹⁰³ The sources of these distributions were primarily Enron assets and payments by Enron to LJM1.¹⁰⁴

¹⁰¹ See Second Interim Report, Appendix L (Related Party Transactions).

¹⁰² Based on the evidence that he has reviewed to date, the Examiner believes that Fastow received at least \$60.6 million, that Kopper and Dodson together received at least \$33.4 million, and that Glisan received at least \$1 million from the Related Party Transactions. See Second Interim Report, 104-05; Plea Agreement, *United States v. Glisan*, Cr. No. H-02-0665 (S.D. Tex.), Sept. 10, 2003, at 6. The Creditors' Committee brought suit against Fastow, Glisan, Richard B. Buy, Causey, Skilling, Lay, Kristina M. Mordaunt, Kathy Lynn and Anne Yaeger-Patel on October 1, 2002, alleging, among other things, that these defendants breached their fiduciary duties to Enron and seeking to recoup certain sums from such insiders. Kopper has not been sued as a part of this action. See *Enron Corp. Official Comm. of Unsecured Creditors v. Fastow*, No. 02-10-06531 (9th Jud. Dist. Montgomery Co., Tex.), Oct. 1, 2002.

¹⁰³ See Second Interim Report, Appendix L (Related Party Transactions), *Provision of Cash to Participating Enron Insiders*. In addition, Fastow received \$15.5 million in cash and a house valued at \$850,000 from Kopper in connection with Fastow's sale of his interests in LJM1 and LJM2 to Kopper. *Id.*

¹⁰⁴ *Id.*

LJM1¹⁰⁵ was created in June 1999,¹⁰⁶ with the consent of the Enron Board,¹⁰⁷ as a private equity fund in order to hedge Enron's investment in Rhythms NetConnections, Inc. ("Rhythms").¹⁰⁸ In March 1998, Enron purchased equity in Rhythms for approximately \$10 million.¹⁰⁹ Following Rhythms' initial public offering, its stock price was volatile, and the value of Enron's investment increased to over \$500 million at one point¹¹⁰ and was approximately \$260 million as of June 1, 1999.¹¹¹ Because the Rhythms stock was a fair value asset in Enron's portfolio, Enron would recognize the large increase in value as income and was concerned about the adverse effect on its income statement if the value were to decline. Enron was contractually prohibited from selling or hedging the Rhythms stock for a period of six months.¹¹² Even if Enron were not prohibited from hedging the stock, due to the large percentage of Rhythms' total equity represented by Enron's investment – approximately 50% of Rhythms' publicly traded shares – and the volatility of the stock price in the market, Enron was unlikely to find a

¹⁰⁵ A complete discussion of the LJM1 structure and the transactions in which it engaged that are the subject of this Appendix are set forth in Annex 2 and Annex 3 to Appendix L (Related Party Transactions) to the Second Interim Report.

¹⁰⁶ LJM1, Statement by the General Partner for Registration as an Exempted Limited Partnership, June 21, 1999 (the "LJM1 GP Registration") [AB000154302-AB000154303].

¹⁰⁷ See Enron Board Minutes for Special Meeting, June 28, 1999, at 6-8.

¹⁰⁸ See LJM1 Presentation to the Enron Board.

¹⁰⁹ See Rhythms Form S-1 filed with the SEC on Apr. 6, 1999 ("Rhythms S-1"), Item 15.

¹¹⁰ Memorandum from Rebecca Carter, Senior Vice President, Board Communications, Enron, to Enron Board of Directors, regarding weekly update, Apr. 16, 1999, at 2 (reporting that the stock price had reached as much as \$110 per share). Enron held approximately 5.3 million shares of Rhythms common stock. [AB000448792-AB000448797].

¹¹¹ Rhythms S-1, Principal Stockholders Table. Rhythms' closing stock price on June 1, 1999 was \$48.50 per share. *NASDAQ National Market Issues*, Wall St. J., June 2, 1999, at C12.

¹¹² See Letter from Gil Melman, Senior Counsel, Enron Communications Investments Corp., to Rose Stroud, Legal Transfers Area, American Securities Transfer & Trust Inc., Mar. 20, 2000, at AB000468667 (attaching a copy of Rhythms NetConnections, Inc. stock certificate registered in the name of Enron Communications Investments Corp.) [AB000468665-AB000468668].

third party willing to enter into a hedge on economic terms acceptable to Enron. The LJM1/Rhythms Hedging Transaction is described in detail in Annex 2 to Appendix L (Related Party Transactions) to the Second Interim Report. In summary, Fastow invested \$1 million personally in LJM1 and served (until the summer of 2001), through two entities that he wholly owned, as its sole general partner.¹¹³ Affiliates of RBS and CSFB were LJM1's limited partners,¹¹⁴ each investing \$7.5 million for a 50% limited partnership interest. Enron transferred to LJM1 shares of Enron common stock having an aggregate stock price of \$276 million.¹¹⁵ LJM1 then transferred approximately one-half of the shares to a "Swap Sub," which LJM1 had formed to serve as the hedging vehicle. Enron received \$64 million in promissory notes from LJM1 (the "LJM1 Notes") and a put right that Enron could exercise in the future to force Swap Sub to purchase the Rhythms stock at \$56.125 per share.¹¹⁶

Only Swap Sub, however, and not LJM1, was liable to Enron for the put, and Swap Sub's only asset was the portion of the Enron stock that LJM1 had transferred to

¹¹³ LJM1 GP Registration; LJM Partners, L.P. Statement by the General Partner for Registration as an Exempted Limited Partnership, June 21, 1999 [AB000154309-AB000154310]; Limited Liability Company Agreement of LJM Partners, LLC, June 25, 1999, at 1 [AB000154362-AB000154365]; Amended and Restated Agreement of Limited Partnership of LJM1, June 30, 1999 (the "Partnership Agreement") [RBS 4000182-RBS 4000222]. Until July 2001, Fastow owned and controlled the general partner of LJM1. *See* Fastow/Kopper Purchase Agreement.

¹¹⁴ Partnership Agreement, at RBS 4000218.

¹¹⁵ The shares were actually transferred by UBS at Enron's direction. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

¹¹⁶ Within two weeks after closing the Rhythms transaction, Enron became concerned about the continued volatility of the Rhythms stock. Thus, on July 13, 1999, Enron entered into a "costless collar" with Swap Sub that, among other things, protected Enron from the Rhythms stock price falling below \$65 per share. *See* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

it.¹¹⁷ Thus, Enron did not transfer any of its true economic risk in the Rhythms investment to any third party with assets other than assets provided by Enron. Instead, Enron transferred \$276 million and received \$64 million in promissory notes and a hedge that was supported only by approximately one-half of the stock that Enron itself had transferred into the structure.

In addition to the LJM1/Rhythms Hedging Transaction, LJM1 made two investments (both acquired from Enron or Enron-related entities): (i) the purchase of a 13% interest in a Brazilian power plant project known as Cuiaba;¹¹⁸ and (ii) the purchase of \$15 million of certificates issued by the Osprey Trust (which provided the financing for the Whitewing Share Trust transaction).¹¹⁹

In the Second Interim Report, the Examiner reached three general conclusions about the Related Party Transactions (each of which is applicable to LJM1):

- the Related Party Transactions, including most notably the hedging transactions (such as the LJM1/Rhythms Hedging Transaction), had no valid business purpose from Enron's perspective, other than to achieve desired financial statement reporting;
- Enron temporarily "warehoused"¹²⁰ poorly performing assets or investments, such as its interest in Cuiaba, until Enron repurchased them; and

¹¹⁷ Swap Sub was capitalized with approximately one-half of the Enron stock transferred to LJM1 by Enron and \$3.75 million, which were the proceeds from the disposition of a portion of Enron stock transferred to LJM1.

¹¹⁸ The Cuiaba transaction is described in Annex 3 to Appendix L (Related Party Transactions) to the Second Interim Report.

¹¹⁹ The Whitewing Share Trust transaction is described in Appendix G (Whitewing Transaction) to the Second Interim Report.

¹²⁰ The Examiner uses the term "warehouse" to refer to those transactions in which Enron temporarily transferred assets to a Related Party to impact favorably Enron's financial statements, while Enron continued to search for a third party purchaser. In many instances, there was no third party purchaser, and Enron repurchased those assets at a premium over the price at which the assets had been sold to the Related Party.

- Enron insiders, including Fastow, Kopper, and Glisan, received significant cash payments in breach of their fiduciary duties to Enron and/or in violation of the express conditions upon which the Related Party's creation – and its dealings with Enron – were approved.

In his Third Interim Report, the Examiner concluded that officers of Enron, including Fastow and Glisan, breached fiduciary duties to Enron in connection with LJM1.¹²¹

RBS, as the parent of one of the two limited partners in LJM1, played a significant role in its formation and in the implementation of transactions involving LJM1. In addition, RBS structured and implemented the Total Return Swap transactions with AIG, which, as described below, circumvented certain restrictions in the Amended Partnership Agreement, contravened representations made by Fastow to the Enron Board when he sought Enron Board approval for LJM1, and facilitated increased distributions to Fastow and other Enron insiders.

RBS's Knowledge of LJM1's Purpose and Structure

RBS's facilitation through the LJM1 Related Party Transaction of the personal enrichment of Fastow and other Enron insiders was accomplished with substantial knowledge of the motivations for LJM1's formation, the intended operational procedures of the limited partnership, and the economics of the LJM1/Rhythms Hedging Transaction. RBS understood that LJM1 was:

set up as an investment vehicle, predominantly to enable Enron to get liquidity into its [\$4 billion] merchant portfolio, which has a very positive effect on Enron's ability to gear itself up, since the ratings agencies currently ascribe a very low liquidity quotient to [Enron's] merchant portfolio, and this vehicle will enable that quotient to rise significantly. . . .

¹²¹ See Third Interim Report, Appendix C (Role of Enron's Officers).

Over the [contemplated] 5 year life of the deal, [LJM1] will make investments with a view to capital appreciation. This will almost certainly involve liquidating some or all of the Enron shares currently held, in exchange for other assets (eg [sic] Enron assets).¹²²

RBS also understood that there were at least two additional motivations for the creation of LJM1 from Enron's perspective. First, Enron had approximately \$250 million of value in a series of forward purchase contracts on Enron shares with UBS. UBS had hedged its position by purchasing 7.8 million Enron shares. As stated in an internal RBS presentation, "[r]ealisation [by Enron] of the value would have meant UBS selling the underlying shares into the market, creating downwards [sic] pressure on [Enron's] share price."¹²³ Second, Enron was "holding approximately \$500m of Rhythm[s] Net[Connections] Stock" which Enron could not yet sell because of transfer restrictions, thus requiring Enron "to pass the [mark-to-market] movement in value through P&L quarterly."¹²⁴

RBS knew before it made its initial investment as a limited partner that the limited partners in LJM1 were entitled to the exclusive economic benefit of the Enron stock that would be transferred to LJM1 by Enron, subject to satisfaction of the obligations of Swap Sub under the LJM1/Rhythms Hedging Transaction and an LJM1 promissory note payable to Enron.¹²⁵ Thus, RBS knew that it and CSFB, as the other limited partner in

¹²² Email from David Bermingham, RBS, to Kristi DeMaiolo, RBS, and David Clement, RBS, Aug. 31, 1999 [RBS 4014686].

¹²³ Email from David Clement, RBS, to David Bermingham, RBS, July 27, 1999 (the "Clement/Bermingham Email, July 27, 1999"), at RBS 4014615 (attaching an internal presentation regarding LJM1 dated July 1999) [RBS 4014613-RBS 4014626].

¹²⁴ *Id.*

¹²⁵ Memorandum from Lawrence Nicholls, Head of Investment Appraisal, RBS, to Derek Wanless, *et al.*, RBS, regarding Project LJM, June 23, 1999 (the "Nicholls LJM Memorandum"), at RBS 3030496, RBS 3030498 (attaching a draft memorandum from Giles Darby, Managing Director, RBS, and David

LJM1, would have the benefit of (i) the value of the Enron stock held by LJM1 that was not transferred to Swap Sub (less the \$64 million in LJM1 promissory notes ultimately owed to Enron and certain other *de minimis* LJM1 obligations) and (ii) any excess in the value of the Enron stock held by Swap Sub over the amounts needed to settle the LJM1/Rhythms Hedging Transaction. RBS understood that an important term of the LJM1 Related Party Transaction was that Fastow was to have no economic interest in the stock.¹²⁶

RBS also understood that Fastow represented to the Enron Board, prior to its approval of LJM1's formation, that he would have no economic interest in that stock.¹²⁷

Birmingham, Director, RBS, discussing the business aspects of "Project LJM (formerly known as MARTIN)" [RBS 3030490-RBS 3030501]; Yaeger Facsimile; Email from David Birmingham, RBS, to Tim Shaw, *et al.*, RBS, Nov. 1, 1999 (attaching "Investment Proposal: Presentation to the Board of Campsie Limited") [RBS 4014860-RBS 4014865]; LJM Restructuring – Summary of Outstanding Issue between LP's and GP, author unknown, undated (the "LJM Restructuring Memorandum") [RBS 4007111-RBS 4007112].

As an employee of Enron Corp., in his capacity as General Partner & Manager, Andy Fastow is precluded from enjoying any rights to profit from the Enron Corp. shares (the "Initial Property") to be assigned to LJM Cayman. Hence, all realized proceeds from the shares are solely attributable to Limited Partners.

Email from Mike Ellison, RBS, to Giles Darby, *et al.*, RBS, June 18, 1999 (the "Ellison/Darby Email, June 18, 1999"), at RBS4014253 [RBS 4014252-RBS 4014253].

¹²⁶ Certain terms of the Partnership Agreement, to which RBS's subsidiary, Campsie, was a party, provide that distributions and allocations with respect to the shares of Enron stock transferred to LJM1 were to be made only to the limited partners (CSFB and RBS) and not the general partner (an entity owned and controlled by Fastow). Section 4.2 of the Partnership Agreement provides that "[a]ll distributions of [the shares of Enron stock transferred to LJM1, proceeds of those shares and property received by LJM1 in exchange for those shares] shall be distributed among the Limited Partners." Section 4.2, Partnership Agreement. Section 4.4 of the Partnership Agreement provides that "any income, gain, loss or deduction recognized by [LJM1] as a result of or in connection with the transfer to it of the [shares of Enron stock transferred to LJM1] . . . shall be allocated solely to the Limited Partners." *Id.* at Section 4.4. The general partner would, however, share in other distributions by LJM1. *Id.* at Section 4.3. Further, the general partner's management fee was to be calculated by reference to assets in LJM1 other than the shares of Enron capital stock transferred to LJM1 or the proceeds of those shares. *Id.* at Section 5.2.

¹²⁷ See Enron Board Minutes for Special Meeting, June 28, 1999, at 6 ("Mr. Fastow stated that he would . . . have no direct pecuniary interest in [Enron's] stock."); Yaeger Facsimile; Memorandum from Gary Mulgrew, Managing Director, RBS, to Campsie Directors, *et al.*, Aug. 20, 1999 (the "Mulgrew Memorandum") [RBS 3030454-RBS 3030460]; LJM Restructuring Memorandum; LJM1 Investment Summary, author unknown, undated (the "LJM1 Investment Summary"), at RBS 4004810 ("G[eneral]P[artner] cannot touch the Enron stock which forms the basis of Campsie's investment value.")

RBS understood that Swap Sub's only asset was the Enron stock contributed through LJM1 and that, as a result, the only asset available for the obligations of Swap Sub to Enron under the LJM1/Rhythms Hedging Transaction was stock of Enron.¹²⁸ Therefore, RBS was aware that the LJM1/Rhythms Hedging Transaction was a non-economic hedge.¹²⁹ Because the Enron stock supporting Swap Sub's obligations and the Enron stock retained in LJM1 were Enron's property in the first instance, this transaction could only result in economic loss to Enron. Finally, with regard to the proposed LJM1

[RBS 4004808-RBS 4004810]; Ellison/Darby Email, June 18, 1999, at RBS4014253 ("As an employee of Enron Corp., in his capacity as General Partner & Manager, Andy Fastow is precluded from enjoying any rights to profit from the Enron Corp. shares (the 'Initial Property') to be assigned to LJM Cayman. Hence, all realized proceeds from the shares are solely attributable to Limited Partners."); Clement/Birmingham Email, July 27, 1999, at RBS 4014617; *see also* Sworn Statement of Kevin Howard, RBS, to John E. Stephenson, Jr., A&B, Sept. 18-19, 2003 (the "Howard Sworn Statement"), at 198, 275; *Id.* at 209 (Q. [Did the LJM1 limited partners have] any discussion about the need to ensure that Mr. Fastow did not profit directly or indirectly in the Enron stock? A. That was the understanding of the bank.").

¹²⁸ Lawrence Nicholls, Head of Investment Appraisal for RBS, described the Enron risk as follows:

Enron's recourse will be solely to [Swap Sub], and secured on the 1.67m of Enron shares which are [Swap Sub's] only asset. Although in theory [Swap Sub's] maximum loss on the derivative could be \$292m if Rhythm Net shares are worthless at year 5, Enron's receipt under the derivative will always be the lower of the actual loss and the value of [Swap Sub's] assets.

Nicholls LJM Memorandum, at RBS 3030495; Memorandum from Peter Commons, Head of Credit Risk, RBS, to William Martin, Group Risk Director, RBS, regarding Project LJM, June 29, 1999 (the "Project LJM Memorandum"), at RBS 3030462 ("Moreover, there is a clear 'firewall' between the investment in LJM and the [Swap Sub] holdings . . .") [RBS 3030461-RBS 3030463]; LJM1 Investment Summary, at RBS4004809 ("Enron's recourse under the Put Option is only to [Swap Sub], and only to the extent of the value of the [1.67m] Enron shares which are [Swap Sub's] only assets."). Sworn Statement of David Clement, RBS, to John E. Stephenson, Jr., A&B, Oct. 25, 2003 (the "Clement Sworn Statement"), at 62, line 19 – 63, line 5. The hedge consisted of Swap Sub granting to Enron a European style put option under which Enron had the right to require Swap Sub to purchase 5,393,258 shares of Rhythms stock at an exercise price of \$56.125 per share on June 29, 2000. Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), *Structure of Rhythms Transactions, Rhythms Hedge*; Yaeger Facsimile, at RBS 4005106; Clement/Birmingham Email, July 27, 1999, at RBS 4014618 ("Swap Sub Put Option Liability Limited only to its 1.60m shares or any subsequent assets Fastow acquires with the shares . . .").

¹²⁹ RBS was also aware of the financial statement impact for Enron of this non-economic hedge. Howard Sworn Statement, at 256, lines 7-9 ("It enabled the smoothing of earnings to Enron's P&L so the volatility in the Rhythms Net stock was mitigated.").

investment in Cuiaba, RBS understood that all of the partners in LJM1 would share in any benefits produced from that investment.¹³⁰

Soon after being invited by Fastow to participate as a limited partner, RBS appears to have focused on at least three fundamental concerns about the proposed LJM1 structure:

- (i) The dual role of Fastow as both LJM1's general partner and a senior officer of Enron;
- (ii) The lack of any obvious economic justification for the transaction from Enron's perspective; and
- (iii) The fact that Enron was giving up value greatly in excess of what it appeared to be receiving.¹³¹

Shortly after communicating Fastow's LJM1 proposal to RBS colleagues, in May 1999, Howard received responses expressing discomfort with the proposed transaction. David Bermingham ("Bermingham"), a member of the bank's Structured Finance group, wrote Howard to express doubts about the fairness of the transaction to Enron, which, "[c]oupled with Fastow's insistence on total secrecy," led him to conclude that "we should exercise extreme diligence."¹³² Howard reassured Bermingham and others that the transaction was "above board" and had "the highest executive support. Indeed, it will, in Andy Fastows [sic] words[,] 'take Enron to the next level' in the enhancement of

¹³⁰ Sections 4.2 and 4.3, Partnership Agreement; Nicholls LJM Memorandum, at RBS 3030496 (noting "[a]ll distributions (after paydown of debt) on disposal of other assets to cascade [to Andy Fastow and Limited Partners]").

¹³¹ See, e.g., Project LJM Memorandum; Letter from Iain Cummings, KPMG Audit Plc, to Chris Learmonth, RBS, *et al.*, June 23, 1999 (the "KPMG Letter, June 23, 1999") [RBS 3030569-RBS 3030570]; Email from David Bermingham, RBS, to Kevin Howard, RBS, and Kristi DeMaiolo, *et al.*, RBS, May 26, 1999 (the "Bermingham/Howard Email, May 26, 1999") [RBS 4014174]; Email from David Bermingham, RBS, to Kevin Howard, RBS, and Mike Ellison, RBS, May 28, 1999 (the "Bermingham/Ellison Email, May 28, 1999") [RBS 4016410].

¹³² Bermingham/Howard Email, May 26, 1999.

Enrons [sic] share price.”¹³³ Moreover, Howard explained, Fastow’s insistence on secrecy related to the possibility of Enron officers investing in LJM1, a concept that had not yet received the approval of the Enron Board.¹³⁴

Notwithstanding Howard’s vouching for the transaction, Bermingham responded two days later that he was unable to “get away from the fact that value is going out of the Enron group.”¹³⁵ He added that:

The fact is that a two bit LLC called Martin [the original name for LJM1], owned by a couple of Enron employees, will all of a sudden be gifted \$220m of Enron stock. It could never bother about the borrowing base, sell the stock in the market, pack up [its] bag and disappear off to Rio. If you owned it, wouldn’t you? Now I’m beginning to understand why these guys are so keen to get in on it. . . .

What am I missing???????

There needs to be consideration given to the Enron group.¹³⁶

On June 9, 1999, Mike Ellison, another member of the bank’s Structured Finance group, and Bermingham prepared a list of issues and questions for a meeting the next day that Howard and Giles Darby (“Darby”) (also of RBS’s Structured Finance group) had set with Fastow. Foremost among the issues to be discussed was the bank’s need to

¹³³ *Id.*

¹³⁴ *Id.*

¹³⁵ *Id.*

¹³⁶ *Id.* (emphasis in original). Ironically, Bermingham ultimately was indicted and charged with wire fraud for his role in allegedly improperly profiting from LJM1 and allegedly is evading authorities. Indictment, *United States v. Bermingham*, Cr. No. H-02-0597 (S.D. Tex. filed June 27, 2002), (the “RBS Bankers Indictment”); see also Criminal Docket, *United States v. Bermingham*, 02-CR-0597-ALL (S.D. Tex. filed June 27, 2002) (claiming David Bermingham is a “fugitive”).

“understand the *fundamental rationale*” for LJM1.¹³⁷ Among the suggested questions for Fastow were the following:

- whether the proposal to create LJM1 suggested that Enron was in trouble;
- what consideration was LJM1 providing to Enron as part of the contemplated structure;
- how Enron senior management, as owners of LJM1, could have anything but a conflict of interest in negotiating the purchase of assets from Enron entities; and
- if LJM1 “were owned by an unrelated third party and brought [this] idea to Enron, would Enron do it **on the same terms** as are currently being proposed?”¹³⁸

The potential unfairness of the transaction to Enron’s shareholders and resulting reputational risk to the bank were also recognized in a memorandum from Commons, Head of Credit Risk:

The fundamental issue from my perspective is one that I raised when this transaction was first discussed [internally] and which has, I know, been exercising the minds of everyone concerned over the last two weeks. This is the potential reputational risk given that Enron assets are being transferred into the control of (and for the future benefit of) third-parties, where the third-parties are not necessarily valid ‘arms length’ counterparties, given the shareholding and control exercised by Andy Fastow.¹³⁹

¹³⁷ Email from Mike Ellison, RBS, to Kevin Howard, RBS, and Giles Darby, *et al.*, RBS, June 9, 1999, at 2 (emphasis in original) [RBS 4016402-RBS 4016405].

¹³⁸ *Id.* at 2-3 (emphasis in original).

¹³⁹ Project LJM Memorandum, at RBS 3030461. In the same memorandum, Commons purported to have “offset” his “initial view that Enron shareholders are being ‘short[-]changed,’” through analysis of the “historic” nature of the UBS share trade and other mitigating factors. *Id.* at RBS 3030462. He nevertheless expressed continuing concern regarding Enron’s “heavy off-balance sheet liabilities” and its “inadequate internal cash generation (hence one of the objectives behind this structure [i.e., LJM 1]).” *Id.* at RBS 3030463.

KPMG Audit Plc, engaged by RBS to analyze the bank's internal accounting for the transaction, noted that:

the nature of the transaction is highly unusual. The role of the CFO of Enron and the use of its own shares, raises significant concerns as to the potential reputational risk to the bank if the transaction is not disclosed appropriately by Enron or [if] shareholders claim to have been disadvantaged.¹⁴⁰

Contemporaneous RBS internal documents also reveal an appreciation of potential risks to RBS: "it is not too difficult to construct some form of legal action by Enron shareholders (however spurious) claiming that they have been short-changed, that Andy Fastow has 'cherry picked' assets etc. and, in isolation, the position does not look good."¹⁴¹

Enron Board Approval of LJM1

Fastow presented LJM1 and the LJM1/Rhythms Hedging Transaction at a special meeting of the Enron Board on June 28, 1999.¹⁴² The minutes and the LJM1 Presentation to the Enron Board indicate Fastow, among other things, told the Enron Board that: (i) he would have no "direct pecuniary interest" in the Enron stock used to fund LJM1 (consistent with this representation to the Enron Board, the Partnership Agreement provided that only the Limited Partners, and not Fastow, could benefit from the proceeds of the Enron shares);¹⁴³ (ii) the transaction would keep a large block of

¹⁴⁰ KPMG Letter, June 23, 1999, at 2; *see also* Project LJM Memorandum, at RBS 3030461.

¹⁴¹ Project LJM Memorandum, at RBS 3030461; Clement/Birmingham Email, July 27, 1999, at RBS 4014620 ("Absolute exposure is limited to \$7.5m but the nature of an equity stake provides a different focus on risk analysis[;] Reputation[;] Partnership liability[; and] US shareholder action[.]").

¹⁴² *See* LJM1 Presentation to the Enron Board.

¹⁴³ Section 4.2, Partnership Agreement ("All distributions of Initial Property, Initial Property Proceeds and Substituted Property . . . shall be distributed among the Limited Partners . . . ratably in proportion to their respective Commitments.").

Enron stock restricted; and (iii) PWC would render a Fairness Opinion stating that the value Enron received would exceed the value of the forward contract with UBS that Enron would be giving up.¹⁴⁴ RBS received, prior to the Enron Board meeting, a copy of Fastow's LJM1 Presentation to the Enron Board, as well as proposed resolutions approving the formation of LJM1.¹⁴⁵

The Enron Board approved the transaction and Fastow's role in LJM1 and appointed Lay and Skilling as a committee of the Enron Board to determine if the consideration Enron received was sufficient in the event of a change in the terms of the transaction from those presented to the Enron Board.¹⁴⁶ In addition, the Enron Board authorized the officers to execute various documents in connection with the transaction, including indemnification agreements.¹⁴⁷ Ultimately, RBS took comfort from its understanding that Fastow had obtained necessary internal approvals within Enron, including Enron Board authority, and that the formation of LJM1 (and, presumably, Fastow's role in it) would be, as RBS understood it, "fully disclosed in Enron's SEC filings."¹⁴⁸ RBS also understood that PWC would issue a fairness opinion in connection with the transaction, although RBS was ultimately denied access to the fairness opinion

¹⁴⁴ Enron Board Minutes for Special Meeting, June 28, 1999, at 6-7.

¹⁴⁵ Yaeger Facsimile; Clement Sworn Statement, at 38, line 25 – 39, line 3.

¹⁴⁶ Enron Board Minutes for Special Meeting, June 28, 1999, at 7.

¹⁴⁷ *Id.* at 7-8. The Examiner has discovered an Indemnification Agreement signed by Fastow, but not by Enron, that purports to indemnify Fastow for all "Liability" incurred by him in connection with any claim arising out of the fact that he is the general partner and manager of LJM1. The definition of "Liability" specifically includes Section 16 liability under the Securities Exchange Act of 1934. *See* Section 12 (definition of "Liability"), Indemnification Agreement between Enron and Andrew S. Fastow, June 1999 [AB000468749-AB000468753].

¹⁴⁸ Project LJM Memorandum, at RBS 3030462. RBS also intended to "have sight of the relevant Board minutes/resolutions." *Id.*

itself. Kopper told RBS that a fairness opinion would be delivered and contained nothing that caused him any concern.¹⁴⁹ No fairness opinion had been issued at that time.

LJM1 is Capitalized and the LJM1/Rhythms Hedging Transaction is Closed

The CSFB and RBS subsidiaries each contributed \$7.5 million to LJM1, and Fastow, as General Partner, contributed \$1 million.¹⁵⁰ These amounts were funded on July 9, 1999, with an effective date of June 30, 1999.¹⁵¹ Enron provided the vast majority of LJM1's funding by transferring 6,755,394 shares of Enron stock to LJM1.¹⁵² Effective June 30, 1999, these shares had an aggregate stock price of approximately

¹⁴⁹ In an email, Kevin Howard further explained Kopper's comfort with the forthcoming Fairness Opinion:

However, we will not receive a copy of the fairness opinion from Price Waterhouse To mitigate our concerns in this regard, Enron point to the following: [Kopper and Glissen [sic] have received nothing to date from PW which causes them any concern and although the board wont [sic] have the final sign off from PW before making a decision on Monday, they will have a sign off from Enrons [sic] Chief Accounting Officer that in Enrons [sic] opinion[,] the company is receiving fair consideration. . . . Following the call, Howard and Bermingham discussed the issues with Gies [sic] Darby and [I] think it is fair to say that all three of us feel we should accept what we are being offered and not push any further. . . . Kopper apologised on the call for misleading us on the issue of the fairness opinion [-] has taken alot [sic] of heat internally for making representations which he could not deliver. This is a PW issue [-] not Enron trying to hide anything.

Email from Kevin Howard, RBS, to Giles Darby, *et al.*, RBS, June 25, 1999 (the "Howard/Darby Email, June 25, 1999") [RBS 4007532-RBS 4007533]; *see also* Email from David Bermingham, RBS, to Gary Mulgrew, *et al.*, RBS, June 27, 1999 (reporting, after a conference call with Fastow and other Enron officials that "[n]o sight of the fairness opinion or conversation with PwC is on the table") [RBS 4016354-RBS 4016355].

¹⁵⁰ *See, e.g.*, Partnership Agreement, at RBS 4000221; Memorandum from Michele Wu, PWC, to Files, regarding Distribution in Excess of Basis, Mar. 7, 2001 (the "PWC Memorandum to File"), at 1 [PSI00232176-PSI00232180]. Very shortly after investing \$1 million as General Partner, Fastow collected a \$550,000 "semi-annual management fee." Letter from Andrew S. Fastow, Enron, to LJM1, Aug. 12, 1999, at 1 [RBS 4016340-RBS 4016341].

¹⁵¹ Email from Rodger Yeomans, Director, Campsie, to David Bermingham, RBS, *et al.*, July 9, 1999 (communicating that payment should be completed that day) [RBS 4009663]; Memorandum from David Bermingham, Director, RBS, to Rodger Yeomans, Director, Campsie, *et al.*, regarding Capital Investment in LJM1, July 8, 1999 [RBS 4009678].

¹⁵² Assignment and Assumption Agreement; Memorandum from Richard Ivers, Managing Director, *et al.*, CSFB, to Chuck Ward, Co-Head of Investment Banking, CSFB, and Mark Patterson, CSFB, regarding LJM1, Nov. 29, 1999, at 1 [CSFBCO 000010739-CSFBCO 000010741].

\$276 million,¹⁵³ but because they were subject to a contractually mandated four-year restriction on resale and a one-year restriction on hedging put in place by Enron for this transaction,¹⁵⁴ the discounted value of the shares was substantially less than the aggregate stock price. In exchange for the transfer of shares, Enron received a put option on its Rhythms stock from Swap Sub that LJM1 valued at \$104 million¹⁵⁵ and a \$50 million promissory note from LJM1 that was due September 30, 1999.¹⁵⁶ This left approximately \$122 million of unrealized value in LJM1 (of which RBS, through its affiliate, Campsie, owned a 50% interest).¹⁵⁷

The Fairness Opinion and Post-Closing Changes to the Terms of the Transaction

PWC did not render the Fairness Opinion based on the initial terms of the LJM1 Related Party Transaction.¹⁵⁸ Two changes were made thereafter to the transaction terms. First, on July 27, 1999, almost a month after the recorded closing date of LJM1's funding, LJM1 issued a second limited recourse promissory note to Enron in the principal

¹⁵³ See Enron stock closing price of \$81.75, June 30, 1999, Enron Corp. stock price history report, 1/1/1998 to 6/26/2002, at AB000499883 [AB000499873-AB000499904].

¹⁵⁴ Confirmation Letter from Enron to LJM1 and Swap Sub, June 30, 1999 (the "Original Lock-Up Agreement"), at RBS 4000313-RBS 4000314 [RBS 4000313-RBS 4000316]. The time period for the hedging restriction was extended from one year to two years by amendment a few weeks later.

¹⁵⁵ See LJM/Rhythms Structure Accounting Entries Worksheet, author unknown, undated [AB000468781].

¹⁵⁶ See Limited Recourse Promissory Note in the amount of \$50,000,000 by LJM1 in favor of Enron, June 30, 1999 [AB0068 00315-AB0068 00317].

¹⁵⁷ The Examiner attributes the acts of Campsie to its parent, RBS, and will generally refer to those acts as acts of RBS throughout this Appendix. At the time of closing, RBS computed its share of the unrealized value in LJM1 to be \$42.1 million. Email from David Bermingham, RBS, to Simon Lee, *et al.*, RBS, June 30, 1999 (the "Bermingham/Lee Email, June 30, 1999") [RBS 4007010].

¹⁵⁸ Letter from Andrew S. Fastow, LJM Partners, LLC, to Limited Partners of LJM1, July 27, 1999 (the "Fastow Letter to LJM1 Limited Partners"), at 1 ("[W]e have determined that a couple of changes to the initial structure are necessary to support the initial valuation presented to you.") [RBS 4016342-RBS 4016343]; Mulgrew Memorandum, at RBS 3030456 ("There was a subsequent amendment to the Partnership Agreement to \$64m as Enron's original consideration of \$50m cash had been calculated on a lower share price than we obtained at execution. The increase was important as it was part of Enron's fairness calculations for the value they passed to the partnership."); see Fairness Opinion.

amount of \$14 million as additional consideration for the Enron shares.¹⁵⁹ Second, the prohibition against hedging was extended from one to two years via the Lock-Up Agreement, of which the “no-hedge clause” was a part.¹⁶⁰ Consistent with the PWC Fairness Analysis, Enron ultimately applied a 39% illiquidity discount to the Enron shares, which reduced the value of the Enron shares transferred into LJM1 by approximately \$108 million.¹⁶¹ RBS was aware of the reduction in the value of the Enron shares held by LJM1 (in which RBS had a 50% interest) that resulted from these actions, but does not appear to have expressed any concern or raised any objection.¹⁶²

On August 17, 1999, PWC delivered its Fairness Opinion on the exchange of the Enron shares from Enron in return for the LJM1 Notes and the LJM1/Rhythms Hedging Transaction.¹⁶³ PWC opined that the range of value for the LJM1/Rhythms Hedging Transaction and LJM1 Notes was \$164-\$204 million and the range of value for the Enron shares was \$170-\$223 million and concluded that the consideration received by Enron was fair from a financial perspective.¹⁶⁴

¹⁵⁹ Fastow Letter to LJM1 Limited Partners, at 2; *see also* Amended and Restated Limited Recourse Promissory Note in the amount of \$14,000,000 by LJM1 in favor of Enron [PSI00110108-PSI00110110]. RBS understood that this amendment was made to satisfy PWC’s concerns. Mulgrew Memorandum, at RBS 3030456.

¹⁶⁰ *See* Lock-Up Agreement, at RBS 4010116.

¹⁶¹ On August 13, 1999, PWC delivered a copy of its Fairness Analysis as a precursor to the delivery of its Fairness Opinion four days later. *See* PWC Fairness Analysis. In the Fairness Analysis PWC noted that “Bear Stearns would require a 20% to 40% [illiquidity] discount for four year restricted stock.” *Id.* at 20. PWC also noted that “[i]n Enron Treasury experience, >30% discount is appropriate for 2 to 4 year[] [restricted stock].” *Id.*; Project Martin Deal Memorandum from Global Finance Tax, undated, at 1 (regarding the LJM1/Rhythms Hedging Transaction) [AB000456678-AB000456680]; *see also* Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

¹⁶² Fastow Letter to LJM1 Limited Partners, at 2.

¹⁶³ *See* Fairness Opinion.

¹⁶⁴ *See id.* at 3.

Thus, when RBS made its investment in LJM1, contracts were in place that: (i) prohibited Fastow from sharing in distributions of proceeds resulting from the Enron stock transferred to LJM1;¹⁶⁵ (ii) prohibited LJM1 from hedging the Enron stock it held for one year (subsequently amended to two years);¹⁶⁶ and (iii) prohibited LJM1 from selling or otherwise transferring that stock for four years.¹⁶⁷ RBS was aware of these restrictions even before PWC had issued its Fairness Opinion.¹⁶⁸ In a July 1999 internal presentation on LJM1 provided to the bank's Structured Finance group, Bermingham and a colleague, David Clement, advised their fellow bankers that "Fastow [is] prohibited from obtaining any value on Enron stock delivered to the partnership."¹⁶⁹ RBS was also aware of the hedging prohibition. When it was amended from its original form and became a two-year prohibition, Howard, the bank's Enron Relationship Manager, signed his agreement to the amendment in his capacity as a representative of Campsie.¹⁷⁰

Notwithstanding its knowledge of these restrictions, RBS was concerned that the embedded value in its LJM1 investment (resulting from the excess value of the Enron

¹⁶⁵ Section 4.2 of the Partnership Agreement provides that "[a]ll distributions of [the shares of Enron stock transferred to LJM1, proceeds of those shares and property received by LJM1 in exchange for those shares] shall be distributed among the Limited Partners." Section 4.2, Partnership Agreement. Section 4.4 of the Partnership Agreement provides that "any income, gain, loss or deduction recognized by [LJM1] as a result of or in connection with the transfer to it of the [shares of Enron stock transferred to LJM1] . . . shall be allocated solely to the Limited Partners." *Id.* at Section 4.4. The general partner would, however, share in other distributions by LJM1. *Id.* at Section 4.3. Further, the general partner's management fee was to be calculated by reference to assets in LJM1 other than the shares of Enron capital stock transferred to LJM1 or the proceeds of those shares. *Id.* at Section 5.2.

¹⁶⁶ Original Lock-Up Agreement, at RBS 4000314. Lock-Up Agreement, at 4010116.

¹⁶⁷ Original Lock-Up Agreement, at RBS 4000314.

¹⁶⁸ *See, e.g.*, Fastow Letter to LJM1 Limited Partners; Yaeger Facsimile, at RBS 4005102; Clement Sworn Statement, at 43, lines 11-13 ("I was clearly aware of [the transfer restriction] prior to the close of the transaction or on the close of the transaction.").

¹⁶⁹ Clement/Bermingham Email, July 27, 1999, at RBS 4014617.

¹⁷⁰ Fastow Letter to LJM1 Limited Partners, at 2.

stock transferred to LJM1) was at risk if Enron's stock price were to fall. Indeed, even before the LJM1 Related Party Transaction closed, RBS had begun searching for a way to hedge its indirect investment in the Enron stock in LJM1 in order to protect the gain that RBS stood to realize.¹⁷¹

RBS Circumvents the Partnership Agreement

As early as June 1999, RBS contemplated hedging the Enron stock that capitalized LJM1 to "unlock" what it often referred to as the "seated value" in the "upside" of the Enron shares, while protecting against "downside" risk that the Enron shares would decline in value. On June 14, 1999, Bermingham sent to several of his colleagues at the bank a model "profit payout profile" that, among other things, "calculate[d] how many [Enron put] options [the bank] need[ed] to buy to provide a perfect hedge" of its exposure to downside risk on the Enron shares in LJM1.¹⁷² Bermingham explained that, under the model, "our return on [LJM1] can never be negative[.] We can only lose our [initial investment]. But the payout on our options is a maximum of \$82 per option, which is quite handy!!"¹⁷³ Noting that "[p]erversely ... we will be coining [the hedge] on our Enron puts, and so will actually be better off with Enron shares at \$20 than we would with Enron shares at \$50," Bermingham concluded that "if we buy our protection, this is a one way bet in a financial sense, and as the

¹⁷¹ Email from David Bermingham, RBS, to Gary Mulgrew, *et al.*, RBS, June 14, 1999 (the "Bermingham/Mulgrew Email, June 14, 1999") [RBS 4016394-RBS 4016395]; Email from Mike Ellison, RBS, to David Bermingham, RBS, June 18, 1999 (the "Ellison/Bermingham Email, June 18, 1999") [RBS 4014255]; Nicholls LJM Memorandum, at RBS 3030497.

¹⁷² Bermingham/Mulgrew Email, June 14, 1999, at 1.

¹⁷³ *Id.*

numbers demonstrate, it could be quite a nice bet!!!”¹⁷⁴ Bermingham’s message neither addressed nor acknowledged the transfer restrictions and no-hedge clause contained in the Lock-Up Agreement, which (i) provided the basis for the \$108 million discount ultimately applied to the Enron stock transferred to LJM1, and (ii) underpinned the Fairness Opinion rendered by PWC.¹⁷⁵

On June 18, 1999, reporting that “feedback suggests that we might be able to take to [the bank’s] P&L a ‘prudent [percentage]’ of the initial write up in the [Enron] shares value,” an RBS banker exulted that “[t]his is a GREAT deal, I love it (greed and avarice . . . and the year[-]end bonus raise their ugly heads . . . !!).”¹⁷⁶ Representatives of the bank reacted immediately to the closing of the LJM1 Related Party Transaction by expressing – at least implicitly – a desire to circumvent the transfer and hedging restrictions in the Lock-Up Agreement. In an email on June 30, 1999, Bermingham reported that LJM1 was

signed tonight. For information, the “seated” value of [the bank’s] equity (over and above \$7.5m contributed) is \$42.1m as of this evening (Enron stock price \$81.1875). Our challenge now is to lock in and extract value from this trade. Thanks to all who helped to get us there.¹⁷⁷

On July 19, 1999, an internal RBS memorandum entitled “LJM Profit Extraction” stated that foremost among the bank’s “[o]bjectives” was “to extract profit

¹⁷⁴ *Id.*

¹⁷⁵ Bermingham/Mulgrew Email, June 14, 1999.

¹⁷⁶ Ellison/Bermingham Email, June 18, 1999.

¹⁷⁷ Bermingham/Lee Email, June 30, 1999.

from LJM[1] which may be realised in this accounting year.”¹⁷⁸ In the memorandum, the bank identified “two steps” through which it could extract profit:

- i) hedge the downside risk associated with the LJM investment to ensure that [the bank’s] initial investment of \$7.5m is protected;
- ii) extract profit from the existing upside position.¹⁷⁹

In addition, even before PWC had rendered its Fairness Opinion, RBS became aware that CSFB also intended to derive immediate value (both for itself and for Fastow) from the use or transfer of the Enron shares that had funded the partnership. Shortly after LJM1 was collateralized, CSFB had begun to develop its own plan to obtain the unrealized value in the restricted Enron stock held by LJM1.¹⁸⁰ On August 5, 1999, CSFB presented a proposal to Enron and RBS representatives at a meeting in London.¹⁸¹ The proposal outlined a means by which CSFB intended to hedge its own position in the Enron shares – a CSFB-developed transaction known as SAILS, which was an acronym for “Shared Appreciation Income Linked Securities.” CSFB developed SAILS to permit its clients to monetize or hedge securities that were otherwise subject to

¹⁷⁸ Memorandum from the Structuring Group, regarding LJM Profit Extraction, July 14, 1999, at RBS 4008755 [RBS 4008755-RBS 4008764].

¹⁷⁹ *Id.*

¹⁸⁰ Email from Carmen Marino, Managing Director, CSFB, to Robert Furst, Director, CSFB, and Richard Ivers, Managing Director, *et al.*, CSFB, July 6, 1999 [CSFBCO 000049286-CSFBCO 000049287].

¹⁸¹ See CSFB Presentation to LJM1, “Materials Prepared for Discussion LJM Cayman, L.P.,” Aug. 5, 1999 (the “CSFB SAILS Presentation”) [CSFBCO 000008370-CSFBCO 000008385]; Clement Sworn Statement, at 27, lines 17-23.

transfer restrictions.¹⁸² That proposal contemplated providing funds to Fastow resulting from a hedging transaction.¹⁸³

CSFB's proposal would allow the limited partners of LJM1 to lock-in a guaranteed minimum return on the shares of Enron stock held by LJM1, while still allowing the limited partners of LJM1 to participate in up to 10% of any appreciation in that stock.¹⁸⁴ The SAILS transaction, as proposed, would also result in a payment to LJM1, thereby enabling it to repay the LJM1 Notes to Enron and creating additional funds for LJM1 to invest.¹⁸⁵ This was presumably a highly attractive proposition to Fastow for at least two reasons. First, his management fee was computed based on assets under management (other than the Enron shares), which would be increased by the additional amount available to be invested. Second, the parties treated the additional funds not as proceeds of the Enron stock (in which Fastow could not participate), but as additional capital contributions in which Fastow could share. In other words, while Fastow could only invest and profit from \$16 million when LJM1 closed, after SAILS, he could invest and profit from what would eventually be \$41 million (the \$16 million from the initial partnership investments plus the additional \$25 million contributed to LJM1 that resulted from SAILS).

In an internal email one day after learning of the SAILS proposal, RBS evaluated the CSFB plan. RBS representatives saw obvious benefits to "LJM/Fastow" (as RBS

¹⁸² See Sworn Statement of Carmen Marino, former Managing Director, CSFB, to Frank G. Smith, A&B, Sept. 25, 2003, at 31-37.

¹⁸³ Birmingham/Howard Email, Aug. 6, 1999, at 1 (noting that the proposal provides "[u]pside for Fastow on all investments made" and has "enormous attraction for" Fastow).

¹⁸⁴ See CSFB SAILS Presentation.

¹⁸⁵ See *id.* at CSFBCO 000008384.

referred to the beneficiary) and to CSFB in the proposal, but little advantage for RBS.¹⁸⁶ Specifically, RBS observed that the CSFB proposal would provide “LJM/Fastow” the advantage of “[l]iquidity of (net) \$66m, which is entirely windfall (it was NEVER the intention in the original deal),” and “[u]pside for Fastow on all investments made (he currently has none).”¹⁸⁷ Likewise, RBS assessed CSFB’s proposal as potentially affording CSFB the benefits of removal of Enron stock price risk, as well as approximately \$2 million on derivatives trades.¹⁸⁸ In summary, RBS determined the proposal had “enormous attraction for Andy, substantial attraction for CSFB, and a whole lot of nothing for us.”¹⁸⁹

Despite these misgivings, and “bearing in mind everyone’s objectives,” RBS initially decided in favor of *accepting* CSFB’s proposal on the condition that certain new provisions be added that ensured that RBS could share in the “upside.”¹⁹⁰ In particular, RBS contemplated a counterproposal whereby Fastow would still reap “[n]ew liquidity of \$36m (over and above the \$16m of cash he already has), which was never envisaged in the original deal” and would allocate to Fastow over 60% of the upside in new investments made – but would also provide RBS with “P&L now of \$15m,” and, among other things, “indeterminate upside going forward (totally new risk profile, but really

¹⁸⁶ Bermingham/Howard Email, Aug. 6, 1999, at 1.

¹⁸⁷ *Id.*

¹⁸⁸ *Id.*

¹⁸⁹ *Id.* RBS believed the transaction did “a whole lot of nothing” for the bank because unlike CSFB, RBS did not mark-to-market its investment in LJM1. *Id.* (“[Michael Kopper] is likewise aware that we do not [mark-to-market] and that therefore this has no P&L effect for us.”). Bermingham further noted that “[SAILS] is not an attractive deal for us. Ben Glisan describes it as a great day at the office. I would describe it as three hours at a Leonard Cohen concert.” *Id.*

¹⁹⁰ *Id.* at 2.

upside only, since we will already have made a 200% guaranteed return).”¹⁹¹ RBS put forth this counterproposal knowing that it would result in Fastow participating in liquidity derived from the Enron shares,¹⁹² which was contrary to the terms of the Partnership Agreement and his representations to the Enron Board.

On August 20, 1999, RBS presented a “restructuring proposal” for LJM1 to the directors of the bank’s affiliate, Campsie. The premise for the proposal was that “Enron stock [is] at an all-time high – Limited Partners (‘LP’s’) seated value is currently \$45m discounting any value attributed to Swap Sub and excluding the initial \$7.5m investment.”¹⁹³ Because the “LP’s [were] currently fully exposed to a single asset, ie [sic] the Enron stock price,” the proposal suggested that “it may be appropriate for the LP’s to lock-in the seated value at the current share price.”¹⁹⁴ The Campsie directors, including Howard, do not appear to have raised any issues regarding the proposal, including specifically questioning whether the transaction might violate the Lock-Up Agreement or run afoul of the restrictions on Fastow profiting from the Enron stock.

¹⁹¹ *Id.*

¹⁹² Birmingham further commented on the CSFB proposal:

We may need to consider some other restrictions on the types of investment Andy [Fastow] can make, since he is now playing poker with our seated value[.] . . . [W]ould we wish to make the terms slightly less favourable to him on these new investments, since it is really new wealth for him, so it would be unreasonable for him to assume that he should get such a large slice of the pie on whjat (sic) used to be exclusively our money.....?

Id.

¹⁹³ Mulgrew Memorandum, at RBS 3030455.

¹⁹⁴ *Id.* The proposal also contemplated that the funds generated by the transaction, like the Enron stock, would be classified as “Initial Property.”

Campsie’s risk/reward profile will however shift under the terms of the agreed documentation and for incentivisation purposes – the GP will receive approximately 60% of the upside in future investments which are not ‘initial property.’ The initial property was the original Enron stock and will now be the funds generated via the transaction outlined above.

Id. at RBS 3030457.

During the second half of 1999, RBS, CSFB, and LJM1 discussed various means, including SAILS, by which the banks and Fastow could realize an immediate gain from the Enron stock held by LJM1.¹⁹⁵ Most or all of these proposals appear to have contemplated hedging exposure to the Enron shares and/or transfer of the Enron shares contrary to the terms of the Lock-Up Agreement.¹⁹⁶ The proposals also appear to have contemplated providing Fastow with a direct pecuniary interest in the proceeds resulting from the Enron stock that had been used to fund LJM1, in violation of the Partnership Agreement and contrary to Fastow's representations to the Enron Board. Howard testified that he understood at the time that it was solely the limited partners (not Fastow) that could receive the value of the Enron shares that were contributed to LJM1 on formation.¹⁹⁷ He nevertheless acknowledged that between August and November 1999, the bank had discussed restructuring transactions under which "Mr. Fastow was going to get some more benefit" than was permitted in the original structuring of LJM1.¹⁹⁸ Howard understood that such benefit would result from contributions made to LJM1 by the limited partners in exchange for, in essence, the

¹⁹⁵ Clement Sworn Statement, at 91, lines 9-13 ("[V]arious permeations and structure ideas were battered back and forth for some period until we got the transaction we actually consummated, which we discussed earlier, in November.").

¹⁹⁶ See, e.g., Mulgrew Memorandum; Email from David Bermingham, RBS, to Gary Mulgrew, *et al.*, RBS, Oct. 19, 1999 (attaching an "Application to Credit Risk" discussing the proposed hedging activities) (Ex. 19 to Howard Sworn Statement) [RBS 4014816-RBS 4014824]; Email from David Bermingham, RBS, to Kevin Howard, *et al.*, RBS, Oct. 28, 1999 (attaching an "Investment Proposal Presentation to the Board of Campsie" from RBS discussing the proposed hedging activities and benefits to Campsie) (Ex. 21 to Howard Sworn Statement) [RBS 4014844-RBS 4014848]. David Clement testified that the Total Return Swap did not involve the actual Enron shares held by LJM1, but rather a notional amount of Enron shares. See Clement Sworn Statement, at 146, lines 3-10.

¹⁹⁷ Howard Sworn Statement, at 198, 209, 275.

¹⁹⁸ *Id.* at 283.

ability to obtain immediate value from the Enron shares that had been used to capitalize LJM1.¹⁹⁹

On November 9, Bermingham sent an email to Glisan setting forth RBS's latest LJM1 restructuring proposal pursuant to which the bank could receive the "seated value" of the Enron shares in LJM1:

[T]he attached spreadsheet illustrates a proposal which we hope will be acceptable to Andy. The underlying principle here is that there is essentially \$14m of value that we need to transfer to Andy over a period which is assumed to be 2 years, but might be longer if that would suit Andy better.²⁰⁰

Various iterations of RBS's proposal continued to contemplate that the limited partners would realize the entire value of the Enron shares in exchange for the infusion of cash to LJM1.²⁰¹

The end result of the various proposals and counterproposals from August through November 1999 was that LJM1, on November 29, 1999, distributed into escrow accounts for the benefit of each limited partner 1,775,000 shares of Enron stock (worth approximately \$137 million) that had been transferred to LJM1 at formation.²⁰² The transfer of these shares allowed RBS to complete, on November 30, 1999, Total Return

¹⁹⁹ Howard Sworn Statement, at 283. Howard further testified that it was his understanding that the additional "benefit" conveyed to Fastow was the result of the hedging transactions related to the Enron shares. *Id.* at 284, lines 2-12.

²⁰⁰ Bermingham/Glisan Email, Nov. 9, 1999, at 1.

²⁰¹ See, e.g., Email from David Bermingham, RBS, to Ben Glisan, Treasurer, Enron, *et al.*, Nov. 12, 1999 (the "Bermingham/Glisan Email, Nov. 12, 1999") (proposing that "LP's each invest \$44.5m as BLP Interests [i.e., what were denominated as "B" Interests held by the limited partners], which represent the entire interest in the Initial/Substitute property. Proceeds used to repay Enron debt and CSFB loan.") [RBS 1029943]; Clement Sworn Statement, at 86, lines 12-22, and at 92, lines 18-23.

²⁰² Escrow Agreement between LJM1, Campsie and Coutts (Cayman) Limited, Nov. 29, 1999 (the "RBS Escrow Agreement"), at RBS 1060978 [RBS 1060972-RBS 1060979]; Escrow Agreement among LJM1, ERNB, Credit Suisse Financial Products and CSFB, Nov. 29, 1999 [AB1128 01068-AB1128 01079].

Swaps with AIG that enabled RBS to book approximately \$67 million²⁰³ in income.²⁰⁴

In return, RBS and CSFB agreed that they would each make equal “Additional Capital Contributions”²⁰⁵ sufficient to infuse LJM1 with enough cash to pay off the \$64 million in LJM1 Notes, as well as a \$25 million bridge loan that CSFB had made to the partnership.²⁰⁶ LJM1’s commitment to escrow the Enron stock was a condition precedent to the limited partners’ obligation to make the cash infusion.²⁰⁷ In view of its \$45.1 million “Additional Capital Contribution” to LJM1 and the \$67 million that it received through its Total Return Swaps with AIG (which closed approximately two

²⁰³ Chart of RBS/LJM1 Distributions (noting “\$67,011,270.75” described as “Distribution into escrow of 1,775,133 shares of ENE stock”). Other RBS documents set the figure at \$68 million and \$70 million respectively. Email from David Bermingham, RBS, to Allen Hing, RBS, Nov. 30, 1999, at RBS 4006445 (\$68 million) [RBS 4006444-RBS 4006445]; Pettifer/Howard Email, Aug. 15, 2000, at RBS 4003283 (\$70 million) (attaching a memorandum regarding the “Background of LJM Structure”).

²⁰⁴ See, e.g., Bermingham/Glisan Email, Nov. 12, 1999; Pettifer/Howard Email, Aug. 15, 2000 (attaching a memorandum regarding the “Background of LJM Structure”). On December 9, 1999, CSFB closed the SAILS transaction that had been the subject of its discussions over the previous months with Enron and LJM1, and obtained \$57.1 million in proceeds. Section 2.01, SAILS Mandatorily Equity-Linked Securities Contract among ERNB, Credit Suisse Financial Products and CSFB, Dec. 9, 1999 [CSFBCO 000008587-CSFBCO 000008613]. For a more detailed discussion of this transaction, see Final Report, Appendix F (Role of CSFB and its Affiliates).

²⁰⁵ The payments made by the limited partners were ultimately characterized in this manner, apparently to allow Fastow to benefit from this infusion. Had the payments instead been characterized as “Initial Property Proceeds” or “Substituted Property,” as RBS previously expected, “Andy [Fastow] [could] not benefit from their base valuation.” See LJM Restructuring Memorandum, at RBS 4007112 (stating that a contrary characterization was “fundamentally not the ‘understanding’ of the Partnership”). RBS’s belief that proceeds resulting from its hedging of the value of the Enron shares transferred to LJM1 would constitute “initial property” is evident from an August 20, 1999 memorandum stating that “[t]he initial property was the original Enron stock and will now be the funds generated via [this hedging] transaction outlined above.” Mulgrew Memorandum, at RBS 3030457; Howard Sworn Statement at 284, lines 2-12 (the hedging transactions related to the Enron shares conveyed the additional “benefit” to Fastow).

²⁰⁶ Bermingham/Glisan Email, Nov. 12, 1999 (“LP’s each invest \$44.5m as BLP interests, which represent the entire interest in the Initial/Substitute property. Proceeds used to repay Enron debt and CSFB loan.”); Bermingham/Galloway Email, Nov. 12, 1999 (attaching “Investment Proposal Presentation to the Board of Campsie Limited”).

²⁰⁷ Sections 1.6 and 1.7, Second Amended and Restated Agreement of Limited Partnership of LJM1, Nov. 29, 1999 (the “Amended Partnership Agreement”) [RBS 1061131-RBS 1061173]. The limited partners’ obligation to make the “Additional Capital Contributions” was contingent upon “the prior performance of the covenants in the first sentence of Section 1.7 [i.e., the requirement that LJM1 transfer the shares into escrow].” *Id.*

weeks before RBS provided the cash infusion), RBS reaped in excess of \$22 million in profits as part of this process.²⁰⁸

Bermingham recognized in an email to colleagues shortly after the Total Return Swaps were completed that “the [Total Return Swaps] amounted to a realisation of the value of the Enron stock.”²⁰⁹ An internal briefing on the bank’s historical involvement in LJM1 stated succinctly the respective goals achieved by RBS and Fastow through the Total Return Swaps with AIG: “[RBS] wished to lock in and realise its profit from the [LJM1] deal straight away and [Fastow] wished for more cash in LJM for him to invest and generate profit from.”²¹⁰

The Total Return Swaps, including the related RBS Escrow Agreement, required Fastow’s consent as the general partner²¹¹ and Enron’s consent under the Lock-Up Agreement.²¹² Causey executed a consent to the RBS Escrow Agreement on behalf of Enron.²¹³ The RBS Escrow Agreement contemplated the release to RBS’s affiliate, Campsie, of “all or a portion of” the Enron shares transferred into escrow “[u]pon receipt

²⁰⁸ See, e.g., Bermingham/Glisan Email, Nov. 12, 1999; Pettifer/Howard Email, Aug. 15, 2000 (attaching a memorandum regarding the “Background of LJM Structure”); Clement Sworn Statement, at 57, line 23 – 58, line 2.

²⁰⁹ Email from David Bermingham, RBS, to Chris Clarke, *et al.*, RBS, Dec. 6, 1999 [RBS 6025615]. In discussing potential bonuses to be paid to certain RBS employees for 1999, Bermingham stated “[s]o what [Clement] and I have achieved over the last couple of months is to strip out 94% of the value remaining in the vehicle after Fastow put his grubby little fingers in the till, and convert it to P&L. For emphasis, what we have executed was not Enron’s idea, or Fastow’s idea, or CSFB’s idea, it was OUR idea.” Email from David Bermingham, RBS, to Gary Mulgrew, RBS, Dec. 1, 1999, at RBS 4015211 [RBS 4015211-RBS 4015212]; see also Howard Sworn Statement, at 362, line 18 – 363, line 4.

²¹⁰ Pettifer/Howard Email, Aug. 15, 2000, at RBS 4003282 (attaching a memorandum regarding the “Background of LJM Structure”).

²¹¹ RBS Escrow Agreement, at RBS 1060978 [RBS 1060972-RBS 1060979].

²¹² Lock-Up Agreement, at RBS 4010115 (“LJM Cayman and LJM Swap Sub agree that without the consent of Enron, they will not sell, assign, transfer, pledge, hypothecate or otherwise dispose of the Settlement Shares.”).

²¹³ Acknowledgment and Agreement between Enron and Campsie, Nov. 29, 1999 (the “Acknowledgment Agreement”) [AB1128 01102-AB1128 01105].

of a certificate executed by an officer of Campsie,” and in no event later than November 29, 2001.²¹⁴ The Examiner has found no evidence that RBS sought any assurances that either the RBS Escrow Agreement or the Total Return Swaps had been considered or approved by the Enron Board and has found no evidence of such approval.

Through the Total Return Swaps, RBS helped restructure LJM1 to achieve its long-stated objective of locking in its share of the “seated value” in the Enron stock contributed to LJM1, and Fastow, through his general partnership interest in LJM1, personally profited in a manner that was, as Bermingham had previously stated, “NEVER the intention in the original deal.”²¹⁵ Thus, a fact-finder could conclude that RBS, through the Total Return Swaps, enabled Fastow to receive funds derived from the value of the Enron stock held in LJM1 contrary to Fastow’s representations to the Enron Board in connection with its approval of the LJM1 Related Party Transaction²¹⁶ and the express terms of the Amended Partnership Agreement.²¹⁷

RBS’s Sale of Its Interests in Swap Sub to Enron Insiders

In early 2000, Fastow, Kopper and three of the RBS bankers involved in the LJM1 Related Party Transaction (Bermingham, Darby, and Gary Mulgrew (“Mulgrew”), all in RBS’s Structured Finance group) allegedly devised a plan to benefit personally from the April 2000 termination of the LJM1/Rhythms Hedging Transaction in which Enron would make payments to Swap Sub.²¹⁸ Fastow and Kopper apparently decided to

²¹⁴ Section 4, RBS Escrow Agreement.

²¹⁵ Bermingham/Howard Email, Aug. 6, 1999, at 1.

²¹⁶ Enron Board Minutes for Special Meeting, June 28, 1999, at 6.

²¹⁷ See Section 4.2, Amended Partnership Agreement.

²¹⁸ The termination of the LJM1/Rhythms Hedging Transaction is described in Annex 2 to Appendix L (The Related Party Transactions) to the Second Interim Report.

include certain Enron and LJM1 employees in the transaction as well.²¹⁹ To carry out their plan, they formed Southampton, L.P. (“Southampton”) in March 2000 to acquire ownership of Swap Sub and its parent entity, SwapCo.²²⁰

At the time of the sale, Swap Sub’s only asset, aside from approximately \$3.75 million in cash, was the value of the Enron stock it held offset by its obligations under the LJM1/Rhythms Hedging Transaction.²²¹ In March 2000, LJM1 distributed its interests in Swap Sub and SwapCo to its limited partners, RBS and CSFB (through their affiliates).²²² Concurrently with that distribution, each limited partner entered into a separate purchase and sale agreement with Southampton under which Southampton purchased the Swap Sub and SwapCo interests from each limited partner.²²³

Although CSFB’s affiliate received \$10 million in exchange for its interests in Swap Sub and SwapCo, Campsie was offered²²⁴ and received \$1 million for the sale of its equal interest to Southampton.²²⁵ Fastow, Kopper, Bermingham, Darby and Mulgrew

²¹⁹ Powers Report, at 92-96, available at <http://www.chron.com/content/news/photos/02/02/03/enron-powersreport.pdf>.

²²⁰ Section 1.3, Southampton Place, L.P. Amended and Restated Agreement of Limited Partnership, Mar. 20, 2000 [AB000002941-AB000002968]. The Examiner has found no evidence that the existence of Southampton, L.P. or the identity of its owners and their economic interests were disclosed to or approved by the Enron Board.

²²¹ Second Interim Report, Annex 2 to Appendix L (Related Party Transactions).

²²² See, e.g., PWC Memorandum to File, at 2; See Memorandum from Richard Ivers, Managing Director, CSFB, and Mary Beth Mandanas, Vice President, CSFB, to Chuck Ward, Co-Head of Investment Banking, et al., CSFB, regarding Proposed Sale of Swap Sub interests to Southampton, Mar. 20, 2000 (the “Ivers Memorandum, Mar. 20, 2000”) [CSFBCO005718431-CSFBCO005718432]; LJM1 Analysis of Accounts, Dec. 31, 2000 (the “Dec. 31, 2000, LJM1 Account Analysis”), at PSI00124655 [PSI00124655-PSI00124664].

²²³ Ivers Memorandum, Mar. 20, 2000.

²²⁴ See Letter from Michael Kopper, Managing Director, LJM Partners, LLC, to Giles Darby, Managing Director, RBS, Mar. 6, 2000 [PSI00119851].

²²⁵ See Information, *United States v. Kopper*, Cr. No. H-02-0560 (S.D. Tex.), Aug. 20, 2002 (the “Kopper Criminal Information”), at ¶ 21; Purchase Agreement, among Campsie, Southampton, Swap Sub, SwapCo, and LJM Partners, L.P., Mar. 17, 2000 [RBS 1060261-RBS 1060266].

apparently agreed to convince Campsie to accept \$1 million for the interests, while representing to Enron that the purchase price for Campsie's interests was \$20 million.²²⁶ Mulgrew and Darby recommended that the Campsie board accept the \$1 million offer in part because "we had ascribed no value to Swaps sub [sic] anyway."²²⁷ The aforementioned five individuals allegedly split the difference of \$19 million among themselves and the small number of other Enron and LJM1 employees who were investors in Southampton.²²⁸ Ultimately, RBS bankers Bermingham, Darby and Mulgrew allegedly received approximately \$7.3 million in the aggregate and the other Southampton investors – including Fastow and Kopper – allegedly received the remaining \$11.7 million.²²⁹ Bermingham resigned from RBS (which had completed its acquisition of NatWest in the same month as Southampton acquired Swap Sub) one month after this purchase of Swap Sub and SwapCo by Southampton. Mulgrew and Darby left the bank approximately three and four months after this purchase by Southampton, respectively. Bermingham, Mulgrew and Darby all face criminal charges in connection with their dealings with LJM1.²³⁰

In sum, as set forth in more detail in Appendix L (Related Party Transactions) to the Second Interim Report, the unwinding of Swap Sub, to which RBS attributed no

²²⁶ See Kopper Criminal Information, at ¶¶ 21-22; *see also* RBS Bankers Indictment, at ¶¶ 16-20.

²²⁷ Memorandum from Giles Darby, *et al.*, RBS, to Gary Mulgrew, RBS, regarding Swap Sub, Mar. 7, 2000, at RBS 4010354 (quoting Mulgrew's handwritten note) [RBS 4010353-RBS 4010354].

²²⁸ See Kopper Criminal Information, at ¶ 21; RBS Bankers Indictment, at ¶¶ 20-22; Fastow Superseding Indictment, at ¶¶ 88-95.

²²⁹ See Kopper Criminal Information, at ¶ 23; RBS Bankers Indictment, at ¶ 22; Fastow Superseding Indictment, at ¶¶ 93-95.

²³⁰ See RBS Bankers Indictment.

value, yielded \$1 million to RBS, \$10 million to CSFB, and \$19 million to Fastow, his colleagues, and Mulgrew, Bermingham, and Darby.

The July 2000 Distributions

On July 14, 2000, Fastow declared an LJM1 distribution. The distribution transferred \$17.9 million to Fastow and \$5.9 million to each of RBS and CSFB.²³¹ The Examiner has concluded that Fastow's ability to distribute \$17.9 million to himself at this time was a consequence of the payments made to LJM1 by RBS and CSFB as part of RBS's Total Return Swap transactions with AIG and CSFB's SAILS transaction, respectively. Fastow in this manner derived personal profit from the transfer (into escrow) by LJM1 of the Enron shares, notwithstanding his contrary representations to the Enron Board and the express prohibition in the Amended Partnership Agreement.

LJM1's Investment in Cuiaba

Enron ultimately purchased LJM1's Cuiaba investment for \$13.7 million on August 15, 2001.²³² From the purchase price, \$7.3 million was distributed to the general partner of LJM1 and approximately \$2.7 million to each limited partner in LJM1.²³³ Enron repurchased LJM1's Cuiaba interests at a premium,²³⁴ even though the facts

²³¹ Dec. 31, 2000, LJM1 Account Analysis, at PSI00124659-PSI00124660; LJM Cayman Wire Transfer Request, July 14, 2000 [PSI00133904]; LJM Cayman Wire Transfer Request, July 14, 2000 [PSI00133905]; LJM Cayman Wire Transfer Request, July 14, 2000 [PSI00133906].

²³² See EPE Holdings Ltd. Transfer of Share from LJM BrazilCo. to Enron do Brazil Holdings Ltd., Aug. 15, 2001 [AB000153819-AB000153820].

²³³ See Second Interim Report, Annex 3 to Appendix L (Related Party Transactions), *LJM1 Cuiaba Transactions*.

²³⁴ See Second Interim Report, Appendix L (Related Party Transactions).

indicate that the market value of the interests actually decreased during LJM1's ownership period.²³⁵

Perhaps as early as November 9, 1999, RBS may have been aware of a verbal agreement between Fastow and Enron that Enron would repurchase Cuiaba at a profit to LJM1.²³⁶ Prior to the repurchase, RBS had been concerned that it would be required to write-down on its financial statements its interest in Cuiaba, held through LJM1, because it anticipated receiving less than its "carrying value" for that interest.²³⁷ In September 2000, when the investment in Cuiaba was LJM1's sole remaining asset, Fastow proposed purchasing RBS's limited partnership interest in LJM1 for \$100,000 on or before October 10, 2000.²³⁸ When the parties were unable to agree upon sale terms, the Cuiaba asset remained in LJM1, and Fastow continued to draw management fees based on the asset's book value.²³⁹

When Enron repurchased Cuiaba in August 2001, RBS was provided with no new information explaining why the value of its interest had increased to \$2.7 million in the

²³⁵ See *id.*

²³⁶ See Bermingham/Glisan Email, Nov. 9, 1999, at RBS 4016225 (stating that "we know" that Cuiaba will yield more than 12% over two years). In any event, it is clear that RBS, when it subsequently became concerned that it would need to write down its interest in Cuiaba, benefited from Fastow's dual role as LJM1 General Partner and Enron CFO. See Memorandum from Kevin Howard, *et al.*, RBS, to Leith Robertson, *et al.*, RBS, regarding buyout of Fastow's LJM interests, June 22, 2001, at RBS 1112362 (stating that Fastow "*secured a sale of the Brazilian asset to Enron at a price which will be enough to repay our outstanding capital amount and return a further small LP distribution*") (emphasis in original) [RBS 1112361-RBS 1112364]. The memorandum further noted that Fastow "*was able to achieve this as a result of the close ties between Enron and LJM[1].*" *Id.* at RBS 1112362 (emphasis in original).

²³⁷ Howard Sworn Statement, at 414, line 13 – 415, line 15.

²³⁸ See Letter from Andrew S. Fastow, General Partner, LJM1, to Campsie c/o Kevin Howard, RBS, Sept. 15, 2000 (the "Fastow Letter to Campsie"), at RBS 4003318 [RBS 4003318-RBS 4003319].

²³⁹ See Email from Kevin Howard, RBS, to Iain Houston, *et al.*, RBS, Sept. 26, 2000 (noting that Fastow refused RBS's counteroffer regarding Cuiaba and intended "to continue the partnership for the foreseeable future to maximize value") [RBS 4014158].

year since Fastow offered RBS \$100,000 for that interest.²⁴⁰ It appears that this sum was intended to provide the bank with slightly more than its carrying value of its interest in Cuiaba, thus relieving RBS of a potential accounting problem that would result from receiving less than the carrying value for its interest. Howard wrote several of his colleagues shortly after the bank received its \$2.73 million distribution to inform them that

Andy Fastow, LJM's [G]eneral Partner and CFO of Enron[,] was looking to liquidate [LJM1] in the belief that both RBS and CSFB (the other Limited Partner) had already ensured that their equity investments had been repaid in full. Learning of our situation and not wanting the deal to be tainted in the eyes of the RBS Executive, Fastow has negotiated for Enron to buy back LJM[1]'s interest in [Cuiaba] for an amount that, *inter-alia* [sic], would totally liquidate our outstanding equity investment.²⁴¹

Fastow told the bank that its receipt of this distribution from the Cuiaba sale would make him "look like a hero in the bank's eyes, in [RBS's] executive's eyes."²⁴² On August 31, 2001, with no assets remaining in LJM1, RBS calculated that in the aggregate it had received from the LJM1 Related Party Transaction, "a total return on our \$7.5m

²⁴⁰ Howard Sworn Statement, at 417, lines 8-17. In fact, the value of the sole remaining LJM1 asset had decreased in the interim. See Fastow Letter to Campsie, at RBS 4003318 ("[A] review of the Cuiaba investment leads me to the conclusion that there is little or no value remaining in the asset"); Memorandum from Peter Commons, RBS, regarding LJM investments, Oct. 24, 2000, at RBS 1031070 (noting that the Cuiaba plant "is currently operating at 30% of capacity and using fuel oil which has higher cost and is affecting turbine effectiveness") [RBS 1031070-RBS 1031071]; Enron Risk Assessment and Control Deal Approval Sheet, Dec. 5, 2000, at AB000153900 (describing the "construction delays, multiple problems with local communities and large cost overruns" that hindered the Cuiaba project) [AB000153900-AB000153918]; Memorandum from Renee Barnett, Wilmer Cutler, to Enron Files, regarding her interview of Kent Castleman, Dec. 7, 2001, at 2 ("Castleman thought Enron had reported \$2-3 million in mark-to-market losses during 2000 due to plant delays and other problems.") [AB000001170-AB000001176]; Memorandum from Lisa Henriques, Wilmer Cutler, to Enron File, regarding the Interview of Cheryl Lipshutz, Dec. 7, 2001, at 6 ("No outside investor would have bought this investment because it was so problematic") [AB000000510-AB000000516].

²⁴¹ Email from Kevin Howard, RBS, to Iain Robertson, *et al.*, RBS, Aug. 31, 2001 (the "Howard/Robertson Email, Aug. 31, 2001"), at RBS 6021378 (Ex. 33 to Howard Sworn Statement) [RBS 6021378-RBS 6021379].

²⁴² Howard Sworn Statement, at 418, lines 6-8.

investment of approx [sic] \$22.7m or in excess of 1200% []. This is a most satisfactory result and underlines the way Enron supports its Tier 1 banks.”²⁴³

Provision Of Cash To Participating Enron Insiders Through LJM1

The LJM1 Related Party Transaction provided Enron insiders, including Fastow and Kopper, with millions of dollars, primarily through cash distributions and management fees. These included the following:

- Fastow received at least \$18 million in distributions²⁴⁴ and \$2.6 million in management fees from LJM1;²⁴⁵
- Kopper received at least \$7.3 million in distributions²⁴⁶ and \$178,000 in management fees from LJM1;²⁴⁷
- In connection with Southampton’s purchase of the limited partners’ interests in Swap Sub, Kopper and The Fastow Family Foundation each received \$4.5 million on investments of \$25,000 each, and Michael Hinds (an LJM1 employee), Kristina Mordaunt, Ben Glisan, Anne Yaeger-Patel and Kathy Lynn received \$3.3 million in the aggregate on a total investment of \$19,235.²⁴⁸

²⁴³ Howard/Robertson Email, Aug. 31, 2001, at RBS 6021378.

²⁴⁴ See Dec. 31, 2000, LJM1 Account Analysis, at PSI00124659-PSI00124660; LJM Cayman Wire Transfer Request, July 14, 2000 [PSI00133904]; LJM Cayman Wire Transfer Request, July 14, 2000 [PSI00133905]; LJM Cayman Wire Transfer Request, July 14, 2000 [PSI00133906].

²⁴⁵ See Wire Transfer Request, Aug. 11, 1999 [PSI00134211]; LJM1 Wire Transfer Request, Feb. 11, 2000 [PSI00133875]; MM Fee Calculation, undated [PSI00133876]; LJM Cayman Wire Transfer Request, July 7, 2000 [PSI00133901]; MM Fee Calculation, undated [PSI00133902]; Dec. 31, 2000, LJM1 Account Analysis, at PSI00124656; MM Fee Calculation (for Jan. 1, 2001 to June 30, 2001) [PSI00133996]; Email from Joyce Tang, LJM, to Kevin Howard, RBS, Jan. 17, 2001 [PSI00133997].

²⁴⁶ LJM Summary of Accounts, Oct. 4, 2001 [PSI00135525].

²⁴⁷ *Id.*

²⁴⁸ Cooperation Agreement, *United States v. Kopper*, Cr. No. H-02-0560 (S.D. Tex.) Aug. 21, 2002, at ¶ 14.

B. Obtaining Verbal Assurances From Enron

Sutton Bridge – The Bank’s First FAS 140 Transaction

RBS contemplated a transaction with Enron known as Sutton Bridge more than two years before the Sutton Bridge FAS 140 Transaction was finally consummated.²⁴⁹ RBS understood that Enron’s accounting objectives would drive the transaction. Specifically, it identified in a Discussion Paper the aim of the contemplated transaction as the “[a]bility to mark tolling contract to market: in order to confirm accounting gain already booked [and] to book further gain?”²⁵⁰ When Sutton Bridge closed on June 8, 1999, it was the first structured equity participation in a transaction by the bank’s structured finance group.²⁵¹ It provided RBS with revenues in excess of \$1.2 million, and an equivalent ROE [return on equity] of 1161% [per year].²⁵² RBS took pride in having “[f]acilitated [Enron’s] ability to realise [\$29 million] capital gain to boost half year earnings.”²⁵³ It also identified “[c]ashflow [sic] generation of [\$68 million]” among the benefits to Enron of the transaction.²⁵⁴

Sutton Bridge was a FAS 140 Transaction. The Examiner discussed this type of transaction in each of the Prior Reports and refers the reader to those previous discussions for a more detailed description of the structure and requirements of FAS 140

²⁴⁹ See Discussion Paper: Enron’s Sutton Bridge, Jan. 20, 1997 [RBS 3038319-RBS 3038323].

²⁵⁰ *Id.* at RBS 3038319.

²⁵¹ Sutton Bridge Transaction Summary, at RBS 3126610.

²⁵² *Id.*

²⁵³ *Id.* RBS characterized this as the monetization of a “latent gain in an off balance sheet equity interest.” *Id.* at RBS 3126611.

²⁵⁴ *Id.* at RBS 3126611.

Transactions.²⁵⁵ In brief, the general structure of Sutton Bridge was as follows: Enron owned a 50% economic and voting interest in Sutton Bridge Power (“SBP”) via a subsidiary, Enron Sutton Bridge Ltd. (“ESBL”). ESBL was in turn owned by two other Enron subsidiaries, ESB2 and ESB3. Enron’s purpose in the Sutton Bridge transaction was to “crystallise its latent gain in its SBP investment by selling its economic interest in ESB2 to a new SPE[,] [which] would enable Enron to take the gain to P&L, notwithstanding its continued ownership of the ordinary shares.”²⁵⁶ RBS was to establish an SPE (known as “SBI4”), capitalized with 3% equity and 97% debt, in a total amount of approximately \$66.5 million.²⁵⁷ Enron unconditionally guaranteed the debt, which had a maturity date of six months.²⁵⁸

In addition to providing the debt, RBS was the holder of the equity in Sutton Bridge.²⁵⁹ In order for Enron to account for the transaction under FAS 140, it was required that, among other things, the equity in SBI4 remain at risk at all times. RBS

²⁵⁵ Enron’s numerous FAS 140 Transactions went by names such as Alchemy, Discovery, Ghost, Hawaii, Leftover, Nimitz, Pilgrim, Riverside and Specter. An analysis of many of the FAS 140 Transactions can be found in the Third Interim Report, Appendix H (Role of CIBC and its Affiliates). The structure of Hawaii, one of Enron’s most significant FAS 140 projects, and certain legal issues associated therewith are described in the First Interim Report, *The Hawaii Transaction*, and accounting issues raised by Hawaii are described in the Second Interim Report, Annex 3 to Appendix M (FAS 140 Transactions), *Accounting Issues Raised By The Hawaii Transaction*. Ghost and Specter are described in the Second Interim Report, Annex 2 to Appendix L (Related Party Transactions), *Ghost and Specter*. Nimitz is described in the Second Interim Report, Annex 5 to Appendix G (Whitewing Transaction), and Leftover is described in the Second Interim Report, Annex 6 to Appendix G (Whitewing Transaction).

²⁵⁶ Kruger Memorandum, at RBS 3038532.

²⁵⁷ See £41,475,000 Term Facility Agreement between Sutton Bridge Funding Limited and NatWest, June 8, 1999 [AB0152 00694-AB0152 00792]; Subscription Agreement between NatWest and Sutton Bridge Funding Limited, June 8, 1999 (the “NatWest Subscription Agreement”) [AB0152 00662-AB0152 00666]; Kruger Memorandum, at RBS 3038532.

²⁵⁸ See Enron Guarantee, June 8, 1999 [RBS 1067259-RBS 1067267]; Kruger Memorandum, at RBS 3038532.

²⁵⁹ See NatWest Subscription Agreement.

knew that its equity had to be at risk,²⁶⁰ but faced no such risk as the equity holder in this structure. On June 7, 1999, the bank's Head of Credit Risk stated that "Group Finance have [sic] now approved this investment . . . recognising the short-term involved and the 'understanding' with Enron regarding their repurchasing at an agreed return by [December 1,] [19]99."²⁶¹ Commons testified that, in approving the transaction, he relied upon the understanding that Enron would repurchase the equity at an agreed upon return by December 1, 1999.²⁶²

RBS's equity in Sutton Bridge was indeed repaid by Enron upon the sale of the underlying asset in the structure.²⁶³ The Examiner has seen no evidence that the existence of the verbal assurance of repayment of equity was ever disclosed by either Enron or RBS to third parties, including, but not limited to, Andersen. To the contrary, the evidence suggests RBS's awareness that the verbal assurance could not be disclosed.²⁶⁴ In a summary of the Sutton Bridge transaction one year later, Commons

²⁶⁰ Sutton Bridge Transaction Summary, at RBS 3126617 ("Third party must be independently capitalised and its investor(s) must have a 'significant' equity risk, currently accepted as 3% equity (97% debt).").

²⁶¹ Kruger Memorandum, at RBS 3038535 (Ex. 5 to Sworn Statement of Peter Commons, RBS, to John E. Stephenson, Jr., A&B, Sept. 24-25, 2003). Commons testified that "[w]hat we said to Enron was this investment is essentially outside our day-to-day control so please understand that we expect to get an [invested rate of return] of whatever figure we wished to see generated and . . . that they would not try to do something to our detriment so that our return proved to be less than what we were seeking to achieve." Commons Sworn Statement, at 195, line 10 – 196, line 3. In an errata sheet, Commons stated that portions of the testimony cited above were "misrecorded."

²⁶² Commons Sworn Statement, at 197, lines 15-22.

²⁶³ Pettifer/Fairbairn Email, Sept. 6, 2001.

²⁶⁴ See Sutton Bridge Transaction Summary, at RBS 3126617 ("For 'true sale' there can be no contractual commitment of the vendor to repurchase the shares based upon either a predetermined price formula or at fair market value."). The same summary alludes to the verbal assurance when it describes the relationship with Enron as "Trust Us." *Id.* at RBS 3126621. In addition, Commons testified that he did not know whether Andersen was informed of the verbal assurances in the Sutton Bridge transaction. Commons Sworn Statement, at 212-13.

explained to his colleagues at RBS, who were then considering participation in the first ETOL transaction, that the new proposed ETOL transaction was

exactly aligned to the Sutton Bridge deal we did last year – [in that] the whole thing hinges on an ‘understanding’ with Enron [that] they will buy it all back

. . . I would be happy to sit on the lot for the short period involved providing we get paid well – this is what we did on Sutton Bridge.²⁶⁵

The ETOL Transactions

ETOL I. RBS and Enron worked together on at least three additional FAS 140 Transactions in which RBS received verbal assurances of repayment that were at odds with the requirements of the applicable accounting rules. These were the ETOL I, II, and III transactions, which closed in November 2000, March 2001, and June 2001, respectively.

The general background and rationale for the ETOL transactions first came into focus in 1998, when Enron Europe Ltd (“EEL”) formed Enron Teesside Operations Ltd. (“ETOL”) for purposes of acquiring the Teesside Utilities and Services Business (“TUSB”).²⁶⁶ On December 31, 1998, Enron, through ETOL, completed the acquisition of TUSB for \$490 million (plus \$22 million in additional costs).²⁶⁷ EEL’s interest in ETOL was held indirectly through multiple wholly owned subsidiaries.

²⁶⁵ Commons/Hardy Email, Aug. 11, 2000. Sue Milton testified that in structuring the ETOL I transaction, she learned that a “verbal assurance in support of equity-related risk” was given by Enron in the Sutton Bridge transaction. Milton Sworn Statement, at 85, lines 8-9.

²⁶⁶ See Credit Risk Recommendation, Dec. 21, 1998, at RBS 1109114 [RBS 1109114-RBS 1109119].

²⁶⁷ *Id.*

After its acquisition of TUSB, Enron reported the implementation of several cost savings measures.²⁶⁸ These measures purportedly increased the value of EEL's economic interests in ETOL, and the rationale for the ETOL transactions was to allow Enron to monetize this purportedly increased value by effecting a "true sale" of its interests in ETOL to an off-balance sheet SPE in order to book accounting gains in 2000 and 2001.²⁶⁹

ETOL I closed on November 1, 2000, and allowed Enron to book a fourth-quarter gain of \$91.6 million in 2000.²⁷⁰ The SPE employed to effect the "true sale" in ETOL I was RBS Financial Trading Company Ltd. ("RBSF"), which it appears was created for the transaction by RBS.²⁷¹ RBS capitalized RBSF with \$207.8 million, consisting of \$200.7 million in debt and \$7.1 million in equity.²⁷²

A critical component of the transaction was the Total Return Swap between Enron and RBSF.²⁷³ By virtue of the Total Return Swap, Enron effectively guaranteed payment

²⁶⁸ ETOL I Credit Application, at RBS 3141124 ("[S]ignificant cost savings have been instigated."); Memorandum from Janis Wallis, Associate Director, RBS, regarding ETOL, Sept. 26, 2001 (the "Wallis ETOL Memorandum"), at RBS 3089524 ("Enron made several cost savings/rationalisations . . .") [RBS 3089524-RBS 3089527]; Memorandum from Nicola Goss, RBS, to Peter Whitby, *et al.*, RBS, regarding ETOL equity purchase, Sept. 6, 2000 (the "Goss ETOL Equity Memorandum"), at RBS 3141015 ("[S]ignificant operating cost savings have been made.") [RBS 3141015-RBS 3141017].

²⁶⁹ Goss ETOL Equity Memorandum, at RBS 3141015; Wallis ETOL Memorandum, at RBS 3089524; ETOL I Credit Application, at RBS 3141124. RBS later noted that this goal had been achieved. Goss ETOL Funding Memorandum, at RBS 3141241 ("[ETOL I] was aimed at achieving a 'true sale' in accounting terms for Enron's sale of the preference shares, and this element of the transaction was achieved."); *see also* Email from Chris Clarke, Senior Manager, Structured & Specialised Credit, RBS, to Thomas Hardy, *et al.*, RBS, Mar. 9, 2001 (the "Clarke/Hardy Email, Mar. 9, 2001") ("[ETOL I] recognised and accepted Enron's financial engineering to achieve its goal of extracting the equity value from ETOL.") [RBS 3141245].

²⁷⁰ An internal RBS document stated that Enron recorded a \$103 million profit and an "embedded gain" of \$13.6 million over the three-year life of the transaction. ETOL II and ETOL III Credit Application, at RBS 3124944.

²⁷¹ *See* Memorandum of Association of RBSF, Nov. 1, 2000 [AB000131595-AB000131599].

²⁷² *See* RBSF Term Facility Agreement, Nov. 2000; RBSF Subscription Agreement, Nov. 2000; Jameson Memorandum, Nov. 28, 2001, at RBS 3141906.

²⁷³ *See* ISDA Master Agreement, Schedule and Total Return Swap Confirmation between RBSF and Enron, Nov. 1, 2000 [AB000131301-AB000131492].

of the interest, the principal, and other amounts due under the \$200.7 million loan to RBSF.²⁷⁴ In turn, RBSF agreed to pay Enron the ETOL dividends received by RBSF in the transaction.²⁷⁵

As in Sutton Bridge, RBS received verbal assurances of repayment of its equity investment in ETOL I. The existence of such an agreement — and RBS's acknowledgment that Enron's assurance could not be documented — is laid out in RBS's ETOL I Credit Application:

Enron ha[s] made an informal agreement to ensure that we achieve our required return and are made whole on the equity principal at transaction maturity. However, their desired accounting treatment does not permit any formal arrangements to be made. We therefore rely on Enron's undertaking to make us whole. Our ability to accept Enron's "promise" as sufficient comfort on the transaction is based on the strength of our relationship with the client. Senior management at EEL have made verbal assurances at a high level within the bank on this basis.²⁷⁶

Indeed, even prior to the submission of the Credit Application, RBS's Head of Structured Finance, Iain Houston, had told colleagues internally evaluating the proposed transaction that "I have no issue doing this type of deal in view of the verbal assurances we have been given consistently by senior Enron staff – most recently by Andy Fastow to

²⁷⁴ Goss ETOL Equity Memorandum, at RBS 3141015 (noting that the debt will be "serviced by a Total Return Swap . . . supported by an unconditional guarantee from Enron Corporation and will be repaid by a bullet at the end of year 3").

²⁷⁵ ETOL I Credit Application, at RBS 3141124 (noting that "[97%] of the dividend flow is exchanged [under the Total Return Swap]" and "[3%] of dividend flows is retained by the SPE as its return on equity").

²⁷⁶ *Id.* at RBS 3141124 (Ex. 12 to Milton Sworn Statement). This same credit application explained further that "[w]e take considerable comfort from Enron's informal undertaking to keep us whole with regard to the Equity required in the proposed transaction." *Id.* at RBS 3141130. In response to a question regarding why the agreement could not be documented, Sue Milton testified "Enron later explained to us that[,] as a result of accounting requirements, that [i.e., the verbal assurances] could not be documented." Milton Sworn Statement, at 73, lines 7-13. She later testified, "FAS 125 principles would not allow Enron to – FAS 125 principles would have to be adhered to – could not happen if that support arrangement were documented." *Id.* at 163, lines 22-25.

[senior RBS executives Iain Robertson (“Robertson”), Johnny Cameron] and other [RBS] leading lights.”²⁷⁷

On the same day of the CBFM Credit Committee meeting regarding ETOL I, Tom Hardy (“Hardy”), Head of Project and Export Finance of RBS, called Paul Chivers (“Chivers”), Chief Financial Officer of Enron Europe, to discuss the assurances provided by Enron regarding the repayment of the equity and yield in ETOL I. In a contemporaneous memorandum, Hardy noted that,

[i]n answer to my direct question as to Enron’s support for such an unwritten [pledge to ensure repayment of equity plus a 13.5% return on such equity], Paul [Chivers, Chief Financial Officer of Enron Europe] was categoric [sic] that “....Enron Corporation will not leave RBS hanging out to dry on this deal. It will ensure that your principal and 13.5% return are paid.”

Paul went on to add that Enron had undertaken 12 similar deals in Europe and that, insofar as we were prepared to take further comfort, “.....you have my absolute commitment (as CFO, Enron Europe) to ensure that RBS does not suffer a loss from its equity investment in the ETOL transaction.”²⁷⁸

²⁷⁷ Email from Iain Houston, RBS, to Nicola Goss, *et al.*, RBS, Aug. 10, 2000 [RBS 6074373]. Verbal assurances by Enron officers of repayment of equity in connection with the FAS 140 Transactions constituted breaches of their fiduciary duties, as discussed in Appendix C (Role of Enron’s Officers) to the Third Interim Report. As was concluded therein, the officers breached their fiduciary duties by concealing from their outside accountants the existence of side agreements with lenders in order to achieve an unsupportable accounting result and produce materially misleading information regarding Enron’s reported financial condition, results of operations and cash flows.

²⁷⁸ Memorandum from Tom Hardy, Project and Export Finance, RBS, to Sue Milton, *et al.*, RBS, regarding ETOL transaction, Sept. 22, 2000 (also noting that the phone call took place on September 20, 2000 and that Chivers had encouraged Hardy to call Glisan so that the bank “received the same message of commitment from Enron headquarters in Houston”) [RBS 3142779]. Hardy further testified about the discussions with Chivers and said:

It was a support from Enron for the deal in relation to its, Enron’s, anticipation and efforts to ensure that the deal was successful, and that it would do everything to – to make the deal successful; and that if there were circumstances in which the deal was not successful, it would seek to compensate the bank.

Sworn Statement of Thomas Hardy, Head of Project and Export Finance, RBS, to Philip R. Stein, A&B, Oct. 24, 2003, at 71, line 20 – 72, line 2. In addition, Hardy testified that the September 22, 2000 memorandum accurately memorialized his conversation with Chivers and that he never received a message from Enron inconsistent with the assurances described in the memorandum. *Id.* at 79, lines 8-15, and at 84, lines 5-11.

At the CBFM Credit Committee meeting, Hardy emphasized that “the verbal assurances from Enron have come from a very high level and are unequivocal,” and the Committee was further advised that additional discussions on this subject would be held with Glisan.²⁷⁹ Despite expressing concern about the “impact on Enron risk of structures such as this (i.e. the existence of significant off-balance sheet contingent liabilities),” the CBFM Credit Committee recommended ETOL I for Group Credit Committee approval.²⁸⁰ Following the Group Credit Committee meeting, it appears Robertson, the Chief Executive of CBFM, spoke to Fastow regarding verbal assurances on the equity investment in ETOL.²⁸¹

RBS relied heavily on Enron’s verbal assurances to repay its equity interest because RBS determined that the dividend flow from the asset being monetized was

²⁷⁹ CBFM Credit Committee Minutes, Sept. 2000, at RBS 3121434. The Committee minutes further note that “S. Milton explained that very strong verbal assurances have been received from Enron that, via the auction process governing sale of the equity stake, the Bank will be made whole.” *Id.* at RBS 3121434.

²⁸⁰ *Id.* at RBS 3121435-RBS 3121436.

²⁸¹ Email from Nicola Goss, RBS, to Paula Francis, RBS (Iain Robertson’s secretary), Sept. 28, 2000 (“[F]ollowing our conversation with ISR [Iain Robertson] this morning, it was agreed that he wanted to talk to Andy Fastow of Enron.”) [RBS 6071632].

Following our discussion this morning, I am now satisfied that I have had answers to issues raised at GCC on 22nd September 2000 and confirm that I have approved the ETOL [\$206.8 million] Equity Purchase Scheme. I also understand that you will arrange for me to speak with Andy Fastow, Head of ETOL in Houston this afternoon. Please contact my secretary Paula Francis, with the details.

Email from Iain Robertson, RBS, to Nicola Goss, *et al.*, RBS, Sept. 28, 2000 [RBS 3037175]; Email from Nicola Goss, RBS, to Stuart Schardin, Enron, *et al.*, Sept. 28, 2000 [RBS 6071612]. Commons testified that the conversation between Robertson and Fastow was not the only conversation between the bank and Enron on this subject:

The only additional thing that I would say to you is that my recollection is that the conversation I believe Iain Robertson had with Enron was not the only conversation between the bank and other Enron executives on the same subject, but I can’t be more specific as to who spoke to who and when, but I am sure the file reflects who did.

Commons Sworn Statement, at 390, lines 13-20.

insufficient to cover the debt and equity repayment plus yield. In recommending approval of ETOL I, Chris Clarke ("Clarke") noted that

[w]hilst 97% of the expected preference share dividend flow is insufficient to cover debt service the risk is mitigated by the provision of an Enron [Total Return Swap] which will cover both interest, regardless of the level of preference share dividend flow, and principal. The risk can therefore be viewed as Enron corporate risk.²⁸²

Clarke stated a similar conclusion regarding repayment of the equity and yield:

Sourced from 3% of expected preference share dividend flow[,] the model clearly demonstrates the ETOL's inability to service the annual coupon of 13.5%, given the accelerated payback period. We are therefore looking to verbal undertakings (they cannot be formally documented for accounting reasons) from Enron that they will ensure that RBS is kept whole through the exit strategy.²⁸³

Clarke concluded his recommendation by noting that

notwithstanding the proposed ETOL equity control mechanisms that will restrict Enron's ability to sell their management (voting rights) interest in ETOL, considerable reliance will still have to be placed on Enron's verbal undertakings to see RBS whole on the equity tranche. Previous understandings with Enron have always been delivered upon and there is no reason to believe that this particular transaction will prove to be the exception to the rule.²⁸⁴

²⁸² ETOL I Credit Recommendation, at RBS 3141115.

²⁸³ *Id.* at RBS 3141116. Milton informed the CBFM Credit Committee of this fact. "[The Fair Market Value put option] is required as surplus cashflows during the three year tenor of the transaction are unlikely to be sufficient to assure the required rate of return on the equity stake." CBFM Credit Committee Minutes, Sept. 2000, at RBS 3121434; *see also* Enron Group – Facility Summary Sheets (ETOL I, II, & III), author unknown, undated, at RBS 3141889 ("It is not expected that the dividends that RBSF receives will be sufficient to service equity in full after debt service. Therefore, under the informal agreement with Enron, we are expecting to be 'made whole' at transaction maturity via the sale proceeds.") [RBS 3141889-RBS 3141892].

²⁸⁴ ETOL I Credit Recommendation, at RBS 3141117.

Indeed, RBS determined that if Enron failed to meet its obligations under the Total Return Swap and verbal assurances, “we [are] looking at a 22 year payout.”²⁸⁵ In other words, if the bank had relied on the dividends from the underlying asset (and not the Total Return Swap and verbal assurances) for repayment of the debt and equity plus yield, it could not have expected to be repaid fully for approximately twenty-two years.²⁸⁶

In addition to the Total Return Swap and verbal assurances, the ETOL I transaction also included a put option in favor of RBS. In presenting ETOL I to the Group Credit Committee, Sue Milton (“Milton”) described the put option as a “backstop in the event that Enron do [sic] not honour its promise to make the bank whole on the equity.”²⁸⁷ However, the bank’s fair market value calculations on the put option indicated that the option would not cover the equity and yield. “[U]nder basecase [sic] economics, based on a valuation of the FMV today, we would not be made whole under the put option and [this] highlights our reliance on Enron to make us whole under the auction process.”²⁸⁸ This “auction process” could provide little comfort for RBS, however, because of its conclusion that the fair market value was insufficient to repay the bank’s investment.²⁸⁹ In short, though the auction process was the mechanism by which

²⁸⁵ Clarke/Hardy Email, Mar. 9, 2001. Sue Milton also stated that “in the extreme scenario of Enron Corporation failing during the 3.25 years of the proposed transaction, we can expect to achieve repayment of the principal in full (i.e. [\$206.8 million]) by 2022.” Memorandum from Sue Milton, *et al.*, RBS, to Iain Robertson, *et al.*, RBS, regarding ETOL equity purchase, Sept. 26, 2000 (the “Milton ETOL Memorandum”), at 3091028 [RBS 3091028-RBS 3091029].

²⁸⁶ Clarke/Hardy Email, Mar. 9, 2001; Milton ETOL Memorandum, at 3091028.

²⁸⁷ Group Credit Committee Minutes, Sept. 2000, at RBS 3121150.

²⁸⁸ Memorandum from Sue Milton, *et al.*, RBS, to Peter Commons, *et al.*, RBS, regarding ETOL equity purchase, Sept. 25, 2000 (the “Milton Memorandum, Sept. 25, 2000”) (Ex. 18 to Milton Sworn Statement), at RBS 3074100 [RBS 3074099-RBS 3074101]; Milton Sworn Statement, at 257, lines 4-8.

²⁸⁹ Milton Memorandum, Sept. 25, 2000 (Ex. 18 to Milton Sworn Statement), at RBS 3074100 [RBS 3074099-RBS 3074101]; Milton Sworn Statement, at 257, lines 4-8.

it was contemplated that Enron would repay the bank, it was plainly Enron's verbal assurance on which RBS relied.

ETOL II and III. In March 2001, less than four months following the closing of ETOL I in November 2000, RBS considered two additional ETOL transactions. ETOL II was essentially an amendment to ETOL I. In ETOL I, Enron intended to account for the Total Return Swap on a mark-to-market basis which RBS believed would have enabled Enron to book an upfront gain of approximately \$29 million.²⁹⁰ However, Andersen subsequently informed Enron that it could not account for the Total Return Swap in this manner "unless the cash value is actually received."²⁹¹ Accordingly, Enron came to RBS in the ETOL II transaction "seeking additional funds in order to book the up front value of the transaction originally anticipated."²⁹² To maintain the required 97% debt/3% equity capital structure in ETOL II, RBS further capitalized RBSF (the same SPE used in ETOL I) with \$32.1 million debt and \$0.7 million equity.²⁹³

ETOL III was "designed to extract all remaining value from ETOL, the underlying asset" by "realising the increased book value of the project as a result of the increased cost savings."²⁹⁴ This increased book value in ETOL (purportedly about \$43 million) reflected the economic benefit Enron projected to achieve over the seven-year

²⁹⁰ Goss ETOL Funding Memorandum, at RBS 3141242.

²⁹¹ ETOL II and III Credit Application, at RBS 3124936.

²⁹² *Id.*

²⁹³ See £22,974,750 Term Facility Agreement for RBSF by RBS and NatWest, Mar. 30, 2001 (the "RBSF Term Facility Agreement, Mar. 2001") [AB000130726-AB000130804]; Subscription Agreement between RBSF and RBS, Mar. 30, 2001 (the "RBSF Subscription Agreement, Mar. 2001") [AB000130912-AB000130916].

²⁹⁴ ETOL II and III Credit Application, at RBS 3124934, RBS 3124936.

period following the 2004 maturity of ETOL I due to additional cost savings.²⁹⁵ In ETOL III, RBS capitalized a new RBS-sponsored SPE – Sideriver Investments Limited (“Sideriver”) – with \$41.7 million debt and \$1.7 million equity (to achieve the required 97% debt/3% equity capital structure) in order to acquire the Class C shares in the transaction.²⁹⁶ Accordingly, by virtue of the three ETOL transactions, RBS funded approximately \$274.5 million debt and \$9.5 million equity.²⁹⁷

Notwithstanding the bank’s calculations prior to the closing of ETOL I that the dividend flow on the underlying asset was insufficient to pay the then-outstanding debt and equity plus yield amounts in ETOL I for twenty-two years, RBS proposed to fund an additional \$76.6 million in ETOL II and III²⁹⁸ based on the belief that Enron had nonetheless achieved this additional economic benefit in the project in the ninety days following the closing of ETOL I. Clarke stated his concern following his review of the initial proposal on ETOL II and III that

the[re] is clearly a need to get behind the accounting issues here to check out Enron’s story and I suggest that a detailed cashflow [sic] analysis is carried out again to identify the support that Enron is actually providing via the [Total Return Swap] with revised structure.

As regards proposal 2 [ETOL III] – is Enron serious??? This appears to be a case of a step too far in my view.²⁹⁹

²⁹⁵ *Id.* at RBS 3124953.

²⁹⁶ See £29,756,139 Term Facility Agreement for Sideriver, June 20, 2001 (the “Sideriver Term Facility Agreement”) [RBS 1100700-RBS 1100778]; Sideriver B Shares Subscription Agreement between Sideriver and RBS, June 19, 2001 (the “Sideriver Subscription Agreement”) [AB000130543-AB000130547].

²⁹⁷ See RBSF Term Facility Agreement, Nov. 2000; RBSF Subscription Agreement, Nov. 2000; RBSF Term Facility Agreement, Mar. 2001; RBSF Subscription Agreement, Mar. 2001; Sideriver Term Facility Agreement; Sideriver Subscription Agreement.

²⁹⁸ Goss ETOL Funding Memorandum.

²⁹⁹ Clarke/Hardy Email, Mar. 9, 2001. Robertson also communicated his concern on the new proposal, writing “not sure I am happy with this. It is surely this remaining value that underpins the equity sell off in

No additional analysis appears to have been done by RBS to verify the alleged cost savings that Enron was purporting to monetize here.³⁰⁰ Milton testified that the bank essentially accepted Enron's representations regarding the increased value of this asset, and did not engage in further due diligence.³⁰¹ This testimony underscores the bank's reliance on the verbal assurances provided by Enron. It also demonstrates RBS's willingness to accommodate Enron's financial statement objective to book additional earnings without undertaking any analysis regarding the value of the interest monetized.

As in ETOL I, RBS received verbal assurances of repayment of RBS's equity investment from Enron in ETOL II and ETOL III. Indeed, initial proposal papers discussing ETOL III noted that, in light of the apparent inability of the performance of the underlying asset to support repayment of the amount monetized, even greater reliance was placed on the verbal agreement with Enron.³⁰² The Credit Application submitted for ETOL II and ETOL III contains numerous references to the "informal arrangement" and "high level assurances" regarding repayment of the equity and yield in the two

our current deal and we are passing that to them – or have I got it wrong[?]" Email from Iain Robertson, RBS, to Thomas Hardy, *et al.*, RBS, Mar. 8, 2001 [RBS 3141246].

³⁰⁰ RBS did, however, attempt to confirm the purported increase in the book value of Enron's interest in ETOL based upon these purported cost savings. ETOL II and III Credit Recommendation, at RBS 3124953 ("Enron have identified further savings/income growth in operating ETOL that Project Economics (Appdx 1) have independently confirmed generates a [\$51.7 million] (to [\$260 million]) increase in the book value of Enron's economic interest in ETOL.").

³⁰¹ Milton Sworn Statement, at 271, line 21 – 272, line 17, and at 276, line 20 – 277, line 14. Milton did not recall anyone at the bank raising any concern about extending the additional funds to Enron based on the information received from Enron. *Id.* at 278, lines 13-18.

³⁰² Goss ETOL Funding Memorandum, at RBS 3141243 ("We are therefore more reliant on the verbal agreement with Enron to make us whole than in the existing deal."). In recommending approval of the transactions, Clarke similarly noted the increased reliance on the verbal agreement with Enron in ETOL III. "ETOL III represents a deeply subordinated position, ranking fifth in the cashflow/asset value priority chain placing even greater reliance on Enron to see us out whole in the unlikely event that ETOL does not perform in accordance with expectations." ETOL II and III Credit Recommendation, at RBS 3124953. As a condition of his recommendation, Clarke specifically identified "[t]he need for Enron Executive to be made aware of the reliance we place on their verbal 'make whole' assurances." *Id.* at RBS 3124953.

transactions.³⁰³ For example, in the conclusion, the Credit Application states, “[w]e take considerable comfort from Enron’s informal undertaking to keep us whole with regard to the equity required in the proposed transactions.”³⁰⁴

These verbal assurances were the subject of discussion at both the CBFM and Group Credit Committees. Nicola Goss (“Goss”) informed both credit committees that “these transactions place reliance on Enron through an informal arrangement to make us whole for [\$4.6 million] in terms of return on equity and [\$8.9 million] of equity principal.”³⁰⁵ According to minutes of the CBFM Credit Committee meeting, Robertson told the attendees that he had participated in a “meaningful and open discussion with Enron’s CFO (A[.] Fastow) to augment both senior executive relationship and obtain further confirmation on Enron’s commitment to the Bank in relation to these facilities.”³⁰⁶ Robertson reported that Fastow had provided confirmation, and Robertson

³⁰³ ETOL II and III Credit Application, at RBS 3124934, RBS 3124935, RBS 3124939. The Credit Application also provides that “[t]he return on equity (13.5%) will be the same as ETOL I, with an informal arrangement from Enron to make us whole at transaction maturity.” *Id.* at RBS 3124934. “ETOL III will have . . . an informal arrangement with Enron to make us whole on the equity at maturity. The return on equity under ETOL III is 15%.” *Id.* at RBS 3124934. “Should disposal proceeds be insufficient to meet our equity principal and required return, we will look to Enron to make us whole under an informal arrangement.” *Id.* at RBS 3124937. The Application concludes that, “[g]iven the strength of our relationship with the company, the high level assurances that have been made and the reputational risk to Enron of not honouring this arrangement, we believe that this is acceptable.” *Id.* at RBS 3124939.

³⁰⁴ *Id.* In a subsequent memorandum referring to the Credit Application, Nicola Goss further described the verbal assurance as an “Enron ‘promise’ to make us whole on the equity at the end of the transaction.” Memorandum from Nicola Goss, RBS, to Chris Clarke, *et al.*, RBS, regarding ETOL III, June 13, 2001 (the “Goss ETOL III Memorandum”), at RBS 1087734 [RBS 1087733-RBS 1087736].

³⁰⁵ CBFM Credit Committee Minutes, Mar. 2001, at RBS 1113345; Group Credit Committee Minutes, Mar. 2001, at RBS 3120874.

³⁰⁶ CBFM Credit Committee Minutes, Mar. 2001, at RBS 1113345. It appears these discussions took place shortly before the credit committee meetings. Email from Sue Milton, RBS, to Nicola Goss, RBS, Mar. 15, 2001 (“I have subsequently spoken to Iain Houston (twice!) and will update you tomorrow. Have also spoken to Paula [Francis, Iain Robertson’s secretary] and Stuart [Schardin of Enron] and we are trying to see whether we can organise a 2.30 pm slot for ISR [Iain Robertson] and Andy Fastow tomorrow.”) [RBS 6063970]; Email from Nicola Goss, RBS, to Iain Houston, RBS, Mar. 15, 2001 (“Andy Fastow is available from 3pm London time if ISR [Iain Robertson] wants to call him.”) [RBS 6064031].

was “comforted by [Fastow’s] assurance that the bank’s remuneration would be met by Enron.”³⁰⁷ The minutes of the Group Credit Committee note similar discussions regarding the verbal assurances:

It was acknowledged that the Bank was placing a significant reliance on Enron’s informal undertaking to make the Bank whole and [Iain] Houston added that a great deal of comfort had been taken in this connection from the personal undertakings given by the senior Enron executive during conversations at a senior level with the Bank.³⁰⁸

As with ETOL I, it is apparent that RBS placed considerable reliance on the verbal assurances from Enron regarding repayment of the equity and yield in the ETOL II and III transactions because the expected cash flows and the put option were insufficient to cover the equity and yield. The Credit Application comments that, “[a]s under the ETOL I transaction, the expected cashflows [sic] over the life of ETOL I and II do not meet either the senior and subordinated debt or equity service requirements in every period.”³⁰⁹ The bank recognized that in the event of “Enron failing to meet its obligations under the [Total Return Swap]” the bank would not expect to be fully repaid under ETOL I, II, and III for twenty-two years.³¹⁰ The ETOL III transaction similarly included a put option in favor of RBS. However, as in ETOL I, RBS understood that the value of the put was insufficient to repay the equity and yield and thus the bank was relying on the verbal assurance for repayment. “The exit route for [\$1.3 million] equity element remains via an auction process or more likely exercise of the ‘put’ option and here we are

³⁰⁷ CBFM Credit Committee Minutes, Mar. 2001, at RBS 1113345.

³⁰⁸ Group Credit Committee Minutes, Mar. 2001, at RBS 3120874. While noting the reliance placed on the “verbal undertakings,” the minutes also state that “[w]hilst the Committee did indeed take comfort from the personal undertakings, it was emphasised that the deal must stand up on its own merits which the Deal Team confirmed was the case.” *Id.* at RBS 3120874.

³⁰⁹ ETOL II and III Credit Application, at RBS 3124938.

³¹⁰ ETOL II and III Credit Recommendation, at RBS 3124953.

entirely reliant on Enron's verbal assurances to make us 'whole.'"³¹¹ In her memo outlining the put option valuation, Goss concluded that "[t]his arrangement effectively places reliance on agreement between ourselves and Enron on the put option, which is in line with the underlying nature of the transaction."³¹² The Examiner is aware of no evidence indicating that Enron or RBS ever disclosed this verbal assurance to Andersen, and RBS has provided no such evidence to the Examiner.³¹³

In the course of reviewing the ETOL transactions, RBS employees expressed concern regarding Enron's recording of potentially improper accounting gains³¹⁴ and again raised questions about financial statement manipulation by Enron.³¹⁵ RBS was conscious of "the financial engineering" that the ETOL transactions would facilitate.³¹⁶ The ETOL "structure struck [RBS's Group Credit] Committee as '21st Century Alchemy'" and the Group Credit Committee further "noted the possibility of Enron's

³¹¹ Email from Chris Clarke, RBS, to Gordon Pell, *et al.*, RBS, May 9, 2001, at RBS 3141184-RBS 3141185 [RBS 3141184-RBS 3141185].

³¹² Goss ETOL III Memorandum, at RBS 1087734.

³¹³ Milton testified that she did not know or did not remember whether anyone from the bank discussed the verbal assurance with Andersen. Milton Sworn Statement, at 134-37. Milton did testify, however, that Andersen was present at meetings between the bank and Enron, although she could not remember whether any of these meetings included discussions regarding the verbal assurances. *Id.* at 131-34. Commons testified that he did not know whether Andersen was informed of the verbal assurances in the Sutton Bridge transaction. Commons Sworn Statement, at 212-13. Similarly, Howard testified that he did not know whether Andersen was informed of the verbal assurances provided in the FAS 140 Transactions. Howard Sworn Statement, at 458-59. Notwithstanding the fact that Howard was aware the assurances were not in writing, Howard testified that he "presumed" Andersen was aware of the assurances because he thought Enron would not have entered into a transaction "that wasn't signed off on by the auditors because that is what we always expected." *Id.* at 459, lines 12-20.

³¹⁴ Email from Aldo Ferri, RBS, to Nicola Goss, RBS, Aug. 16, 2000 (asking if ETOL is "purely some sort of accountancy wheeze") [RBS 1142896].

³¹⁵ CBFM Credit Committee Minutes, Sept. 2000, at RBS 3121435-RBS 3121436; Group Credit Committee Minutes, Sept. 2000, at RBS 3121150-RBS 3121151; Clarke/Hardy Email, Mar. 9, 2001.

³¹⁶ Group Credit Committee Minutes, Sept. 2000, at RBS 3121151.

tactic of enhancing 3rd quarter earnings.”³¹⁷ The Group Credit Committee nevertheless approved RBS’s participation as debt and equity holder in three separate transactions under the structure based on the short-term nature of the financings, the fees received by the bank, and its “relationship” with Enron.³¹⁸

C. Funding the Nixon Prepay Transaction

A fact-finder could conclude that RBS helped to facilitate the creation and dissemination of misleading financial statements by Enron by providing funding for the Nixon Prepay, a quarter-end transaction that RBS understood was motivated by Enron’s strong desire to achieve specific accounting results.³¹⁹ The Nixon Prepay closed in December 1999 and was intended as a three-month bridge financing that would be repaid with proceeds from another Enron Prepay Transaction, Yosemite II, which was scheduled to close in the first quarter of 2000.³²⁰ Nixon was actually a set of three interrelated prepay transactions that provided Enron with a total of \$324 million. In the Nixon Prepay, RBS and Barclays each provided \$110 million to Enron, and Citigroup provided

³¹⁷ *Id.* at RBS 3121150, RBS 3121151.

³¹⁸ Group Credit Committee Minutes, Mar. 2001, at RBS 3120874 (RBS noted the “short-term nature” of the ETOL transactions, that total income would be \$6.7 million, and that a “great deal of comfort” was provided by Enron’s verbal assurances.). RBS obtained advance approval for ETOL II and ETOL III at this meeting. *Id.* at RBS 3120875.

³¹⁹ Nixon Credit Application, at RBS 3118964 (“[T]he pre-paid oil swap structure allows [Enron] to realise cash on the asset side of the balance sheet whilst booking only a price risk management liability (as opposed to a loan) on the other over their critical year-end period.”); ARD Memorandum, Dec. 6, 1999, at RBS 3118972 (“This revenue is likely to be included as deferred income in the current liabilities section of the balance sheet, with cash balances increasing by a corresponding amount. This transaction is consequently anticipated to reduce the reported year-end net debt position of Enron and is effectively a window dressing request.”).

³²⁰ Nixon Credit Application, at RBS 3118964.

another \$104 million, with Toronto Dominion serving as the conduit entity for all three lenders.³²¹

RBS paid Enron \$110 million on the closing date pursuant to a swap agreement.³²² Enron agreed to pay RBS an amount based on the price of crude oil on the settlement date.³²³ RBS then entered into a swap with Toronto Dominion pursuant to which RBS agreed to pay the same price on a notional amount of crude oil to Toronto Dominion, in exchange for a fixed payment equal to the \$110 million prepayment amount plus an amount that functioned as interest.³²⁴

To complete the circle, Toronto Dominion entered into a swap with Enron.³²⁵ Toronto Dominion served as a conduit to (i) pass the floating price back to Enron, (ii) receive the principal repayments plus interest from Enron, and (iii) pass those payments on to RBS and the other lenders.

³²¹ Third Interim Report, Appendix D (Role of Citigroup and its Affiliates), *Prepay Transactions, Summary Description, Nixon*.

³²² See Dec. 14, 1999 Enron Swap, at 2.

³²³ *Id.*; Mar. 15, 2000 Enron Swap, at 2.

³²⁴ See Swap Transaction Confirmation between Toronto Dominion and RBS, Dec. 14, 1999 [RBS 4016658-RBS 4016662]. The initial settlement date of this step was extended like all of the other steps. The original termination date was March 15, 2000, but Enron requested an additional month, which led to an extension of the termination date. See Swap Transaction Confirmation between Toronto Dominion and RBS, Mar. 15, 2000, at RBS 4016655 (listing the new termination date as Apr. 14, 2000) [RBS 4016654-RBS 4016657]; Email from Thomas Hardy, RBS, to Iain Houston, *et al.*, RBS, Mar. 14, 2000 (describing Enron's request for a 30-day extension) [RBS 3142347].

³²⁵ Swap Transaction Confirmation between ENA and Toronto Dominion, Dec. 20, 1999 [CITI-B 0032459-CITI-B 0032462]. The initial settlement date of Mar. 15, 2000 was extended to Apr. 14, 2000. Revised Swap Transaction Confirmation between ENA and Toronto Dominion, Mar. 14, 2000 [SS000037788-SS000037792].

RBS understood that the economic substance of the Nixon transaction was a loan to Enron.³²⁶ It further understood that the transaction's "whole structure [was] set up to remove the commodity risk for all parties, [so] all payments against commodity price moves are exactly off-set by receipts from the party on the other side."³²⁷ It also knew at the time that it agreed to participate in Nixon that Enron booked the repayment obligation in the transaction as price risk management activities rather than debt and that the proceeds of loan transactions such as Nixon were booked by Enron as cash flow from operating activities.³²⁸

As noted previously, the Nixon transaction was approved despite the conclusion of RBS's senior research analyst that the transaction appeared to be "little more than a 'window dressing' request" that "raises issues over the absolute level of manipulation undertaken by Enron in its financial statements."³²⁹ RBS proceeded with the Nixon Prepay largely on the basis of the expected short term of the loan.³³⁰ The bank also

³²⁶ Nixon Credit Application, at RBS 3118965 (stating that the transaction "creates a synthetic loan . . . to Enron for three months."); McInnes Sworn Statement, at 63, line 12 – 66, line 15 (testifying that Nixon was a "short-term loan to Enron and viewed as Enron corporate risk").

³²⁷ Nixon Credit Application, at RBS 3118966 (noting, however, that the bank could not exercise recourse to the third party in the event of default of the second party within the transaction).

³²⁸ McAlister/Weir Email, Feb. 1, 2000 ("Other Income includes unrealised gains and losses from price risk management activities These activities are reported as part of operational cash flow, boosting the reported position by \$550M over the last two years . . . and representing 30% of reported operating cash flow in that period."); *see also* Nixon Credit Application, at RBS 3118964.

³²⁹ ARD Memorandum, Dec. 6, 1999, at RBS 3118973 (Ex. 5 to Sworn Statement of Wilson McAlister, Senior Analyst, RBS, to Philip R. Stein, A&B, Oct. 3, 2003). Wilson McAlister told counsel to the Examiner he did not mean "manipulation" in a pejorative sense. Sworn Statement of Wilson McAlister, Senior Analyst, RBS, to Philip R. Stein, A&B, Oct. 3, 2003, at 128, line 10 – 129, line 14 ("The word manipulation . . . means to move or to change something" and "doesn't mean that something is wrong or it is bad. It is just something reflected in a different way.") He also testified that, by his use of the phrase "window dressing," he meant that "within the [Enron] balance sheet there were certain items which have been classified in certain ways and that we needed to be aware of that." *Id.* at 116, lines 15-18.

³³⁰ ARD Memorandum, Dec. 6, 1999, at RBS 3118973 (noting that Nixon "represents a limited level of financial risk given its term"); UK Bank Credit Committee Minutes, Dec. 1999, at RBS 1007764 (reporting

recognized, as it noted in a contemporaneous transaction, that “[b]ecause this is balance sheet management, it pays better than straight Enron corporate risk – 75 [basis points] margin and 10 [basis points] upfront which gives a [risk adjusted return on equity] of 22.4%.”³³¹

RBS nonetheless appears to have been troubled by Enron’s request to extend the Nixon transaction for one month beyond its anticipated maturity date, which would enable Enron to reap financial reporting benefits for the first quarter of 2000 (in addition to the financial reporting benefits Enron previously received by closing the transaction in the fourth quarter of 1999). In response to the proposed extension of the facility, an RBS internal credit analyst stated that “[t]he scale of financial period manipulation is exceedingly worrying,” and that she preferred “to let [the transaction] close off as per existing agreement with Enron.”³³² A senior manager at the bank, perhaps more focused on the bank’s future relationship with Enron, responded to these statements by saying “[u]rgent discussion required here methinks . . . capital constraints or no.”³³³

An RBS Credit Approval document comments on Enron’s desire to extend the Nixon facility for one month, into mid-April 2000:

On 10th March an urgent request was received to roll the facility for a further one-month period pending completion of Yosemite III in mid-April. Credit concern again centred on the extent of Enron’s manipulation and the danger given such heavy reliance on short-term transactions of bad news cutting Enron’s ability to refinance and keep these sizeable numbers off balance sheet. In light of a lack of increased margin/fees for rolling over, the extent to which Enron might be window dressing, and RBS

that Brian McInnes commented that RBS “was taking a 90 day risk on Enron and 90 days on Toronto Dominion and he was comfortable with both parties for this tenor”).

³³¹ Weir/Dickinson Email, Jan. 31, 2000, at RBS 3112212.

³³² Sinclair/McInnes Email, Mar. 10, 2000.

³³³ Email from Alan Dickinson, RBS, to Andrew Hartee, *et al.*, RBS, Mar. 10, 2000 [RBS 6021777].

capital issues . . . it was decided on 13th March not to assist Enron in this instance.

Following intense pressure on Relationship grounds the following day the transaction was however extended for a further month to 14 April in discussion/by agreement with [RBS bankers Iain Robertson, Johnny Cameron, and Alan Dickinson] on the basis of a credit derivative . . . which achieved 20% weighting and mitigated balance sheet and credit concerns. An additional fee of a minimum US\$40K was also charged.³³⁴

Notwithstanding its concerns about Enron's "financial period manipulation," RBS appears to have agreed to extend the facility based upon pressure from Enron and mitigated its credit risk through the purchase of a credit derivative.

³³⁴ Nixon Extension Recommendation.

IV. POTENTIAL LIABILITY OF RBS

A. Arguments Supporting the Imposition of Aiding and Abetting Liability and Equitable Subordination

Aiding and Abetting Liability

Elements of Aiding and Abetting Liability. As described in Appendix C (Role of Enron's Officers) to the Third Interim Report, the Examiner concluded that certain of the Debtors' officers breached their fiduciary duties under applicable law by causing the Debtors to enter into certain SPE transactions that were designed to manipulate the Debtors' financial statements and which resulted in the dissemination of financial information known to be materially misleading. RBS participated in the LJM1 Related Party Transaction, the FAS 140 Transactions, and the Nixon Prepay, transactions in which Enron officers breached fiduciary duties. In addition, the Related Party Transactions present facts sufficient to support the conclusion that Fastow and other Enron officers engaged in self-dealing in violation of the duty of loyalty.

As set forth more fully in Appendix B (Legal Standards) to the Third Interim Report, assuming the Debtors have standing, an affirmative claim against RBS for aiding and abetting these breaches of fiduciary duty will exist if: (i) RBS had actual knowledge of the wrongful conduct giving rise to the breach of fiduciary duty; (ii) RBS gave substantial assistance to the primary wrongdoers; and (iii) injury to the Debtors was the direct or reasonably foreseeable result of RBS's conduct.

Analysis of Evidence. RBS knew that LJM1 was formed to enter into the LJM1/Rhythms Hedging Transaction with Enron. The evidence also suggests RBS was in possession of all the facts necessary to conclude that the LJM1/Rhythms Hedging Transaction was a non-economic hedge. RBS was also in possession of all the facts

necessary to conclude that Enron paid significant value in a transaction in which it had no possibility of obtaining an economic return and that the transaction was designed to give Enron only a potential financial statement benefit. RBS also knew that the Enron stock held by LJM1 could not be hedged, sold, or transferred and could not be used to enrich Fastow. There is evidence that through the restructuring of LJM1, including execution of the Total Return Swaps with AIG, RBS effectively hedged its interest in the Enron stock transferred to LJM1 and provided substantial assistance to Fastow, enabling him to profit from the Enron stock notwithstanding his representations to the Enron Board and the express prohibitions in the Amended Partnership Agreement. In addition, there is evidence that RBS knew that the FAS 140 Transactions in which it participated and the Nixon Prepay would result in the dissemination of materially misleading information in Enron's financial statements, and that RBS provided substantial assistance to Enron in completing those transactions.

With respect to LJM1, RBS understood that Fastow had designed a transaction that resulted in the transfer of significant value in the form of Enron stock from Enron to LJM1. Because of the conflicts of interest between Fastow and Enron that were inherent in this arrangement, RBS had concerns about the propriety of the transaction and took steps to ensure that the Enron Board had approved its terms. RBS learned that the Enron Board had approved the transaction, subject to the understanding that Fastow would not have any pecuniary interest in the Enron stock. RBS also understood that the Enron stock contributed to LJM1 was subject to restrictions on transfer or hedging. RBS was aware that Fastow was to share in only those distributions and allocations from assets other than

the Enron stock transferred to LJM1 or the proceeds resulting from those shares.³³⁵ Further, RBS knew that Fastow's management fee was to be calculated by reference to assets in LJM1 other than the shares of Enron stock transferred to LJM1 or the proceeds resulting from those shares.³³⁶

Notwithstanding this knowledge, RBS helped structure and implement a transaction that accomplished precisely what had been prohibited by these restrictions. Through the Total Return Swaps with AIG, RBS hedged its allocable portion of the Enron shares held by LJM1. As a consequence of these transactions, RBS contributed cash to LJM1 for the benefit of Fastow. RBS and Fastow treated the proceeds of the transactions as an additional capital contribution by RBS to LJM1 from which Fastow could profit.

There is also sufficient evidence for a fact-finder to conclude that RBS was in possession of all the facts necessary to conclude that the LJM1/Rhythms Hedging Transaction was a non-economic hedge that would contribute to the dissemination of materially misleading financial information by Enron officers. Most notably, RBS understood that Swap Sub's only asset was the Enron stock contributed to it by Enron and that, as a result, the only asset available to support the obligations of Swap Sub to Enron under the LJM1/Rhythms Hedging Transaction was stock Enron had contributed to LJM1.

In Sutton Bridge and the ETOL transactions, RBS obtained verbal assurances from Enron wherein Enron assured repayment of RBS's equity interest in the SPEs

³³⁵ Section 4.2, Partnership Agreement.

³³⁶ *Id.* at Section 5.2.

involved in these transactions. RBS obtained such verbal assurances from highly placed Enron officers, including Fastow and Glisan, knowing that Enron could not account for the transactions as it intended if the assurances were disclosed to third parties. In particular, there is evidence that RBS knew that Enron's verbal assurances, if documented, would compromise Enron's specific accounting objectives for these transactions by causing it to fail to meet the 3% Equity Test under GAAP. The existence of these verbal assurances resulted in RBS's 3% investment in the borrower SPE not being "at risk" within the meaning of FAS 140.³³⁷ The evidence also suggests that these assurances were of particular importance to RBS, because it did not believe that, absent the assurances, there was sufficient value in the transaction structures to repay its investments before the transaction maturity dates, or for twenty-two years thereafter in the ETOL transactions. Thus, there is sufficient evidence for a fact-finder to conclude that RBS aided and abetted certain Enron officers' breaches of fiduciary duties.

In the Nixon Prepay, RBS's internal documents establish the bank's focus on the "window dressing" and "manipulation" that Enron sought to achieve by completing the transaction. Enron's accounting for this transaction resulted in misrepresentations in Enron's financial statements because what the bank plainly understood to be a loan was not treated as such by Enron in its financial reporting.

Under the applicable law of aiding and abetting, courts often include, as part of the element of substantial assistance, a requirement that the harm caused must be a reasonably foreseeable result of the actions of the aider and abettor. In the LJM1 Related Party Transaction, RBS's participation in a limited partnership that it understood was

³³⁷ See Second Interim Report, Appendix M (FAS 140 Transactions).

formed principally for the purpose of executing the LJM1/Rhythms Hedging Transaction – which RBS had sufficient information to determine was a non-economic hedge – resulted in Enron transferring significant value for no economic return and led to the dissemination of materially misleading financial information by Enron. A fact-finder could conclude that this result was reasonably foreseeable. Similarly, a fact-finder could conclude that Enron would not have consented to Fastow's participation in LJM1 had it known that subsequent transactions would be designed and implemented to enable Fastow to profit personally from the Enron stock transferred to LJM1. A fact-finder could conclude that a reasonably foreseeable result of the Total Return Swaps was enabling Fastow to profit from the Enron stock notwithstanding his prior representations to the Enron Board and the provisions of the Amended Partnership Agreement.

In the case of RBS's FAS 140 Transactions and the Nixon Prepay, there is also evidence of substantial assistance. Each of these transactions was structured to enable Enron to produce misleading financial statements, which were disseminated to the public. There is sufficient evidence from which a fact-finder could conclude that Enron suffered damages by virtue of the preparation and dissemination of these materially misleading financial statements, including incurring the costs of governmental investigations, the administrative costs of Enron's bankruptcy proceedings, and losses caused by the "deepening insolvency" of Enron that occurred while its true financial condition was disguised. A fact-finder could determine that damages such as these were a reasonably foreseeable result of the conduct of RBS in connection with the RBS Transactions.

Equitable Subordination

As set forth more fully in Appendix B (Legal Standards) to the Third Interim Report, RBS's claims against the Debtors may be equitably subordinated if RBS engaged in inequitable conduct and such conduct resulted in an injury to creditors or an unfair advantage to RBS. The evidence discussed above supports a finding that RBS engaged in inequitable conduct that allowed Enron to produce materially misleading financial statements and allowed Fastow and other Enron officers to enrich themselves in violation of their duties of loyalty. Enron's other creditors were injured because such financial results were publicly reported and disseminated by Enron. Therefore, sufficient evidence exists for a court to equitably subordinate the claims of RBS to those of other creditors.

B. Arguments Against the Imposition of Aiding and Abetting Liability and Equitable Subordination

The Examiner has considered the arguments that RBS might assert as defenses to aiding and abetting liability and equitable subordination, including:

- With respect to the RBS Transactions in which RBS assisted Enron, the bank relied on Enron obtaining its own independent accounting advice with respect to its financial statements and other disclosures;
- With respect to LJM1, RBS may argue that the transaction was approved by the Enron Board, the subject of a PWC Fairness Opinion, and, at least in general terms, publicly disclosed;
- With respect to its Total Return Swaps with AIG, RBS may argue that it reasonably believed that there was no violation of the transfer and hedging restrictions on the Enron stock because the related RBS Escrow Agreement was known to, and approved by, a senior officer of Enron;
- RBS, as a limited partner in LJM1, may argue that it did not approve or substantially participate in any decision by LJM1 to distribute value to Fastow or any other Enron officer and had no responsibilities with respect to the characterization of property held by LJM1 under the Amended Partnership Agreement;

- With respect to the FAS 140 Transactions, RBS may argue that the verbal assurances provided by Enron were legally unenforceable and, therefore, did not adversely affect Enron's accounting for those transactions; and
- With respect to the FAS 140 Transactions and the Nixon Prepay, RBS may argue that it did not have knowledge of Enron's accounting for significant aspects of the transactions.

Reliance on Independent Accounting Advice.

Most of the transactions that RBS completed with Enron were complex, and all required sophisticated accounting analyses and interpretations. RBS may argue that its reliance on Enron being financially sophisticated and receiving accounting advice from one of the most well-respected accounting firms in the world at the relevant times precludes it from having any scienter or intent to aid and abet Enron's financial misrepresentations.

Indeed, in approving RBS's participation in LJM1 the bank's Head of Credit Risk noted an important premise for his overall analysis:

Although a number of issues have necessarily been debated at great length, the majority have related to legal/tax accounting issues and I will not focus on such matters here in any detail, as other parties are much better qualified to do so and, to my knowledge, have all opined favourably.³³⁸

In late September 2000, when three RBS representatives held a series of meetings with various members of Enron management, they again heard representations to the effect that Enron was assured by Andersen that off-balance sheet structures were appropriate in

³³⁸ Project LJM Memorandum, at RBS 3030461.

each instance in which Enron contemplated using them, and that Enron also discussed its off-balance sheet liabilities with external rating agencies.³³⁹

RBS may nevertheless have had knowledge of, and substantially assisted Enron with, Enron's filing of materially misleading financial statements. Whether RBS's reliance on Enron's independent accounting advice was reasonable is a question of fact. While there is evidence that RBS believed Andersen approved Enron's transactions, there is also evidence from which a fact-finder could conclude that such reliance was not reasonable. For example, there is ample evidence that RBS did not merely understand Enron's particular accounting objectives for the Nixon Prepay, but also characterized those objectives as "window dressing," and thought that the Nixon Prepay raised questions as to the full magnitude of Enron's "financial statement manipulation."³⁴⁰ Moreover, an RBS senior credit manager called to colleagues' attention her assessment that

[t]he scale of financial period manipulation [by Enron] is exceedingly worrying Such concern has been a theme of all our discussions for a while. . . . We have twice increased exposure since doing [the Nixon Prepay, including] another manipulation when we joined in the JM Trust [i.e., Ghost] 18 month bridge The question is when do we stop[?]"³⁴¹

A fact-finder might also conclude that RBS's reliance on its belief that Andersen had approved Enron's transactions was unreasonable to the extent that RBS knew that

³³⁹ Email from Philip Carraro, RBS, to Iain Robertson, *et al.*, RBS, Sept. 29, 2000, at RBS 3088386 [RBS 3088375-RBS 3088389].

³⁴⁰ See, e.g., Email from Alan Dickinson, RBS, to Thomas Hardy, *et al.*, RBS, Mar. 10, 2000 (expressing concern about the "extent of [Enron's] window-dressing") [RBS 1142376]; ARD Memorandum, Dec. 6, 1999, at RBS 3118972 (describing an Enron transaction as "effectively a window dressing request"); Memorandum from Andrew Close, Credit Manager, *et al.*, RBS, regarding approval for Nixon, Dec. 7, 1999 (describing a facility as a "window-dressing tool for Enron across the year-end") [RBS 3118959]; ARD Memorandum, Dec. 6, 1999, at RBS 3118973 (expressing concern "over the absolute level of manipulation undertaken by Enron in its financial statements").

³⁴¹ Sinclair/McInnes Email, Mar. 10, 2000.

certain key transaction details had not been disclosed to Andersen. The FAS 140 Transactions, in particular, raise this issue. RBS did not (i) inform Andersen, (ii) request that Enron inform Andersen, or (iii) undertake to determine whether Andersen was aware that Enron verbally assured repayment of RBS's equity investments in the FAS 140 Transactions. There is evidence that Andersen was not aware of the existence of any verbal assurances in the FAS 140 Transactions and that Andersen would have concluded that such verbal assurances invalidated Enron's accounting for and disclosure of the applicable transactions.³⁴² There is also evidence from which a fact-finder could conclude that RBS understood that documenting the existence of such assurances would

³⁴² Debra Cash of Andersen testified that she did not know about any situation in which Enron provided verbal assurances to any equity holder. Sworn Statement of Debra Ann Cash, Andersen, to William T. Plybon and H. Bryan Ives III, A&B, June 5, 2003, at 145, lines 16-23. Cash worked on Andersen's Enron management team, at various times having audit responsibility for the Enron Energy Services and Enron Global Finance Business units. *Id.* at 21, line 22 – 22, line 15. Carl Bass of Andersen testified that he was not aware of any equity in an Enron FAS 140 Transaction that was covered by either a written agreement that Enron would pay it or an oral minuted agreement. Sworn Statement of Carl Bass, Andersen, to William T. Plybon, A&B, June 4, 2003, at 41, line 14 – 42, line 1. Bass was a member of Andersen's Professional Standards Group (the "PSG") from 1999 until August 2001. *Id.* at 17, line 14 – 18, line 6. The PSG was a resource within Andersen comprised of partners and managers with in-depth technical knowledge on various areas of accounting literature. The PSG would respond to questions from the Andersen engagement teams, advising them as to the appropriate accounting literature; the auditing of a transaction would be the role of the engagement team. *Id.* at 30, line 23 – 31, line 8. Bass further testified that it would be incumbent upon the client to inform the auditor of all relevant facts about a transaction, so that the auditor could make an informed conclusion on that transaction; he stated that the existence of verbal assurances would be material. *Id.* at 42, lines 2-19. Bass also stated that he did not know whether Enron, as a matter of routine audit practice with Andersen, sent confirmations to the equity certificate holders in its FAS 140 Transactions, asking them if the 3% equity was at risk. *Id.* at 39, line 18 – 40, line 3.

Bass testified that if, in his capacity as a member of the PSG, he were told by the Andersen engagement teams that while there was no written agreement or guarantee with respect to the 3% equity, there were oral assurances from the company's CFO that were documented in writing in the certificate holders' credit approval minutes and processes, he would advise the engagement team that the equity was not at risk. *Id.* at 40, line 22 – 41, line 13. John Stewart, the head of the Accounting Principles Group within the PSG, also stated that the effect of an oral assurance of repayment of the equity would be to require Enron to consolidate the Enron-sponsored, borrower-SPE because the requisite equity would not be at risk. In-Person Interview with John Stewart, former Partner, Andersen, by H. Bryan Ives III, A&B, June 12, 2003.

invalidate the accounting treatment that was Enron's purpose in using the FAS 140 structure.³⁴³

With respect to potential aiding and abetting liability, whether a fact-finder would infer that RBS knew that the lack of disclosure related to the FAS 140 Transactions and the Nixon Prepay would result in dissemination of materially misleading financial information is the fundamental issue, not whether the technical rules of GAAP were satisfied or whether RBS relied on Enron's auditors. Accordingly, the Examiner is unable to conclude that RBS must be excused as a matter of law from potential aiding and abetting liability. Similarly, the Examiner is unable to conclude that a fact question on these issues would demand a finding that RBS did not engage in inequitable conduct in connection with those transactions.

Reliance on Enron Board and PWC Approval of LJM1.

It is apparent that RBS agreed to participate in LJM1 only after confirming that Fastow would present the proposed transaction to the Enron Board for its approval, and that the transaction would be reviewed and deemed fair to Enron by PWC. RBS requested and received, in advance of Fastow's presentation to the Enron Board, a draft resolution and received, before closing LJM1, the ratified Enron Board resolution approving LJM1 and the "full presentation made to the [B]oard."³⁴⁴

RBS may, on the basis of these facts, argue that RBS had no duty to refrain from participating in a transaction that the Enron Board approved and PWC concluded was fair

³⁴³ See, e.g., ETOL I Credit Application, at RBS 3141124 (Enron's "desired accounting treatment does not permit any formal arrangements to be made."); RBS ETOL Memorandum, at RBS 3104222 ("The transaction needs to be structured as described . . . to achieve the desired US accounting treatment and, in particular, there must be no arrangements to ensure the repayment of, or the return on, the 3% of equity . . ."); Milton Sworn Statement, at 73, lines 7-13, and at 163, lines 22-25.

³⁴⁴ Howard/Darby Email, June 25, 1999, at RBS 4007532.

to Enron from a financial point of view. Whether RBS aided and abetted a breach of fiduciary duties in light of these considerations is a question of fact. There is evidence from which a fact-finder could conclude that, notwithstanding Enron Board approval, the PWC Fairness Opinion and public disclosure of some aspects of LJM1, RBS assisted Fastow and other Enron insiders in breaching fiduciary duties owed to the corporation. In particular, RBS understood that fundamental conditions and expectations upon which LJM1 had been approved were circumvented by developments *after* Enron Board approval had been given, such as Fastow profiting from the value of the Enron stock held in LJM1, which RBS substantially assisted. There is also evidence from which a fact-finder could conclude that RBS aided and abetted breaches of fiduciary duty by participating in the formation of LJM1, which RBS understood was intended to create a hedge for Enron's investment in Rhythms with an entity capitalized entirely with Enron stock.

Reliance on Enron Approval of RBS Escrow Agreement.

RBS obtained Enron's approval of the RBS Escrow Agreement through which LJM1 transferred one-half of its Enron shares into escrow for RBS's benefit, as evidenced by the Acknowledgment Agreement executed on behalf of Enron by Causey.³⁴⁵ The RBS Escrow Agreement contemplated the transfer of those shares from escrow to Campsie at any time upon receipt of a certificate from Campsie, but in no event later than November 29, 2001.³⁴⁶ Through the same Acknowledgment Agreement, Causey also consented, on Enron's behalf, to an amendment to the Partnership

³⁴⁵ Acknowledgment Agreement.

³⁴⁶ Section 4, RBS Escrow Agreement.

Agreement that characterized the payment by RBS to LJM1 in December 1999 (as a consequence of RBS's Total Return Swaps with AIG) as an "Additional Capital Contribution."³⁴⁷ A fact-finder could therefore conclude that RBS's role in the transfer of shares from LJM1 into escrow for the benefit of Campsie did not (i) circumvent the Lock-Up Agreement or (ii) result in a violation of the Amended Partnership Agreement by providing Fastow with pecuniary value from the Enron shares transferred to LJM1. Moreover, a fact-finder could determine that RBS's Total Return Swaps with AIG effected a hedge of a notional amount of Enron shares, as opposed to a hedge of the shares actually transferred by Enron to LJM1, and thus likewise did not circumvent the Lock-Up Agreement or result in a violation of the Amended Partnership Agreement by allowing Fastow to profit from the shares.

Such defenses must be weighed by the fact-finder against evidence suggesting that RBS understood that (i) Fastow represented to the Enron Board at the time of its approval of LJM1 that he would not profit from the Enron shares transferred to LJM1, and (ii) Enron Board approval had been conditioned on the issuance of the PWC Fairness Opinion, which in turn depended on the existence of an illiquidity discount applied to those shares that was based upon the restrictions placed on them by the Lock-Up Agreement. In addition, there is no evidence of approval by the Enron Board of the RBS Escrow Agreement, or of the Total Return Swaps, which resulted in payments to Fastow from RBS's hedging of the Enron shares held by LJM1.

³⁴⁷ *Id.* at Section 1 ("Enron acknowledges and consent [sic] to all of the transactions contemplated by the Transaction Agreements."). The term "Transaction Agreements" is defined in the Acknowledgment Agreement as including the RBS Escrow Agreement and the Amended Partnership Agreement. *Id.* at Preamble. See Section 1.6, Amended Partnership Agreement.

RBS's Role as Limited Partner of LJM1.

RBS could argue that it did not substantially participate in any transfer of value to Fastow and other Enron officers. RBS could assert that the transfer of value resulted from the declaration of distributions from LJM1 to Fastow and other Enron officers, that RBS was a limited partner in LJM1 and that RBS did not have any right to approve or disapprove (or duty to monitor) distributions of funds to the LJM1 partners. A fact-finder could view this as evidence that the “substantial participation” element of an aiding and abetting claim is not satisfied.

Some evidence supports this defense as well as the defense that RBS relied on the Enron Board's approval of LJM1's formation. A fact-finder would have to weigh this evidence, however, against factors such as RBS's knowledge that Fastow was profiting from the LJM1 Related Party Transaction and that the source of this profit was the Enron stock in LJM1. Further, RBS's Total Return Swaps with AIG facilitated this transfer of value, which was prohibited by the terms of the Amended Partnership Agreement.

Enforceability of Verbal Support.

The Examiner has also considered whether the verbal assurances in the FAS 140 Transactions were enforceable as a matter of law and a matter of fact.³⁴⁸ As discussed in the Third Interim Report, agreements that are “oral” or “unwritten” may be legally enforceable contracts.³⁴⁹ Sufficient evidence exists for a fact-finder to conclude either that (a) Enron and RBS intended to and did enter into an enforceable agreement for RBS

³⁴⁸ Milton Sworn Statement, at 211, line 23 – 212, line 7 (expressing her belief that verbal assurances were not “contractually binding”).

³⁴⁹ Third Interim Report, *Potential Defenses to Aiding and Abetting Claims and Equitable Subordination, Impact of Agreements or Assurances on Equity at Risk*.

to purchase the 3% equity certificates in exchange for Enron's promise to repay the certificate plus yield at maturity in the event the underlying asset value was insufficient to pay out the equity, or (b) alternatively, that RBS relied to its detriment by purchasing the equity certificates based upon Enron's promise that the equity investment would be repaid. Thus, the fact-finder could determine that the assurances of repayment were offered as consideration for RBS's agreement to purchase the equity certificates, an offer that RBS accepted. If the fact-finder were to make that determination, then the equity was not "at risk" as required by GAAP rules pursuant to traditional contract law, or pursuant to theories of promissory estoppel or detrimental reliance. Alternatively, the fact-finder could conclude that the evidence was insufficient to establish the formation of an informal contract. The fact-finder could also draw the inference that the verbal assurances are not "unequivocally referable" to RBS's decision, because RBS relied on elements other than the verbal assurances in making that decision.

As discussed in the Third Interim Report, regardless of the enforceability of the verbal assurances provided by Enron, a fair reading of the applicable GAAP suggests that the "at risk" rule of the 3% Equity Test requires that the equity be at risk not just as a matter of strict legal form, but that it be at risk in substance as well. Thus, the intentions of the parties must be considered in determining whether the equity is truly at risk. The evidence suggests that RBS sought and obtained these verbal assurances and relied upon them in purchasing the equity interests, fully expecting Enron to honor them. The evidence also suggests that RBS knew that if the verbal assurances were documented and thereby revealed to Andersen, Enron would not be permitted to account for the transactions as sales. Thus a fact-finder could determine that RBS was in fact looking to

Enron for the return of its equity, and in substance the equity was not at risk. RBS may have had other reasonable bases for concluding that its equity would be repaid in full at maturity. For example, RBS may have believed that, given Enron's requirement to repay the debt that represented approximately 97% of the amount owed in the transaction, it would have no incentive not to pay the additional 3% and reacquire the underlying asset.³⁵⁰ Other structural elements of the FAS 140 Transactions may have also provided some degree of assurance to RBS, but any resulting comfort must have been tempered by the knowledge that the assets in the FAS 140 Transactions were insufficient to repay the bank's equity investment and yield.³⁵¹

RBS's expectations, considered in isolation, may have been based on economic realities and consistent with the accounting rules. These normal commercial expectations, however, did not arise, and may not be considered, in isolation. They arose in the context of Enron's specific assurances regarding the repayment of the 3% equity. Thus, a fact-finder could determine that the verbal assurances were the principal or exclusive basis for RBS's expectations of recovery from Enron of its 3% equity investment. Accordingly, there is sufficient evidence for the fact-finder to conclude that Enron's verbal assurances were in fact and substance "residual guarantees" under the applicable GAAP. Under this analysis, the equity investments are not "at risk" as required under the 3% Equity Test.

³⁵⁰ See ETOL II and III Credit Application, at RBS 3124939 (noting that various controls on equity "incentivise Enron to unwind the transaction at maturity").

³⁵¹ See *id.* at RBS 3124939 ("The risk to equity in ETOL I and II under the base case economics is a shortfall of [\$1.2 million]. . . . ETOL III relies solely on sale proceeds for our return on equity. . . . [T]otal equity principal is [\$1.5 million] over the ETOL I, II and III transactions (assuming we are made whole)."); ETOL I Credit Application, at RBS 3141130 ("[T]he principal risk associated with the put option may be viewed as the calculation method [of fair market value] and the underlying value of the asset.").

Lack of Awareness of Enron Accounting.

RBS may also argue that it lacked knowledge of how Enron accounted on its statement of cash flows for the proceeds it received from the FAS 140 Transactions and the Nixon Prepay, and that such a lack of knowledge precludes a finding of aiding and abetting liability or equitable subordination.

Whether RBS had sufficient knowledge of acts giving rise to breaches of fiduciary duty by officers of Enron is a question of fact. Certain RBS contemporaneous documents appear to reflect a sophisticated level of understanding of Enron's accounting objectives, a meaningful degree of understanding of Enron's methods of accounting for specific line items on Enron's financial statements, and substantial concerns as to the "absolute level of manipulation undertaken by Enron in its financial statements."³⁵² Moreover, there is documentary evidence that RBS understood that Enron accounted for the cash proceeds from the Prepay Transactions as cash flow from operating activities.³⁵³ Accordingly, a fact-finder could infer that RBS was aware of Enron's accounting for the FAS 140 Transactions and the Nixon Prepay on which RBS worked with Enron.

C. Conclusions

There is evidence sufficient for a fact-finder to conclude that: (i) RBS had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by certain of the Debtors' officers; (ii) RBS gave substantial assistance to the Debtors' officers by

³⁵² ARD Memorandum, Dec. 6, 1999, at RBS 3118973; *see also* Sinclair/McInnes Email, Mar. 10, 2000; Kruger Memorandum, at RBS 3038532 (describing Enron's goal in Sutton Bridge as taking "latent gain" as profit); Wallis ETOL Memorandum, at RBS 3089524; ETOL I Credit Application, at RBS 3141124; ETOL II and III Credit Application, at RBS 3124936.

³⁵³ McAlister/Weir Email, Feb. 1, 2000 ("Other Income includes unrealised gains and losses from price risk management activities These activities are reported as part of operational cash flow, boosting the reported position by \$550M over the last two years . . . and representing 30% of reported operating cash flow in that period.").

participating in the transactions; and (iii) injury to the Debtors was the direct or reasonably foreseeable result of such conduct. The evidence reviewed by the Examiner, and the reasonable inferences that may be drawn from that evidence, are sufficient for a fact-finder to conclude that RBS aided and abetted certain Enron officers in breaching their fiduciary duties. There is also sufficient evidence of inequitable conduct by RBS in connection with the RBS Transactions for a court to conclude that RBS's claims should be equitably subordinated to the claims of other creditors.

As a result, RBS's claims in the Bankruptcy Case totaling approximately \$537 million are susceptible of being equitably subordinated to the claims of other creditors. This subordination would be in addition to any affirmative recovery that may be available to the Debtors against RBS for aiding and abetting the officers' breaches of fiduciary duty, assuming that the Debtors have standing to pursue such a claim.